

FX Markets Weekly

The weak dollar view passes a flow test

Outlook: The starting point of USD valuations and positioning has become healthier for the weak dollar view heading into September's Fed easing. Tariff-fueled stagflation-lite cannot be written off just yet, and US real yields are likely to keep eroding. The weak dollar view passed a flow test in June by looking through large scale RoW US equity purchases. Anxiety around the return of US equity exceptionalism is also less pressing when the RoW is outpacing the US on growth revisions. A basket of DM FX that isolates the fiscal factor has diverged from the long-end bear steepening in G4 yield curves, and should recouple as fiscal concerns intensify in 2H. We stopped out of our NZD longs as the RBNZ bucked our expectation for a hold, but maintain that there is a tension between a lower real OCR path today and gearing to future activity revival for a cheap currency like NZD.

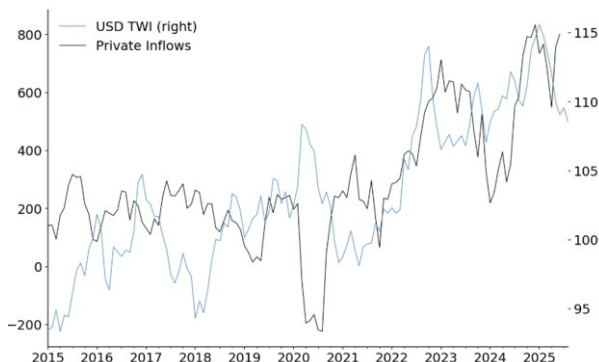
Macro Trade Recommendations: Hold USD shorts vs EUR, JPY, AUD, NZD, CAD in cash/options. Keep GBP shorts vs EUR, CHF, NOK, SEK. Stay long Scandis vs EUR. Stop out of tactical NZD/SEK long. Unwind far strike of USD/CAD put spread.

Emerging Markets FX: Hold OW EM FX stance after a month's pause, with latest data supporting EM FX and fading US exceptionalism.

FX Derivatives: Buy USD/HUF-EURHUF vol spread and USD/MXN weighted calendars to position defensively, and NZD/USD-CHF/USD corr swap to capitalize on firm USD corrs. Collect premium on EUR/BRL topside.

Technical: DXY Index remains range bound below the 2023/24 range lows. EUR/USD rebound stalled at 1.1743-1.1881 medium-term resistance. Cable rebound fades below a cluster of trend line resistance. USD/JPY is coiled between the 50-day and 200-day moving averages. AUD/USD slides toward critical pattern support.

Figure 1: Foreigners' large scale US equity purchases in June were not enough to lift the dollar
LHS: 6m sum of net foreign buying of US assets; RHS: USD TWI



Source: J.P. Morgan, TIC, Haver

See page 52 for analyst certification and important disclosures.

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Global FX Strategy

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FX Outlook

The weak dollar view passes a flow test

- **The starting point of USD valuations and positioning has arguably become healthier for the weak dollar view heading into September's Fed easing.**
- **The growth / inflation mix is arguably proving to be less USD negative than feared, but tariff-fueled stagflation-lite cannot be written off just yet, and US real yields can keep eroding.**
- **The weak dollar view passed a flow test in June by looking through large scale RoW US equity purchases, and responding instead to growth, real yield and institutional degradation concerns. Anxiety around US equity exceptionalism fueling a USD revival is also less pressing when the RoW is outpacing the US on the global growth league table.**
- **Fiscal concerns are being actively priced into long-ends of G4 yield curves, but a basket of DM FX that isolates the fiscal factor has lagged; we expect this disconnect to close going forward.**
- **US portfolio inflows were large in May and June, led by external surplus economies. Meanwhile, early evidence points to FX hedges rising. Maturing stages of FX hedging, with little capital outflow from the US, suggests a lower-intensity flow backdrop for the dollar in 2H.**
- **The RBNZ bucked our out-of-consensus expectations for a hold this week with a 25bp cut. We stopped out of our NZD longs this week, but maintain that there is a tension between a lower real OCR path today and gearing to any future recovery in data for a currency that is screening cheap on long-run models.**

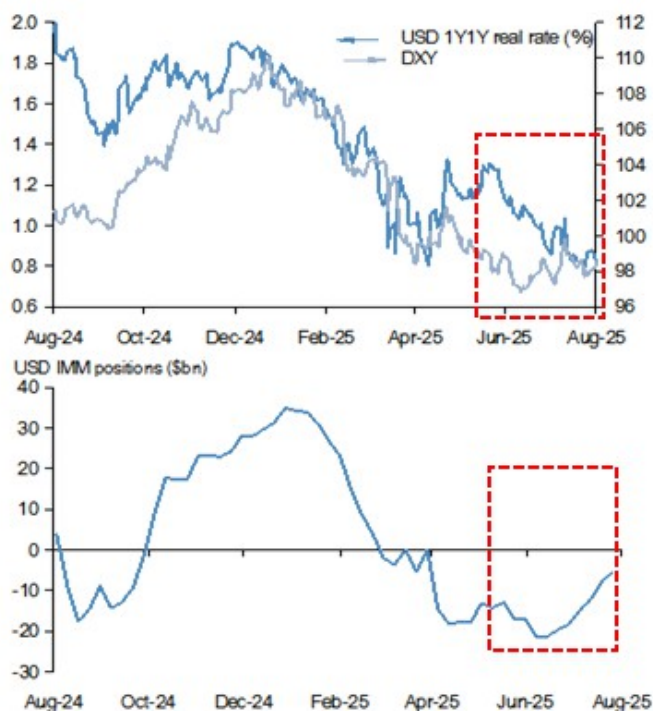
While the dollar downtrend has been in cold storage over the past two months, the past few weeks have arguably seen the underpinnings of the bearish view grow sturdier heading into a Fed easing cycle next month: the USD's undershoot vis-à-vis real yields has disappeared, ~3/4ths of the peak USD shorts have been pared back (Figure 2 - see [here](#) & [here](#)), anxiety around a cliff in risky assets due to tariffs (and hence the risk of activating the LHS of the dollar smile) has ebbed, and newsflow around institutional Fed credibility has grown more concerning and continues to inject greater term premium into the long-end of the UST curve.

The principal wrinkle in the cyclical USD story is the US growth/inflation mix, though Jackson Hole may have smoothed this a bit. The mix has grown less alarmist on activity (data-based recession odds have fallen since mid-June,

August NFP notwithstanding) and more concerning on inflation of late (PPI / import prices / U.Michigan inflation expectations / Philly Fed prices paid / PMI input prices), though Chair Powell suggested today that the Fed will be looking at tariff-linked price spikes as a one-off. Two rejoinders:

- First, we still retain a degree of circumspection around the eventual impact of tariffs on the economy given the uncertainty around transmission lags; tariff revenues that are substantial enough to warrant a S&P AA+ ratings affirmation should also tautologically prove to be a substantial cost that businesses and/or households have to bear, hence it is too early to write-off a more acute stagflation-lite turn in the US cycle. The difference between the impending mini-stagflation cycle in 2H25 and the one in 2H21 (before the Ukraine war began in 1Q22) is of course the Fed's response to inflation pressures; Chair Powell's speech today reaffirms labor market softness will likely take precedence over sticky (and/or one-off) inflation in the current climate, driving a radically different USD reaction to what had transpired back then.
- Second, even if growth manages to muddle through, the inability of the Fed to cut fast and deep is more of an issue for US duration bulls than for USD FX bears like ourselves, since passive erosion of real yields as inflation expectations continue to firm is a one-way street that undercuts USD valuations; indeed, our US FI colleagues are of the [view](#) that the business-as-usual pricing of the belly of the US CPI swap curve should give way to a more sobering reassessment of inflation risk over time, though admittedly this will deliver a slower burn flavor of dollar weakness than one brought about by rapid nominal easing.

Figure 2: The slimming of USD short positions and the dollar's undershoot vs. real yields creates healthier starting conditions for renewed weakness heading into a Fed easing cycle next month



Source: J.P. Morgan

Two conundrums for the dollar

The flow conundrum: how much do RoW's US asset flows really matter for dollar direction? For much of this year dating back to the peak of the "sell America" mania of H1, FX markets have been obsessed with flows into and (especially) out of US asset markets, as well as currency hedging of the existing asset stock. On this score, the resounding message from the June TIC data released last week is that global investors are not only not abandoning US assets *en masse*, but in fact could be actively rebalancing to recover any "lost" allocations due to adverse past price moves (see next section). The surprise in this process has turned out to be the asymmetric effect of asset flows on the dollar: while a mini-buyer's strike for US assets particularly in April in the context of a wide trade deficit — an artifact of aggressive pre-tariff front-loading — had helped catalyze outsized USD weakness over that period, the return of financial inflows in June does not appear to have done much to symmetrically reverse the greenback's fortunes (Figure 3).

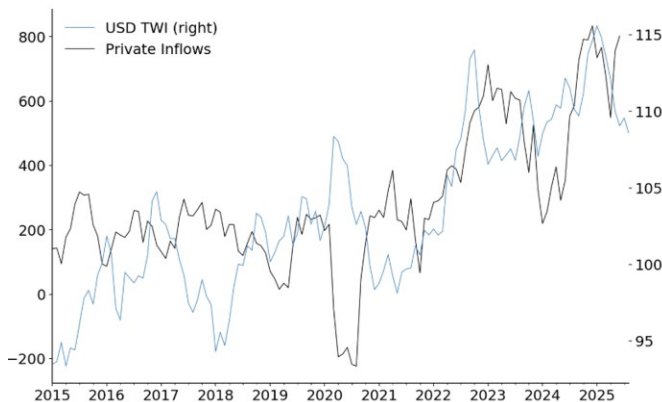
It is possible that an increasing fraction of foreigners' post-Liberation Day asset purchases have begun to be FX hedged ("own the asset, not the currency"), but a more likely explanation is that unobservable/difficult-to-fully-quantify specula-

tive flows — which in their totality vastly outstrip observable BOP flows by a factor of several multiples and are far more influential for determining currency direction — continue to anchor off a pessimistic view on the dollar in the context of rich US asset valuations, falling real yields, and deteriorating confidence in the quality of US policymaking / institutions (Figure 4).

For proponents of dollar strength on renewed U.S. exceptionalism powered by AI/tech dominance, this raises an uncomfortable question: if record equity inflows against the backdrop of already short USD spec positions and a large short-term valuation undershoot could not strengthen the dollar in June, what will? For us as currency investors, the comforting lesson is that bread-and-butter currency macro continues to provide a more reliable steer on dollar direction even amidst a potential regime change in global investor asset allocation and currency hedging preferences; while we will endeavor to track the latter as best as publicly available data permits, imperfect information on flows is neither a necessary nor a sufficient impediment to getting the dollar call right.

Figure 3: Foreigners' large-scale US equity purchases in June were not enough to lift the dollar

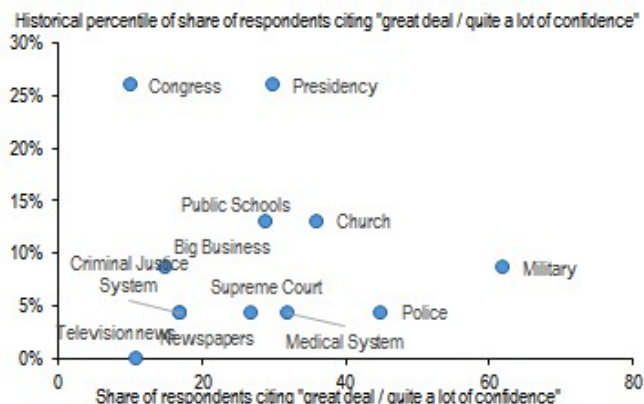
LHS: 6m sum of net foreign buying of US assets; RHS: USD TWI



Source: J.P. Morgan, TIC, Haver

Figure 4: Surveys show declining confidence in US institutions

Gallup's annual survey of confidence in American institutions, last datapoint is 2025 [\(link\)](#)



Source: Gallup, J.P. Morgan

The growth conundrum: weaker dollar on better global growth, or stronger dollar on higher rates? The consensus and JPM Economics baseline for 2H25 pencils in a sharp slowdown in both US and RoW growth as tariffs begin to squeeze corporate margins and/or household purchasing power in earnest. Two months into Q3 however, tariff implementation is proceeding more slowly (e.g. the tariff truce with China has been extended another 90 days) and is biting less than earlier feared due to the dampening effects of transshipment and substitution (Figure 5).

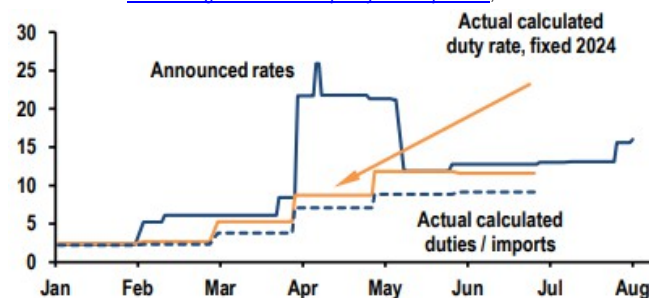
The upshot of this gentler-than-feared growth normalization — coupled with [strong capex growth](#) powered by the ongoing AI cycle — is that asset prices are broadly buoyant, global financial conditions are at their loosest in many years, and the vast majority of countries we track are witnessing growth upgrades rather than downgrades (Figure 6). As an aside, the dollar's distinctly mid-pack ranking on this league table should soothe any anxiety that 2024-style AI-powered US growth exceptionalism is due for a revival; if growth in the US is turning out to be more resilient than expected, so it is, and to a greater extent in the RoW. Prima facie, this is a textbook middle-of-the-dollar-smile environment that should promote USD weakness against the high-beta / EM bloc. The wrinkle is that a key contributor to FCI-easiness, namely persistent Fed easing expectations, is by now so fulsomely priced into the USD OIS curve that better-than-expected growth risks shaving off 1-2 cuts off Z6 pricing and end up giving the dollar a boost. Which of the two should dominate?

For one, history suggests that the tussle between middle-of-the-smile growth effects and higher rates when the two are in conflict is usually a wash for the dollar, except in the abnormal post-pandemic inflation surge when central banks aggressively hiked rates (Figure 7). In the current context of rising

US inflation, the difference is that Fed policy is not only inactive but positively moving in the direction of insurance easing in September such that real USD yields are falling against the greenback; coupled with increases in yields focused at the long-end of the curve (i.e. due to term premium widening) that tend to have a smaller impact on FX than monetary expectations, the net impact of any UST bear steepening on the USD may not be as bullish as feared, and liable to play second fiddle to the more exogenous global growth catalyst.

Figure 5: Actual US tariff rates are running well below announced rates

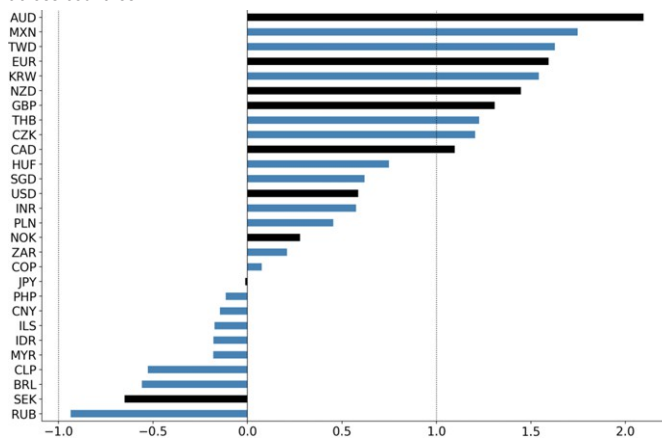
Extracted from [US: Taking stock of trade policy developments](#), Feroli et al



Source: Census Bureau, J.P. Morgan Economics

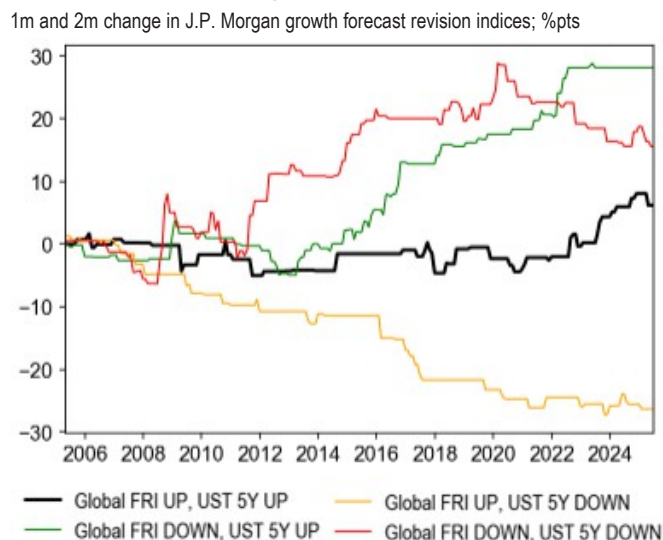
Figure 6: The majority of countries in our global growth tracking are experiencing growth upgrades

1 Year Z-Score of 3-mo changes in J.P. Morgan GDP forecast revision indices across countries



Source: J.P. Morgan

Figure 7: The tussle between better global growth and higher yields is usually a draw for the dollar; the only exception was the abnormal post-pandemic inflation surge



Source: Bloomberg Finance L.P., J.P. Morgan

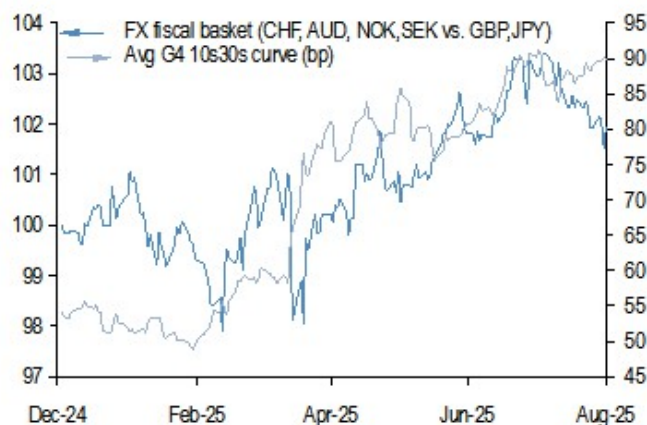
Fiscal differentiation in FX will return to the fore before long

Fiscal differentiation has been an alpha theme in FX this year. Away from the broad dollar story, owning the likes of CHF, NOK, SEK and AUD with solid fiscal credentials has handsomely outperformed the fiscally challenged bloc of GBP and JPY (USD too, but leaving the dollar out in the interest of non-USD RV considerations). But Figure 8 shows that even as long-end DM yield curves have steepened synchronously to price in greater term premium over the past month, the fiscal factor in G10 FX has underperformed, in part as front-end yield spreads have moved adversely against the basket.

Our contention is that this asset class divergence on fiscal risks will not sustain. For one, fiscal anxiety has started to pick back up in the financial market discourse after a brief summer lull (Figure 9). The onset of Fed easing in the face of sticky inflation, especially if temporary Board appointee Miran's appointment becomes permanent through a Senate confirmation process before the September FOMC, is liable to further fuel these concerns. UK Chancellor Reeves' Autumn Budget presentation looms as a discrete event on the calendar that may also focus minds on the fiscal issue; anticipation of tax increases is already building ([link](#)), and GBP potentially stands to suffer from either the negative growth consequences of fiscal belt tightening, or the risk premium repercussions of allowing additional slippage. Finally, JPM Economics expects BoJ to hike rates in October, but any signs of slipping conviction on rate normalization could re-ignite a

tantrum at the long-end of the JGB curve. The inflation back-drop matters significantly in this discussion: the corrosive impact of fiscal adventurism on FX typically plays out via higher inflation and hence lower real yield expectations, and room for error is less if the starting point on inflation is already elevated. Recent upside surprises on US and UK CPI and persistently hot Japanese core CPI above 3% suggest that the fiscal / inflation trade-offs for the short currencies of our DM fiscal basket will remain challenging over coming months.

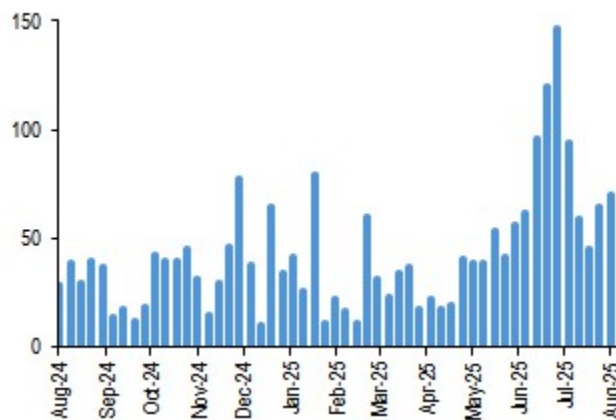
Figure 8: The fiscal factor in G10 FX has underperformed over the past month even as long-end yields have continued to price in greater term premium



Source: J.P. Morgan

Figure 9: Fiscal concerns have begun to pick back up in the financial market discourse after a brief summer lull

Weekly story counts of 'fiscal dominance' in Bloomberg articles



Source: Bloomberg Finance L.P., J.P. Morgan

Taking stock of the USD flow narrative

See our recent full-length note here: [Alt FX Positioning & Flows: Taking stock of the USD flow narrative](#)

The feared selling of US assets by foreign investors has not materialized, per the latest TIC data. This undermines one of the flow theses for a weaker USD in 2025, though dollar depreciation in May/June points to other USD drags compensating for that shortfall. The broad US asset sell-off, the breakdown in FX/cross-asset correlations, the sizable foreign OW in US assets and the general spike in policy uncertainty made it seem as if foreign asset selling – and attendant USD depreciation – could be an enduring theme in 2025. **But TIC data for May and June have poured cold water on the notion of a broad exodus from US assets.** Recently published TIC data for June highlights the following:

- **Net foreign purchases of US assets hit a record in May** at +\$326bn, followed by a still-sizable +\$192bn (+1.4-sigma) in June – at odds with some expectation of continued cross-border repatriation (Figure 10). Rather, **2Q as a whole therefore saw essentially record US portfolio asset buying** by foreigners. **The equity inflow in particular in June was a record.**
- **Official-sector equity inflows were exceptional.** Private sector equity inflows for June were large at +3.1-sigma (vs 10Y). Official flows, while smaller in nominal terms than the private sector, were a record +6.3-sigma.
- **This leaves YTD net US portfolio asset inflows tracking the strongest levels since the pandemic...**
- **...leaving the stock of US assets held by foreigners back at all-time highs** – a function of both net inflows and the risk asset price rebound.

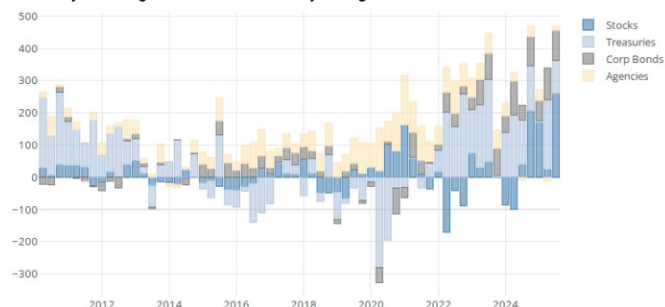
Encouragingly for USD bears, the lack of USD appreciation in 2Q despite such flows highlights the primacy of cyclical drivers and speculative flows over investment flows. Sizable **June US inflows failed to prevent a 1-2% USD sell-off that month, a break from a fairly consistent co-movement** between inflows and USD over the prior year. The USD's sharp correlation to US rates, meanwhile, suggests **that continued US cyclical moderation (e.g. labor market weakness) could frustrate USD-appreciative investment flow pressure** were these inflows to sustain, particularly if backed by a large magnitude of spec selling like we saw in 2Q.

Still, it must be acknowledged that the one-two flow punch – repatriation & FX hedging – is past its tactical peak for USD. FX hedging may continue, but the process is likely maturing in some places. Early evidence of 2Q across places like Denmark and Canada imply that the hedging process is meaningfully underway, even if not complete (see our [Mid-Year Outlook](#)). This suggests **the repatriation/hedging dynamic is reaching more mature stages**, and

could therefore be less intense in 2H.

Figure 10: 2Q saw record net foreign purchases of US equities, despite some expectations for foreign capital repatriation

Quarterly net long-term asset inflows by foreign investors. USD bns



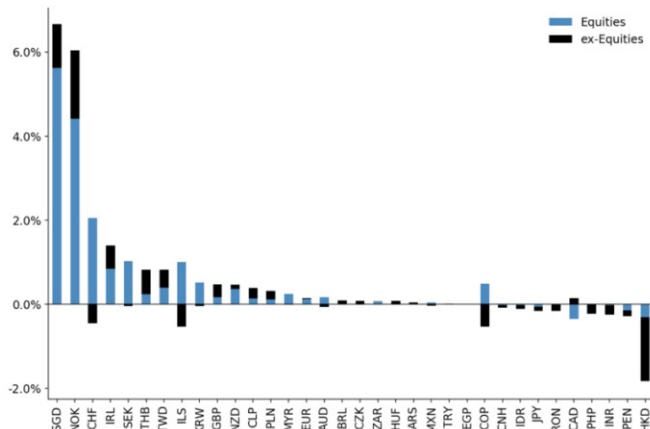
Source: J.P. Morgan, TIC, Haver

From a bottom-up flow perspective, the following trends stand out:

- **External surplus economies led the way** in US asset purchases (Figure 11).
- **Most countries didn't show directional differentiation/** major shifts in behaviour **between 1Q and 2Q** in their US asset purchases — but for equities, Scandis, Antipodeans, ILS & GBP stand out as net buyers in 2Q after net selling in 1Q.
- **SGD, NOK & CHF** were at, or near, **record net purchases**. There was also large buying by other Asia surplus economies, e.g. **KRW & TWD**.
- **SEK** net purchases of US equities (1% GDP) continued in June after the sharp exodus from February through April; similarly **ILS** bought sizably in May & June after selling the first four months of the year.
- Net purchases by **Cayman Islands** exceeded that of all other domiciles, potentially clouding some of the source demand for US assets. Relatedly, the largest Treasuries inflow came from the UK.
- **Canada** and **China** continue to be the main **sellers** of US equities.
- Still, there was **no positive correlation** between USD/CCY spot **FX performance** and **US asset purchases**.

Figure 11: The US saw inflows from a majority of economies, with some net US purchases at or near record levels

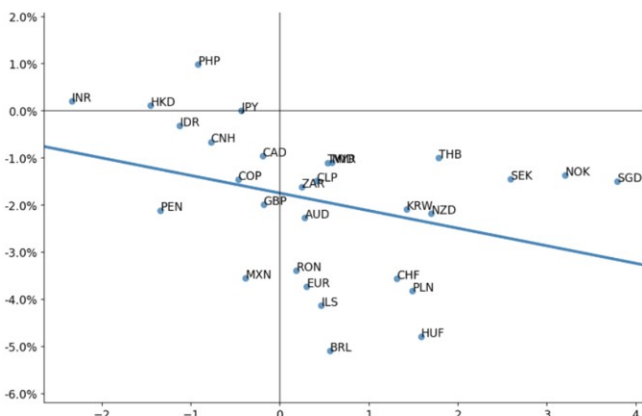
Net acquisition of US assets in June; % of local annual GDP.



Source: J.P. Morgan, US TIC, Haver

Figure 12: Again, US asset buying failed to result in USD appreciation | FX depreciation

(X): US asset purchases, 5Y z-score. (Y): USD vs CCY, % change; both in June.



Source: J.P. Morgan, US TIC, Haver

NZD buckles under RBNZ activism

The RBNZ bucked our out-of-consensus expectations for a hold this week with a 25bp cut, and more importantly, dovish guidance which added scope for further easing (-30bp) in the staff's OCR projections. The committee considered a hold, -25bp and -50bp, with the latter clearly surprising the market. We had been tactically long NZDSEK into the meeting on potential RBNZ divergence vs an expected dovish skew from the Riksbank. With the RBNZ catalyst not playing out, we closed the position at a loss on Aug 21 (see [here](#)).

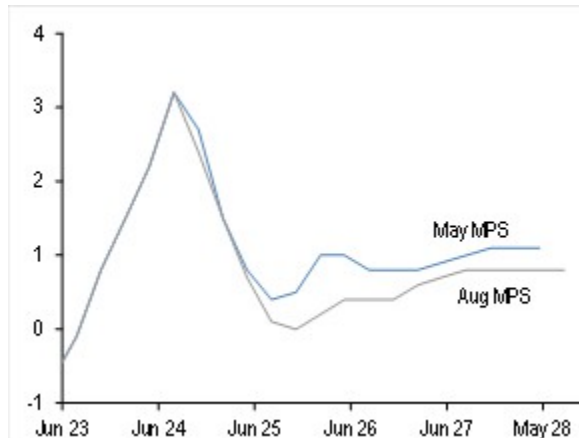
The committee's decision has mixed implications for NZD from here.

Our argument for a hold was that activity data broadly signal a return to growth, and inflation is testing the top of the band near-term. The RBNZ's previous guidance had been to wait out this uptick in inflation, particularly as even on-hold policy generates support via lags, with around half the mortgage stock due to refresh to lower rates over the next 6m. The leadership, however, now puts a lot of weight on an apparent faltering in activity momentum in 2Q, based on some of the survey data. The new staff forecasts convey a willingness to underwrite that risk, with the GDP path on net unchanged (upgrade 1Q, downgrade 2Q), inflation higher, and OCR path lower – see our full summary [here](#). The implied lower path for real rates (Figure 13) further undermines NZD's carry profile. But it also stores up leverage to any further recovery in the data. The capricious nature of NZ GDP outturns is such that it's rare to see the policy outlook shift on one quarter's GDP (let alone tracking), and more contemporary data show the PMI/PSI recovery has resumed so far into 3Q. The RBNZ's nowcaster, seemingly the reason for concern around 2Q, also picked up again this week and appears to have troughed in July.

NZDUSD is screening cheap on long-run models based on global equity momentum, rate spreads, export prices and its relatively steep swap curve. Valuation is therefore somewhat in tension with the RBNZ's pivot, particularly if the growth slowing proves "short-term", as RBNZ Chief Economist Conway argued post-meeting. From a global perspective, if the RBNZ is only following the Fed in growth-supportive fashion, there are some offsets for NZD as controlling for US GDP FRI (to isolate an easier Fed reaction function), NZDUSD has negative beta to US rate pricing, and positive to domestic growth expectations (Figure 14).

Figure 13: The RBNZ lowered the implied real rate path at the August MPS, seemingly to underwrite a loss of growth momentum in 2Q

RBNZ projected OCR - %oya inflation at given forecast rounds



Source: RBNZ, J.P.Morgan

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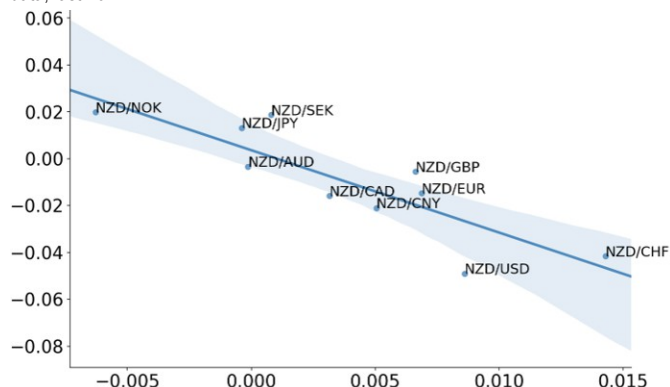
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Figure 14: If the RBNZ is following dovish Fed speakers into growth-supportive mode, NZD gets support from both channels

X axis: Beta to NZ GDP FRI; Y axis: Beta to US 1Yx3M OIS. Betas estimated independently for each pair, using models of the form $NZD/CCY = f(\text{constant, JPM commodity price index, US GDP FRI, USD 1Yx3M OIS, and NZ GDP FRI})$. Daily data, last 10Y.



Source: J.P.Morgan

Next three weeks: US payrolls, global PMIs

The next two weeks will see plenty of event risk, with US payrolls in focus. **EM central bank meetings** will take place in **Hungary** (26th, JPM: on hold), **Korea** (28th, JPM: on hold), **Philippines** (28th, JPM: -25bp), **Poland** (3rd, JPM: on hold), and **Malaysia** (4th, JPM: on hold). **Inflation** data will be released in **Japan** (Tokyo CPI: 29th), **Sweden** and **Switzerland** (4th). Key **labour market** releases in the US will be: **JOLTS** (3rd), **ADP employment** (4th), and **Non-farm payrolls** (5th), while outside the US, they will include **Japan & Germany** (29th), **Euro area** (1st), **Switzerland** (4th) and **Canada** (5th). PMIs in **China** (31st), **Switzerland**, **Sweden**, **Norway** (1st), **US ISM** (manufacturing: 2nd, services: 4th), **GDP** releases in **Switzerland** (28th), **Sweden** and **Canada** (29th), and **Sweden's** Economic Tendency Survey (28th) will inform both local and global growth narratives. Central bank speakers to watch will include **Fed's** Waller (28th) and **BoJ's** Nakagawa (28th).

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Main trade recommendations

Trade type	Currency	Trade	P/L
Macro portfolio			
Cash (new trades)			
Cash (existing)	EUR/USD	— Buy EUR/USD	2.29%
	GBP/CHF	— Sell GBP/CHF	-1.39%
	GBP/NOK, GBP/SEK	— Sell GBP vs 50:50 basket of NOK & SEK	-0.17%
	EUR/NOK, EUR/SEK	— Sell EUR vs 50:50 basket of NOK & SEK	-0.60%
	AUD/USD, NZD/USD	— Re-enter 50:50 basket of AUD & NZD vs USD	-0.22%
	USD/JPY	— Re-sell USD/JPY	0.55%
	EUR/GBP	— Buy EUR/GBP	-0.71%
Options (new)			
Options (existing)	USD/CAD	— Hold 6m USD/CAD 1.3550 put; unwind 1.3100 leg from put spread. Spot ref 1.3655. Cost 114bps.	-0.71%
Closed	CAD/NOK	— Sell CAD/NOK	0.51%
	NZD/SEK	— Sell NZD/SEK	-1.42%
Derivatives portfolio			
RV (new trades)	EUR/BRL	— Sell a 4M EUR/BRL 6.80 one-touch call	-4.00%
	USD/MXN	— Buy USD/MXN 1Y6M vs. 6M6M 2*1 vega notional	-0.3 vol pts
RV (existing)	CNH/INR	— Buy a 2M CNH/INR ERKO put ATM strike with a down and out barrier at 11.7	-51 bps.
	USD/HUF-USD/PLN	— Buy 3M 1% OTMS USD put/HUF call vs. sell 3M 1% OTMS USD put/PLN call	29 bps.
	SEK-EUR	— Buy 1Y USD/SEK vs. short 1Y EUR/USD straddle, equal vega, delta-hedged.	-0.4 vol pts.
	EUR/GBP-EUR/AUD	— Open short 3M EUR/GBP vs. EUR/AUD correlation swap	2 corr pts.
	EUR/ZAR	— Open EUR/ZAR 3M 20 - 21.5 DNT	6.00%
	AUD/USD	— Open long AUD/USD 2M2M FVAs	-0.4 vol pts.
RV (closed)			

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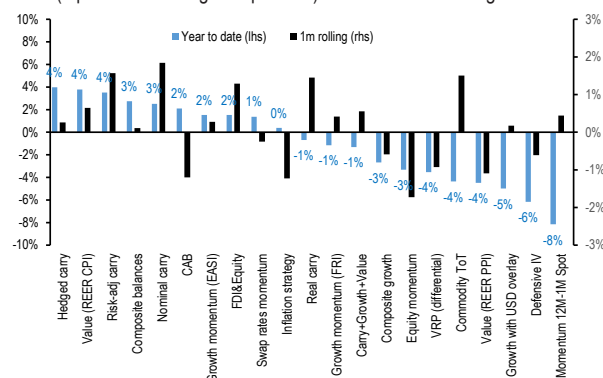
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FX Models

Figure 15: Carry strategies have broadly outperformed over the past month in the Global portfolio; defensive strategies (e.g. external balances) have underperformed commensurately

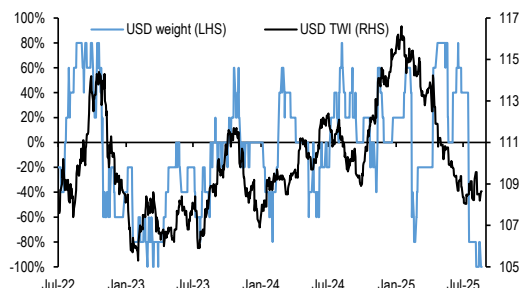
YTD & rolling 1M returns of FX single signal cross-sectional strategies with trading costs (top 5/bottom 5 in global portfolio). Calculation as of August 18th.



Source: J.P. Morgan

Figure 16: The USD weight in our economic momentum framework is now at -100%, reflecting broad-based growth resilience

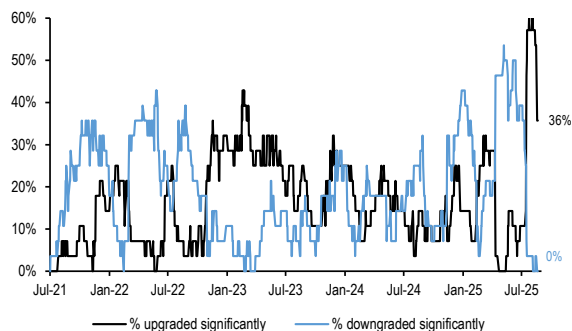
Net longs on USD vs. high beta FX (% total exposure) allocated to USD positions, plotted against USD TWI



Source: J.P. Morgan

Figure 17: 36% of currencies in our global universe show significantly positive growth momentum vs 0% negative

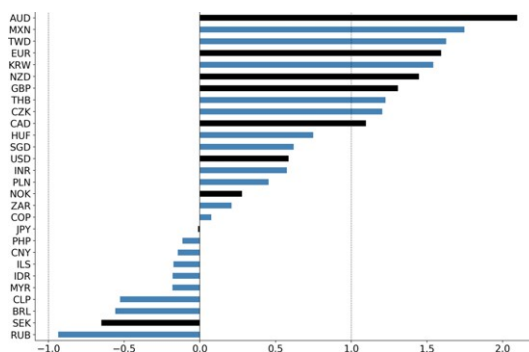
Percentage of countries (among 28 tradable currencies) for which the 1yr z-score of 3mo changes in JPM FRI exceeds +/- 1-sigma



Source: J.P. Morgan

Figure 18: ~80% of currencies have seen a partial growth forecast upgrade since Liberation Day tariffs were initially postponed in mid-April; US growth momentum ranks mid-pack globally

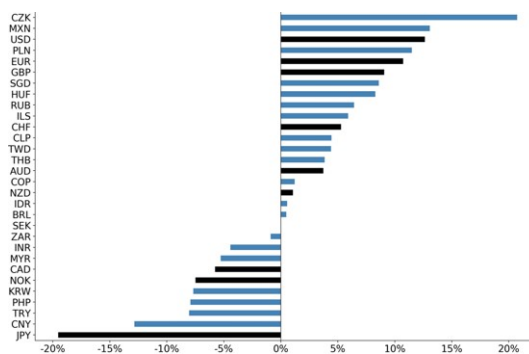
1yr z-score of 3M changes in JPM Forecast Revision Indices



Source: J.P. Morgan

Figure 19: More currencies screen rich (19) vs cheap (11) on long-term metrics; EUR richness has further reduced

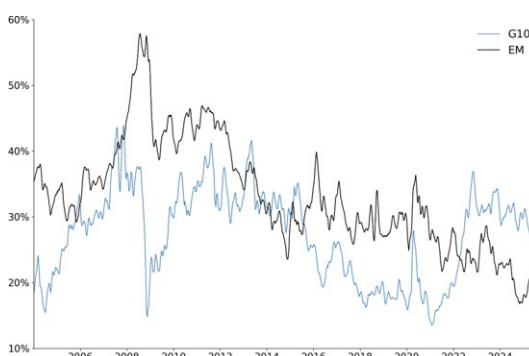
Current deviation of average REER PPI/CPI vs 15yr moving average, %. +/- value indicates currency is rich/cheap



Source: J.P. Morgan

Figure 20: G10 and EM valuation dispersion have nearly converged for the first time since 2022

Valuation gap between longs and shorts in top 2/bottom 2 G10 & top 3/bottom 3 EM average REER PPI & REER CPI strategies.



Source: J.P. Morgan

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Figure 21: The TEAM portfolio retains its pro-cyclical bias; favored longs include LatAm, ZAR & IDR in EM, along with CAD & AUD in G10; on the other hand, CHF, CZK, PLN & USD are among the shorts; USD has shown some improvement driven by less-poor local growth signals, but still ranks near the bottom globally (below EUR & JPY)

Latest currency weights & input variables from our FX multi-factor T.E.A.M model. Rebalancing occurs on Tuesdays. All signals are z-scored in the cross-section

Dispersion Weight:	12%	16%	14%	11%	18%	10%	5%	13%	Composite multi-signal score	Top 5 / Bottom 5 weights	Variance - TEAM Score Ptf Optim
Exposure	Carry		Growth			Defensive	ToT	Value			
Signal:	Real Carry	RA Carry	Equity 1M	FRI MoM	EASI	3MIV Chg	Com. ToT	REER	TEAM Score	2w chg	Weights
IDR	0.64	2.00	0.27	-0.94	2.00	0.08	0.31	0.17	0.73	-0.23	20%
BRL	2.00	1.81	-0.26	-1.45	0.81	2.00	0.04	0.27	0.73	0.19	20%
ZAR	1.41	0.58	0.09	-0.49	0.76	0.58	2.00	0.42	0.57	0.06	20%
TWD	-0.68	0.04	0.45	1.27	1.55	1.82	-0.05	-0.27	0.55	-0.08	20%
COP	1.33	0.74	1.80	-0.66	0.96	-0.85	-0.73	0.17	0.54	-0.06	20%
MXN	1.41	1.03	0.50	1.42	0.25	-0.32	-0.42	-1.23	0.40	0.16	-
CAD	-0.63	-0.82	-0.12	0.63	1.65	0.33	-0.95	0.93	0.25	0.09	-
AUD	-0.14	-0.16	0.13	1.86	-0.67	0.88	-0.12	-0.16	0.13	0.15	-
PHP	0.94	0.54	-0.86	-0.93	0.28	-0.82	0.14	1.16	0.10	-0.01	-
INR	0.35	1.00	-1.31	-0.08	0.28	-0.33	-1.20	0.75	0.07	0.12	-
KRW	-0.60	0.04	-1.04	1.34	-0.99	1.19	0.28	1.09	0.04	-0.14	-
JPY	-1.30	-1.00	2.00	-0.76	0.41	-1.72	0.01	2.00	0.04	0.27	-
HUF	-0.02	0.54	0.94	0.20	-0.67	-0.34	0.21	-0.68	0.01	0.08	-
NZD	-0.52	-0.34	-0.58	1.08	-0.32	0.83	0.57	0.09	-0.01	-0.03	-
SGD	-0.12	0.04	-0.31	0.00	0.63	0.02	0.49	-0.76	-0.02	0.00	-
NOK	-0.11	-0.01	-0.67	-0.42	-0.12	0.36	-0.81	1.12	-0.03	-0.08	-
THB	0.17	-0.55	-0.16	0.89	-1.26	0.96	-0.64	-0.21	-0.17	-0.42	-
CNY	-0.25	-2.00	0.28	-1.04	0.10	-0.43	-0.13	1.67	-0.24	-0.33	-
SEK	-1.29	-0.55	-0.16	-1.57	0.32	0.55	0.85	0.27	-0.26	0.14	-
EUR	-0.83	-0.74	-0.16	1.26	-0.66	0.10	0.57	-0.99	-0.32	0.12	-
GBP	-0.49	-0.07	-0.20	1.00	-2.00	0.05	1.40	-0.82	-0.38	-0.11	-
USD	-0.01	0.04	-0.07	-0.02	-0.32	-1.72	-1.27	-1.27	-0.47	0.05	-
PLN	0.53	0.20	-0.72	-0.14	-1.54	-0.40	-0.02	-1.05	-0.47	-0.25	-20%
CZK	-0.57	-0.25	-0.20	0.75	-0.88	-0.10	0.09	-2.00	-0.48	0.01	-20%
ILS	-0.73	0.01	-2.00	-0.98	0.28	0.34	-0.53	-0.47	-0.49	0.22	-20%
CLP	-0.67	0.00	2.00	-1.48	-1.44	-1.63	-1.45	-0.25	-0.49	0.00	-20%
CHF	-1.15	-1.36	-0.61	-0.76	0.51	-1.72	-0.51	-0.38	-0.70	0.10	-20%
TRY	Currently excluded: systematically not tradable										
MYR	Currently excluded: systematically not tradable										
RUB	Currently excluded: systematically not tradable										

Source: J.P. Morgan

Real Carry: Currency 1M forward implied yield – core CPI

RA Carry: Currency 1M carry vs USD / dollar pair 1M ATM implied volatility (risk-adjusted carry)

Equity 1M: 1M return of MSCI local Currency equity index

FRI MoM: 3M change in J.P. Morgan Growth Forecast Revision Indices

EASI: 6W moving average of J.P. Morgan Economic Activity Surprise Indices

3MIV Chg: 1M change in dollar pair 3M ATM implied volatility (traded mean-reversion)

Com. ToT: 3Y Z-Score of 1W4W and 1M12M commodity terms of trade deviations (average)

FDI & Equity: Last Foreign Direct Investments and Equity Flows

Figure 22: Current Top 5/Bottom 5 allocation of our single signal cross-sectional strategies

	Carry + Growth + Value	Risk-adj carry	Nominal carry	Hedged carry	Real carry	Value (REER PPI)	Value (REER CPI)	CAB	FDI & Equity flows	Composite balance	Growth EASI	Growth FRI	Composite growth	Growth FRI USD overlay	Swap rates momentum**	G10 rates momentum*	Inflation**	Momentum Spot**	Equity momentum	Commodity ToT	Defensive IV	VRP (differential)
top 1	INR	BRL	BRL	BRL	BRL	PHP	JPY	SGD	SGD	SGD	IDR	AUD	TWD	AUD	CAD	JPY	INR	SEK	JPY	CLP	BRL	INR
top 2	PHP	MXN	MXN	HUF	ZAR	JPY	BRL	NOK	COP	SEK	TWD	MXN	MXN	MXN	CAD	JPY	JPY	TWD	JPY	ZAR	BRL	IDR
top 3	ZAR	MXN	COP	INR	MXN	CNY	NOK	TWD	BRL	EUR	ZAR	KRW	CAD	CAD	EUR	EUR	EUR	CHF	CLP	GBP	KRW	AUD
top 4	MXN	COP	ZAR	USD	PHP	INR	CLP	SEK	PHP	PHP	ILS	CAD	TWD	AUD	EUR	SEK	PLN	PLN	HUF	CAD	THB	THB
bottom 5	COP	IDR	INR	PLN	IDR	KRW	CNY	CHF	EUR	CZK	SEK	EUR	NZD	KRW	NOK	THB	THB	THB	IDR	NZD	AUD	CAD
bottom 4	EUR	CAD	TWD	ILS	ILS	CZK	SGD	GBP	KRW	NZD	GBP	IDR	CNY	USD	MXN	-	CNY	-	KRW	TWD	COP	CHF
bottom 3	SGD	JPY	SGD	KRW	EUR	CLP	MXN	BRL	CHF	KRW	PLN	CNY	SEK	USD	ZAR	-	NZD	-	PLN	THB	CLP	USD
bottom 2	CZK	SGD	CNY	AUD	CHF	MXN	USD	PHP	NOK	AUD	KRW	BRL	PHP	USD	THB	-	BR	USD	NOK	INR	CHF	PHP
bottom 1	CHF	CHF	JPY	JPY	JPY	BRL	PLN	USD	HUF	CHF	THB	CLP	PLN	USD	BRL	AUD	ZAR	MXN	INR	ILS	USD	JPY
bottom 1	CLP	CNY	CHF	JPY	NZD	SEK	EUR	CZK	NZD	TWD	HUF	CLP	SEK	CLP	USD	SGD	USD	MXN	INR	ILS	CNY	JPY

*G10 basket only; **Basket of 20 most liquid currencies only

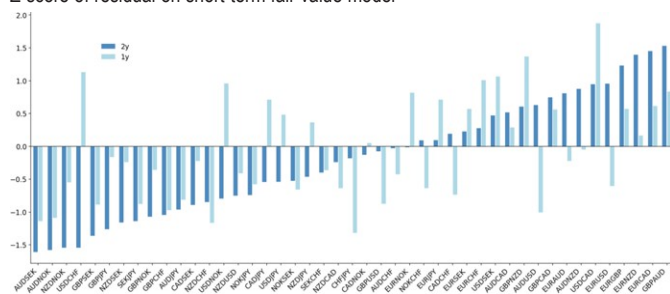
Source: J.P. Morgan

G10 FX short-term fair value

Cross-sectional overview

Figure 23: GBP/AUD, EUR/CAD, EUR/NZD among the richest; Antipodeans vs Scandis remain cheapest

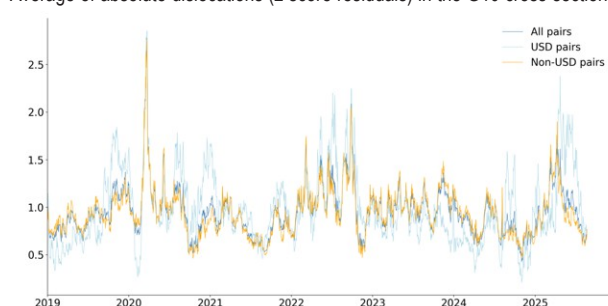
Z-score of residual on short-term fair value model



See updated [methodology note](#) for details. Inputs: 2y OIS rate spread, relative JPMaQs commodity terms of trade for all pairs, and peripheral spreads for EUR pairs. 2y and 1y regression hz. Values on all charts as of 121-Aug COB. Some models may have low R-squared or negative/unintuitive coefficients, but all are included.
Source: J.P. Morgan

Figure 24: FX dislocations had declined to cycle lows but have come off the lows slightly of late

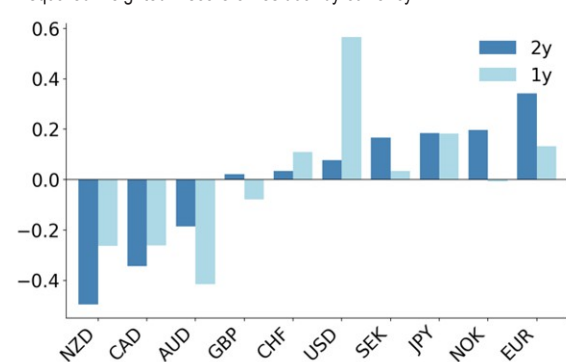
Average of absolute dislocations (z-score residuals) in the G10 cross section



Source: J.P. Morgan

Figure 25: USD has started to screen rich on 1y models; NZD is now the cheapest in the cross section followed by CAD

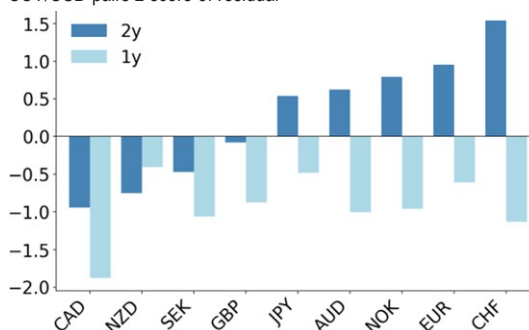
R-squared-weighted z-score of residual by currency



Source: J.P. Morgan

Figure 26: CAD & SEK are cheapest vs USD

CCY/USD pairs z-score of residual

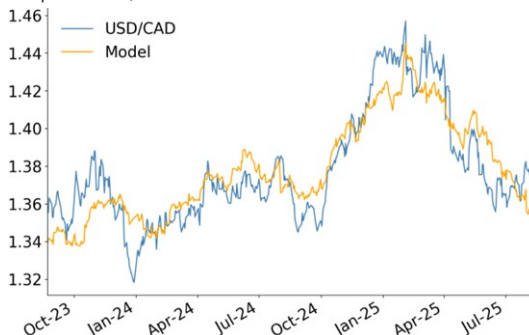


R-squared: EUR/USD: 2y 0.49, 1y 0.69; GBP/USD: 2y 0.7, 1y 0.65; AUD/USD: 2y 0.24, 1y 0.42; NZD/USD: 2y 0.54, 1y 0.66; USD/CAD: 2y 0.77, 1y 0.79; USD/NOK: 2y 0.11, 1y 0.58; USD/SEK: 2y 0.68, 1y 0.76; USD/CHF: 2y 0.01, 1y 0.25; USD/JPY: 2y 0.18, 1y 0.62; AUD & NOK mispricing is exaggerated by negative beta on TOT, which has been moving in their favour; EUR sees the opposite with a negative beta to TOT now suppressing the mispricing.
Source: J.P. Morgan

Notable charts

Figure 27: USD/CAD overshoot has extended as FV trended downwards but spot has rallied

USD/CAD vs 2y regression model based on 2y OIS rate differential & relative CTOT; R-squared 0.77, z-score +0.94 s.d.



Source: J.P. Morgan

Figure 28: NZD/USD screens cheap now but FV has also dropped post-RBNZ

NZD/USD vs 2y regression model based on 2y OIS rate differential, relative CTOT; R-squared 0.54, z-score +0.59 sd.



Source: J.P. Morgan

Macro Trade Recommendations

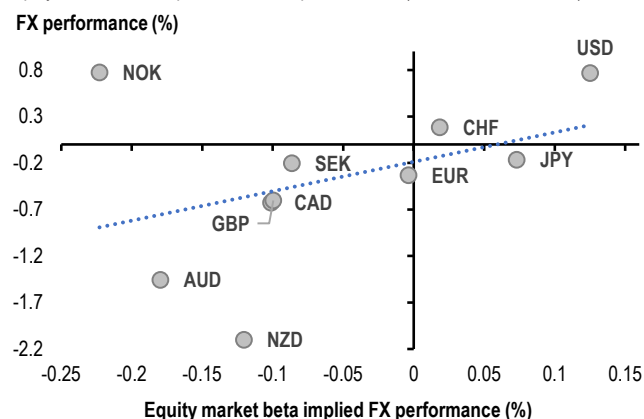
- **USD strengthened into today but a dovish Jackson Hole, resilient global growth, US equity underperformance, Fed independence risks and the possibility of a second weak payrolls print keep us engaged with downside trading expressions.**
- **The PMI data this week delivered upside surprises and continued global growth resiliency poses risks to funding currencies (JPY, CHF) while suggesting markets may not be too far from the middle of the dollar smile.**
- **Central bank outcomes didn't go our way this week, with the dovish RBNZ and less dovish Riksbank combining for us to close out our tactical long NZD/SEK trade.**
- **Renewed US led equity market weakness has the potential to weaken the dollar, but for now it's outperforming its equity beta, as is NOK, while AUD and NZD underperform.**
- **The upside surprise on Norwegian GDP has the market questioning a September Norges Bank cut and can support NOK further. Stay long NOK vs EUR and GBP.**
- **GBP lingered at weak levels relative to strong PMI and sticky CPI data, which suggests political and fiscal risk premium remains a weight into the UK budget.**
- **CPI data in Canada this week was relatively soft, but USD/CAD trades materially above fair value, so we take profit on the far strike of our put spread this week and hold the position.**
- **New trades: None.**
- **Existing trades: Short USD vs EUR, AUD, NZD, JPY in cash. Short GBP vs EUR, NOK, SEK, CHF. Short EUR vs NOK, SEK. Hold 1.3550 USD/CAD put; unwind 1.31 short leg of put spread.**
- **Closed trades: long NZD/SEK in cash.**

Since adding back to short USD exposure after the weak August payrolls print, our portfolio hasn't seen the follow through we expected and instead has been caught between mixed US data flow, increased Fed independence issues and resilient global growth. After Jackson Hole, we aren't minded to overhaul our portfolio as a second weak payrolls print in a few weeks time would validate Powell's dovish labour market comments and aid our USD trades. Fed independence risk stepped up a notch this week, with calls for the

resignation of Gov. Lisa Cook, and it might take until after summer liquidity conditions for the market to apply an appropriate dollar risk premium there. For some of our other more medium term trading themes, we are quietly confident despite price action not going entirely our way. Long end yields have continued their grind higher and so fiscal differentiation should be a core theme, which is perhaps why GBP hasn't reacted as strongly to solid PMI and sticky inflation readings this week (stay short GBP vs NOK, SEK, CHF, EUR). Tariff RV has been a key theme for us all year, and the Norwegian krone's place in that theme (low manufacturing share, meaning tariff isolation) arguably took on new life this week as a solid GDP print started to put Norges Bank's September rate cut in doubt (stay long NOK vs EUR, GBP). Our tactical trading didn't go as planned, with central bank RV between RBNZ and Riksbank disappointing, prompting us to close our NZD/SEK long ([link](#)). In terms of trading adjustments, we take advantage of USD/CAD levels to take profit on the far leg of a put spread there.

Figure 29: Equity market weakness has the potential to weaken the dollar in our view, but for now it's outperforming its equity beta, as is NOK, while AUD and NZD underperform

JPM NEER FX performance since global equity highs on 13th August (%) vs global equity market beta implied NEER FX performance (% MSCI World index)



Source: Bloomberg Finance L.P., J.P. Morgan

Despite flow data for prior months pointing the other way ([link](#)), US equities have been quietly and modestly underperforming against a range of indices in August (Figure 30), which back in Q1 ended up being arguably the primary driver of dollar weakness. Could a more constrained Fed be driving this? We had set out a scenario landscape for the dollar whereby if the Fed were able to cut that would weaken the dollar via rate spreads, but if the Fed were more constrained by inflation (as may be showing in the recent US PPI print) then US equity underperformance, along with real yields, may be the more valid channel for dollar weakness. Time will tell, but the recent upward growth revisions from our economists may also be helping this turn in relative equi-

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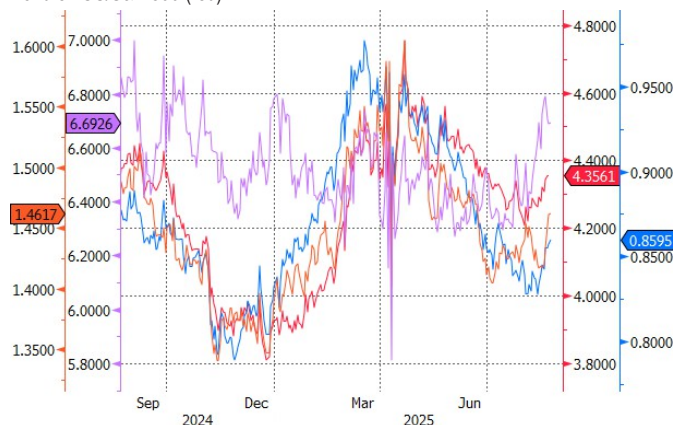
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ty performance ([link](#), [link](#)), sending hints of the middle of the dollar smile to markets. This week's PMI data also helped the cause with composite beats across Eurozone, UK and US. This is a risk for our view on funding currencies like JPY and CHF. There are still unanswered questions; however, if we consider the drivers of global growth it doesn't look like a typical set up for an acceleration beyond resilience (sticky yields, central bank struggling to cut, "unbearably light" China credit growth ([link](#)), housing markets struggling across key DMs ([link](#)), tariff uncertainty weighing on manufacturing and lower probability of Russia/Ukraine ceasefire ([link](#))). One key difference to previous cycles is that some of the downside pressure on US growth looks to be reasonably independent from global growth cycle drivers, such as US immigration policy, the breadth of the US tariff agenda (and associated differential in inflation impact) and inventory accumulation by US corporates. That helps the USD bear case and lessens the risk from resilient global growth to the funders (JPY and CHF) vs the dollar.

Figure 30: US equities have begun to quietly underperform again in August, after a run of months of outperformance, which ties in with the global growth upward revisions we've been seeing, and displays hints of the middle of the dollar smile

Nikkei/S&P 500 (purple), SX5E/S&P 500 (blue), FTSE 100/S&P 500 (orange), MSCI world ex-US/S&P 500 (red)



Source: J.P. Morgan, Bloomberg Finance L.P.

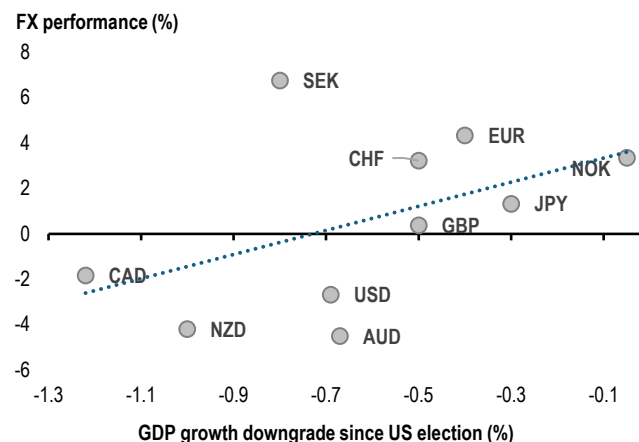
Recent moves in long end DM yields should keep the fiscal differentiation theme alive, stay short GBP vs Scandis.

The topic for Jackson Hole is labour markets and demographics, and we can't help but wonder whether long end DM fixed income is currently pricing more structural themes around the turn in dependency ratios and shrinking of global savings, but the read across to FX should remain that currencies with a lack of fiscal space underperform. What stood out this week is the lack of GBP strength on strong PMI and inflation data, which suggests focus may be on long end gilts and pressure on the Chancellor. Sticky inflation, critiques on UK tax policy options and UK yield moves all add to UK government fund-

ing gap woes heading into the autumn budget. With EUR/GBP trading inline with short term fair value once the 2s30s gilt curve and 2y nominal rate spreads are accounted for, then there doesn't appear to be enough risk premium in GBP as we get closer to key fiscal event risk in our view. As we move into September, we anticipate a positioning dynamic for GBP where investors who are long will want to at least scale down or square their position as markets start to focus on the budget.

Figure 31: Norway has seen the least growth downgrades of any G10 economy since the US election, yet hasn't performed as well as some European peers

NEER FX performance since the US election (%) vs cumulative 2025 and 2026 sell-side consensus GDP growth forecast downgrades since the US election (%)



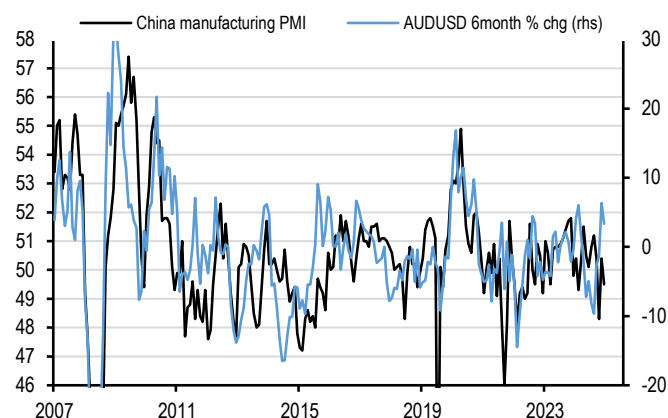
Source: J.P. Morgan, Bloomberg Financial L.P

It's a relatively light data calendar next week, aside from US growth data which includes Q2 GDP, so FX price action will largely be determined by the cross asset response to the fallout from Jackson Hole. Within the Q2 GDP data, real consumption will be scrutinised by markets, and will inform the recent US equity underperformance and therefore the dollar. The quiet calendar though will also have markets looking ahead to payrolls data the week after, which may limit dollar volatility next week. Overall we're happy to continue running our core portfolio and trading themes as it's hard to make any major adjustments before the next payrolls print, which arguably takes on even more importance than it usually does, though vol markets don't appear to be pricing excessive forward risk premium to that event at the moment. Mopping up a few residual trading theme topics: the RBNZ shocked us by going further than a simple rate cut with what we thought were excessively dovish descents for 50bps, while Riksbank didn't lean on the weak growth narrative to keep optionality open for a September rate cut, so we cut our tactical NZD/SEK long. SEK, however, stands out as quite resilient to recent rate spread moves, and we maintain our medium term SEK longs vs GBP and EUR as the krona should benefit from flow, valuation and fiscal dynamics. The other

emerging theme in Scandi space is potentially a Norges Bank struggling to cut and the support that offers NOK after this week's GDP print ([link](#)), so we stay long the krone vs GBP and EUR as well. It's worth noting as we have done in our monthly KCV publications that NOK remains the currency with the fewest growth downgrades since the US election (Figure 31), which is testament to its low manufacturing share and resilience to tariff uncertainty.

Figure 32: With growth resiliency in focus, AUD/USD returns are only running modestly ahead of China PMI implied levels

AUD/USD 6 month % change vs China manufacturing PMI



Source: J.P. Morgan, Bloomberg L.P.

Figure 33: A basket of cyclical vs defensive currencies doesn't appear too far detached from the mediocre levels of the global manufacturing PMI

FX growth basket (short USD, EUR, JPY, CHF vs long GBP, AUD, NZD, CAD, NOK, SEK. All in NEER terms. Y/Y change) vs global manufacturing PMI



Source: J.P. Morgan, Bloomberg Finance L.P.

Trades

- Stay short GBP vs EUR, Scandis, CHF

We remain of the view that investors should be using any GBP rallies to set up bearish multi-month exposure cover-

ing the UK budget. Our GBP trades were put under pressure last week after the hawkish BoE and stronger GDP print, and while they remain in the red, they have clawed back some PnL. What stood out this week is the lack of GBP strength on strong PMI and inflation data, which suggests focus may be on long end gilts and pressure on the chancellor. Sticky inflation, critiques on UK tax policy options and UK yield moves all add to UK government funding gap woes heading into the autumn budget. With EUR/GBP trading inline with short term fair value once the 2s30s gilt curve and 2y nominal rate spreads are accounted for, then there doesn't appear to be enough risk premium in GBP as we get closer to key fiscal event risk in our view. As we move into September, we anticipate a positioning dynamic for GBP where investors who are long will want to at least scale down or square their position as markets start to focus on the budget. Recent moves in long end DM yields should keep the fiscal differentiation theme alive, stay short GBP vs Scandis.

UK PMI data showed an undershoot on manufacturing (47.3 vs 48.3) and a beat on services (53.6 vs 51.8) leading to an upside surprise on the composite (53 vs 51.6), though the sterling reaction seems more muted than the strength in the services sector would usually imply. Perhaps the lack of movement in the composite PMI level readings for employment and prices are limiting the response of the currency to the headline figures, given the surprisingly hawkish BoE. Or focus for the currency may be on the recent long end gilt moves or news around UK tax options instead. Some of the growth-related PMI internals gained material ground such as composite new orders, with services sector companies citing improved demand conditions. There were significantly fewer references to government policy holding back growth and employment in the PMI documentation compared to July, which is a positive. EUR/GBP is now trading slightly further above fair value (0.86) than it was earlier in the week, which also suggests focus for the currency may be away from the data. We remain short GBP vs the European crosses. The risk to our view is a rebound in growth, which enables the economy to withstand fiscal tightening, and, although UK data surprises still hover near the lows, this PMI itself is a challenge, but the price action is quite encouraging.

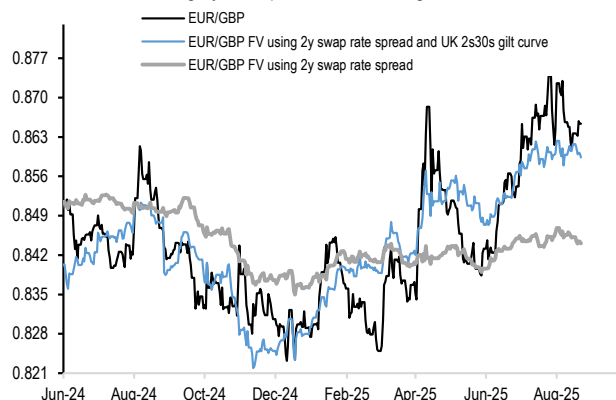
Incremental information this week (stronger PMIs, Euro area growth forecast upgrade) **has challenged the CHF leg of the trade**, but we hold it as 1) the trade hinges more on the GBP side, 2) this provides a hedge to risk off/ equity market weakness which CHF would benefit from, 3) the BoP-SNB flow picture is likely still positive and the constrained SNB on policy and intervention, 4) the decline in the probability of a Ukraine Russia ceasefire ([link](#)), 5) the mitigation factors limiting CHF weakness on US-Swiss tariffs ([link](#)), 5) the potential for support for funding currencies like CHF and JPY

on the back of a dovish Fed and/or soft US payrolls report, 6) still doubts over the health of the global growth cycle from “unbearably light” China credit growth ([link](#)), housing markets struggling across key DMs ([link](#)) and tariff uncertainty weighing on manufacturing.

- **Hold long EUR/GBP. Spot ref 0.87104. Stop loss 0.84926. Marked at -0.71%**
- **Hold short GBP/CHF. Initial spot ref in basket 1.0762. Stop loss 1.0493. Marked at -1.39%.**
- **Hold short GBP vs 50:50 basket of NOK & SEK in cash. Spot refs 13.8000 / 12.7560. Stop loss -2.5%. Marked at -0.17%.**

Figure 34: EUR/GBP retraced back to fair value last week once we account for 2s30s gilt curve and 2y rate spreads. On this measure there is very little risk premium in GBP as markets head towards the UK budget event risk

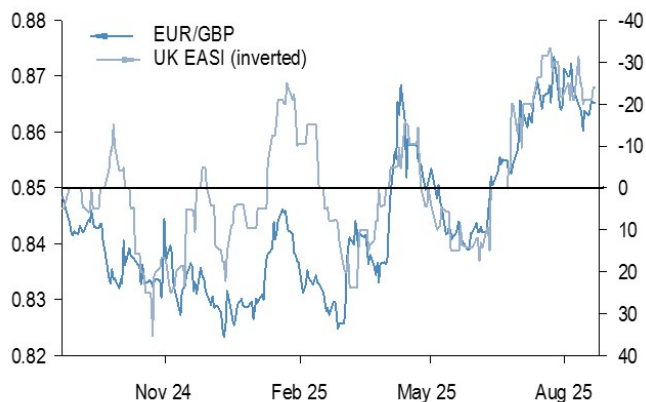
EUR/GBP fair value using 2y rate spreads and 2s30s gilt curve



Source: JP Morgan Research, Bloomberg Financial L.P

Figure 35: The rally in EUR/GBP has been consistent with 20-30% of UK data missing expectations on net

EUR/GBP vs UK EASI



Source: JP Morgan Research, Bloomberg Financial L.P

- **Hold long AUD, NZD vs USD cash basket; closed long NZD/SEK cash intraweek**

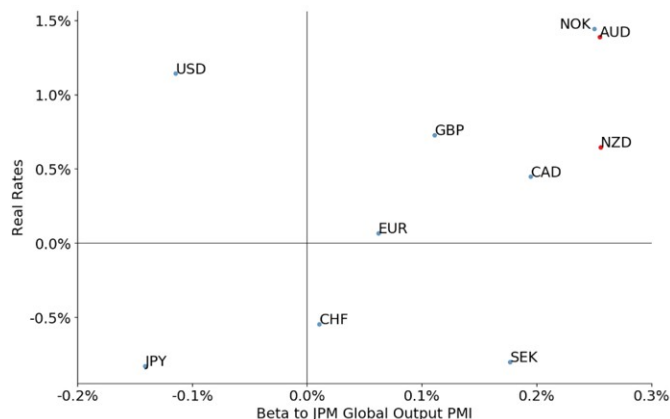
Our long Antipodeans cash basket vs USD faced a major setback this week via the dovish RBNZ cut. Our [local economists](#) had an out-of-consensus call looking for the Bank to remain on hold, which led us to add an additional NZD long vs SEK last week ahead of the decision (see [here](#)). But the RBNZ did not stay on hold, and instead delivered a 25bp cut with dovish undertones as some members of the committee considered a larger 50bp cut. NZD/USD fell >1% in the aftermath of that dovish surprise, thus dragging down the overall performance of our basket trade.

But while we closed our tactical NZD/SEK long earlier in the week after the Riksbank also disappointed our more dovish expectations (see [here](#)), **we stay long AUD & NZD vs USD as we remain constructive on the bottom-up stories for both Antipodeans, while we also see scope for broader USD weakness within a pro-cyclical market backdrop.** On the local side, the latest Australian consumer confidence and composite PMI data both posted gains to new multi-year highs, supporting our [local strategists'](#) outlook looking for a relatively shallow RBA easing cycle amid a domestic soft landing. More broadly, we maintain that both AUD and NZD can benefit from relatively elevated real yields within DM, their positive gearing to global PMIs and stronger CNY fixings, as well as their limited direct impact from US tariffs. This is further corroborated by the fact that both AUD and NZD rank favorably within G10 on our systematic TEAM model (see *FX Models* section). Moreover, Chair Powell's dovish speech at Jackson Hole catalyzed another bout of broad USD weakness, and when coupled with a broader pro-growth global backdrop, this should be conducive for further upside in both AUD/USD and NZD/USD. The upcoming data calendar is relatively light, though next week's AU CPI could see hawkish repricing for the RBA OIS strip (currently pricing ~30% odds for a Sep cut vs our economists see the next cut in Nov).

- **Hold long AUD, NZD vs USD basket in cash. Spot refs 0.6462 / 0.5902. Stop loss -2.5%. Marked at -0.22%.**
- **Closed long NZD/SEK cash intra-week (see [here](#)). Spot ref. 5.6642. Stop loss 5.5226. Marked at -1.42%.**

Figure 36: Both AUD and NZD can benefit from relatively elevated real yields and their positive gearing to global PMIs

X: Long-term beta of CCY/USD to global PMIs (monthly changes since start of PMI series in 1998); Y: real yield (%)



USD is USD TWI
Source: J.P. Morgan, Bloomberg Finance L.P.

- Stay short USD/JPY in cash

Our USD/JPY cash short has modestly outperformed since we last published. Indeed, USD/JPY has traded in a fairly narrow 146.50-148.50 range in August following the aftermath of the latest US payrolls report, and currently sits near the lower end of that range. We have [previously](#) flagged that USD/JPY is overshooting its fair value as implied by forward-looking rate differentials — this remains the case (Figure 37). Our [local strategists](#) have largely attributed this overshoot to lingering uncertainties around domestic politics and the timing of the BoJ's hiking cycle (our [Japan economists](#) still expect the next hike in October), and notably raised their USD/JPY forecasts in 2H'25 to reflect this risk premium (3Q now 146 from 141, 4Q now 142 from 140). Taken at face value, this forecast revision suggests somewhat lesser scope for USD/JPY to tactically extend lower than initially envisioned.

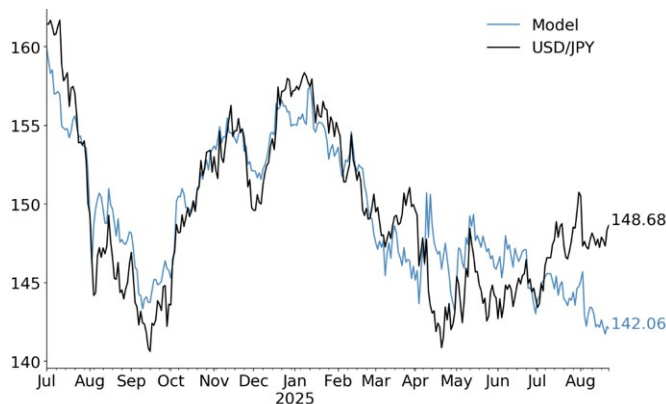
Nonetheless, we hold onto the position as we continue to see asymmetric risks around the Fed reaction function ahead of the next US payrolls report (Sep 5th). This week saw renewed, expanded pressure on Fed officials after President Trump called on Governor Lisa Cook to resign over alleged mortgage fraud; the knee-jerk reaction to those headlines saw USD/JPY move ~0.5% lower. We continue to see JPY as a primary beneficiary from any further concerns over the longer-term prospects for Fed independence. Later in the week, USD/JPY fell again after Chair Powell's Jackson Hole speech leaned dovish on net. From a technicals/systematic perspective, we note that long-JPY positioning no longer looks as crowded as earlier in the year (see [here](#)), while JPY also now ranks more favorably on our multi-factor TEAM model amid recent local equity momentum and cheap valua-

tions (see *FX Models* section). The key risk facing our short USD/JPY position is if the broader market backdrop remains conducive for pro-cyclical risk assets and the FX carry trade (see [here](#)), or if the US economy exhibits more resilience than expected. To that extent, next week's US macro data (GDP, core PCE), the Nvidia 2Q earnings report, and local Japan data (Tokyo CPI, retail sales) could serve as tactical catalysts.

- Hold short USD/JPY in cash. Spot ref. 148.15. Stop loss 151.8538. Marked at 0.55%.

Figure 37: USD/JPY continues to overshoot its fair value as implied by forward-looking rate differentials (FV ~142)

USD/JPY vs. model based on US-JN 1Yx1Y rate differentials



Source: J.P. Morgan, Bloomberg Finance L.P.

- Hold short EUR/Scandi basket

Our long Scandi baskets benefitted from better GDP data out of Norway this week, whereas the SEK leg has been tightly range-bound.

EUR/NOK does look fair to short-term drivers after it has begun again to trade with them in recent months (Figure 39), and **may need the rate differential to move in the NOK's favour again.** Solid Norwegian growth, as shown by this week's GDP, **likely limits the depth of the cutting cycle.** Norway's GDP grew much above expectations in 2Q (2.2%q/q saar vs 1.2% cons). Our economist points out that while activity in the mainland economy in recent years has been upheld by a combination of fiscal policy, exports and spillovers from the booming petroleum sector, the core parts of the economy, such as private consumption and housing, are now performing better (Norway GDP: Clear beat; questions for deep easing cycle, Lund). **The next key datapoint will be the regional network survey (11th Sep);** the last one highlighted Norway's relative insulation from tariffs compared to peers.

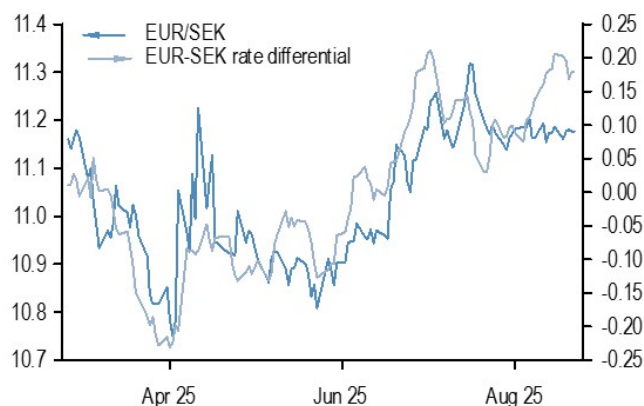
EUR/SEK range-bound price action stands out considering the rate differential moved ~10bp against SEK in recent

weeks (Figure 38). The drop in US yields in the preceding days may have helped provide some relief; we had been pointing out yields mattered more in 2023-24 than rate differentials but this had flipped again YTD where rate differentials began to matter more again in line with historical relationships. Alternatively, a stall in the renewed US equity outperformance vs Sweden may have also provided some relief. We have highlighted the continued equity outflows from Sweden in the three months to July after repatriation in 1Q which could be a drag on the currency; one pillar underpinning these is likely the SPX-OMX price action and in this regard, it helps that the halt in US equity outperformance vs Sweden (Figure 40) may provide at least a marginally lower incentive for outflows.

- **Hold short EUR vs 50:50 basket of NOK & SEK in cash. Spot refs 11.6523/11.1472. Stop loss -2.5%. Marked at -0.60%.**

Figure 38: EUR/SEK has been resisting the move up in rate differentials in EUR's favour

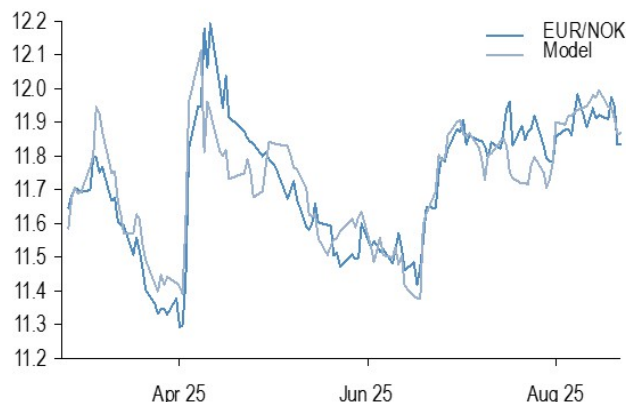
EUR/SEK vs EUR-SEK 5y rate differential



Source: J.P. Morgan

Figure 39: .. while EUR/NOK is broadly in line with fair value

EUR/NOK vs short-term model of 5y rate differentials, Brent and VIX



Source: J.P. Morgan

Figure 40: US equities have ceased to outperform Swedish equities, which was previously likely a pull factor on EUR/SEK which is now fading

EUR/SEK vs SPX/OMX ratio



Source: J.P. Morgan

- **Hold long EUR/USD in cash**

It was a reasonably good week for EUR, and we stay strategically long. First, details of the trade agreement with the US have emerged, which adds a degree of concreteness and finality that will help shore up confidence and help economic actors prepare for the future. That is a nice complement to the uptrend in economic surprises that we had recently been flagging, which looks to have translated to an optimistic flash PMI release for August and a subsequent 3Q GDP upgrade from our economists ([link](#)). In the details, output and new orders have both reached YTD highs, while price pressures are not nearly as intense as they appear in US surveys at the moment (Figure 41). This is consistent with a continued nar-

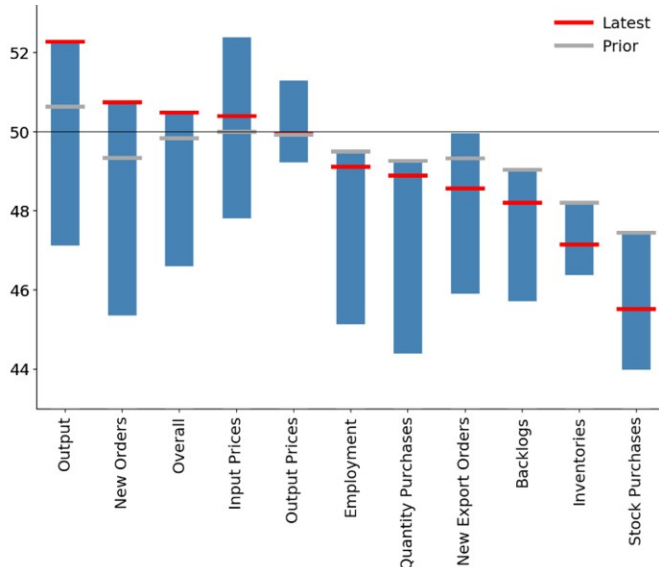
rowing and uptrend in EU-US real yield differentials (Figure 42). That fair value continues to creep higher and close the misvaluation vs spot is a healthy development that diminishes the perception of overvaluation in EUR. That has been boosted yet further by the dovish Jackson Hole delivery weighing on the USD TWI.

Still, the relatively range-bound nature of EUR/USD in August MTD leaves open the question of what the next catalysts can be to drive the pair to our 1.20 target, now with Jackson Hole in the rear-view. We discuss both the contribution to our forecasts, as well as some of those discrete drivers, in our latest [Key Currency Views](#) update. Beyond global growth resilience and some maturing FX hedging dynamics, the most obvious candidate now that Jackson Hole has passed will be the next US NFP print, with other drivers still intact but of potentially lower intensity.

- **Stay long EUR/USD in cash. Spot ref 1.1341. Move monitoring level to 1.14. Marked at +2.29%.**

Figure 41: The internals of the August flash manufacturing PMI for EUR were encouraging, and contributed to a 3Q GDP forecast upgrade

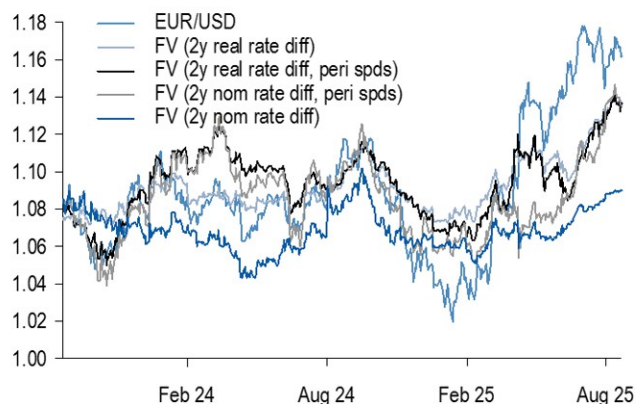
EUR flash Aug PMIs



Source: J.P. Morgan, Haver

Figure 42: EUR/USD screens less rich to fair value now compared to earlier in the year

EUR/USD vs various estimates of fair value; 2y rolling sample.



Source: J.P. Morgan

- **Took modest profit on short CAD/NOK last week; unwind far strike of 6m USD/CAD put spread**

Last week, we took modest profit on our second short-CAD/NOK position this year, in essence to take down a bit of USD exposure heading into this week's event risk. One of the merits of CAD/NOK is its traditionally-high beta to the USD TWI, and so with some risk of flagging sticky inflation, we opted to reduce. Our bias is to remain skeptical on CAD, and until last week, we had held a net short delta (short outright but long vs USD in 25d put spread), has in essence been working - CAD is the third weakest performer among the G10/EM majors so far in August. The combined weak-CA payrolls print from last week, alongside some easing up of inflation (after a run of stickiness - Figure 43) has helped keep CAD cyclically on the backfoot, especially considering rates pricing that had looked too skewed towards no further cuts this year.

But with small profits booked on CAD/NOK, that leaves us essentially long CAD, vs USD. To be sure, that trade is dependent on the broader USD TWI complex, particularly given the strength of realizing USD corrs of late (this received some impetus following Jackson Hole). It is striking, however, that USD/CAD is now overshooting fair value for the first time since early 1Q, before the tariff shock. More recently, USD/CAD had screened cheap to fair value as the USD complex as a whole was under duress. But even despite recent cyclical CA weakness, fair value hasn't moved the same way spot has. Thus while revisiting 1.39 is a surprise, USD/CAD can and should turn lower to close that misvaluation gap; 5y real yield differentials would suggest fair value is closer to 1.35-1.36 (Figure 44). Given the overshoot as well as the low level of USD/CAD vol (Figure 45), we're therefore inclined

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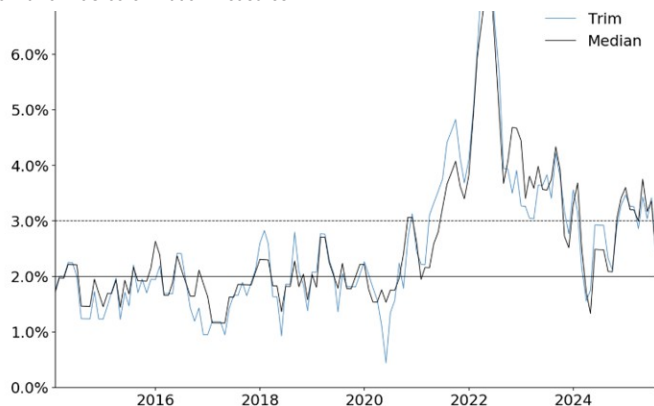
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to close the far strike of the USD/CAD put spread and instead run a vanilla put with some higher gearing to an increase in volatility.

- Took profit on short CAD/NOK on 15 Aug. Marked at +0.51%.
- Unwind short leg of 6m USD/CAD put spread for 9.3bps; hold 1.3550 put. Spot ref 1.3655. Cost 114bps. Marked at 51.5bps.

Figure 43: After the April pop, 3m run-rates of key core inflation measures are running back within the target band - taking some pressure off the BoC

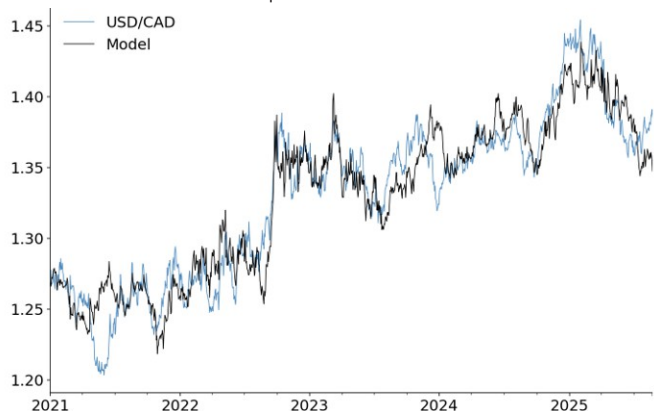
3m ar of BoC core inflation measures



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 44: USD/CAD is now overshooting fair value

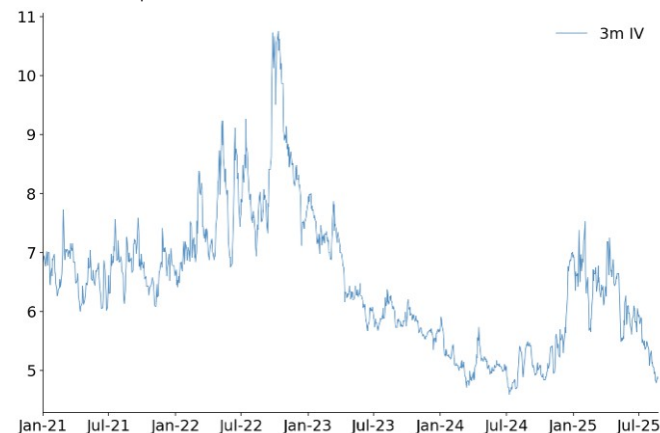
USD/CAD vs 5Y US-CA real rate spreads



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 45: USD/CAD vol is near the lows - an opportunity to scale up a bit

USD/CAD 3m implied vol



Source: J.P. Morgan, Bloomberg Finance L.P.

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Table 1: Current FX spot recommendations and P&L

Long	Short	Entry date	Entry level	Current level	Stop loss*	P&L since entry	Comments
NZD	SEK	15 Aug 25	5.6642	5.5831	5.5226	-1.42%	Took loss intra-week
NOK	CAD	27 Jun 25	7.3956	7.3739	7.61750	0.51%	Took profits last week
EUR	GBP	01 Aug 25	0.87104	0.86589	0.84926	-0.71%	Hold
AUD, NZD	USD	01 Aug 25	0.6462 / 0.5902	0.6462 / 0.5902	-2.50%	-0.22%	Hold long Antipodean/USD basket
JPY	USD	01 Aug 25	148.15	148.15	151.85	0.55%	Hold
EUR	USD	11 Apr 25	1.1341	1.1693	1.1400	2.29%	Hold
CHF	GBP	11 Jul 25	1.0762	1.0830	1.0493	-1.39%	Hold
NOK, SEK	GBP	23 Apr 25	13.8000 / 12.7560	13.6197 / 12.8711	-2.50%	-0.17%	Hold
NOK, SEK	EUR	20 Jun 25	11.6523 / 11.1472	11.793 / 11.1453	-2.50%	-0.60%	Hold

Marked at 3:30pm BST. * Stop-loss / take-profit levels expressed in spot terms, not accounting for carry unless specified.

Source: J.P. Morgan.

Table 2: Current FX derivatives (directional/non-RV) recommendations and P&L

Description	Entry date	Expiry date	Days to expiry	Entry level	Current level	P&L since entry**	Comments
Hold 6m USD/CAD 1.3550 put; unwind 1.3100 leg from put spread. Spot ref 1.3655. Cost 114bps.	27 Jun 25	24 Dec 25	124	1.14%	0.52%	-0.72%	Unwind short leg from put spread; hold 1.3550 put going forward

** P&L in % of asset unless otherwise specified. Marked at 3:30pm BST.

Source: J.P. Morgan

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Table 3: Performance Statistics

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008	2008-2024 avg
I. Macro Trade Recommendations portfolio																			
Cash																			
# of trades	38	36	17	39	37	44	27	30	46	38	51	55	54	28	42	89	63	85	46
Success rate	71%	67%	53%	67%	43%	43%	48%	60%	43%	55%	51%	56%	56%	61%	57%	53%	65%	59%	55%
Average return per trade (%)	0.08%	0.00%	-0.62%	1.00%	-0.35%	0.29%	0.22%	-0.01%	-0.52%	0.37%	0.19%	-0.09%	0.47%	0.25%	0.03%	0.02%	0.97%	1.96%	0.25%
Average holding period (calendar days)	34	28	36	41	41	34	37	32	51	37	20	28	20	25	25	24	20	31	31
Derivatives (non-digital)																			
# of trades	10	13	21	17	9	5	17	13	16	26	27	30	32	33	27	27	21	3	20
Success rate	50%	46%	38%	53%	33%	80%	41%	31%	44%	54%	48%	50%	31%	61%	74%	62%	62%	0.0%	48%
Average return per trade (%)	0.03%	0.00%	-0.38%	0.25%	-0.01%	0.34%	0.06%	-0.26%	-0.17%	0.40%	0.93%	0.02%	-0.13%	0.13%	0.94%	0.34%	0.55%	-0.57%	0.14%
Average holding period (calendar days)	81	64	59	51	42	62	51	47	62	52	66	46	65	58	71	54	59	66	57
Derivatives (Digital)																			
# of trades	1	4	4	7	1	3	2	2	2	11	3	2	3	5	10	4	21	5	5
Success rate	0	0%	0%	43%	0%	25%	0%	50%	0%	45%	33%	100%	67%	80%	50%	25%	38%	20%	34%
Average return per trade (%)	-9.5%	-13%	-23%	-1%	-11%	-4%	-8%	-4%	-23%	-1%	5%	49%	25%	12%	-1%	-7%	5%	-4%	0%
Average holding period (calendar days)	98	139	88	85	93	68	112	87	67	36	56	86	60	38	87	60	55	54	75
II. FX Derivatives portfolio (relative value)																			
Vol r.v																			
# of trades	18	23	24	30	26	27	16	25	34	52	58	51	36	41	37	45	32	13	34
Success rate	72%	61%	58%	60%	62%	67%	38%	48%	59%	67%	60%	57%	58%	54%	62%	69%	63%	77%	60%
Average return per trade (%)*	0.7	0.0	0.0	0.0	0.8	0.4	-0.5	-0.5	-0.1	0.1	0.2	0.0	0.3	0.1	0.1	0.7	0.1	0.3	0.1
Average holding period (calendar days)	50	73	77	50	58	65	69	81	63	62	56	80	73	81	47	99	73	53	68
Vol plus directional r.v																			
# of trades	6	5	7	5	3	6	13	7	15	6	15	9	3	11	14	4	-	-	8.2
Success rate	83%	80%	71%	60%	67%	67%	54%	43%	60%	50%	60%	67%	33%	91%	79%	50%	-	-	62%
Average return per trade (bp)	50	30	53	29	70	-7	6	-24	-13	-18	25	55	-182	37	16	-8	-	-	5
Average holding period (calendar days)	55	70	69	69	82	36	85	108	69	50	73	92	138	81	27	50	-	-	73
Digital																			
# of trades	1	11	7	1	4	3	2	1	1	10	2	2	6	6	2	-	-	3	4
Success rate	100%	45%	29%	0%	50%	0%	50%	100%	0%	40%	0%	50%	33%	50%	50%	-	-	33%	35%
Average return per trade (%)	30%	-3%	-4%	-10%	20%	-18%	15%	9%	-7%	11%	-14%	-6%	-7%	-7%	-13%	-	-	8%	-2%
Average holding period (calendar days)	52	74	97	29	47	75	34	49	157	37	94	59	92	51	25	-	-	33	63

*P&L in vol points. Source: J.P. Morgan

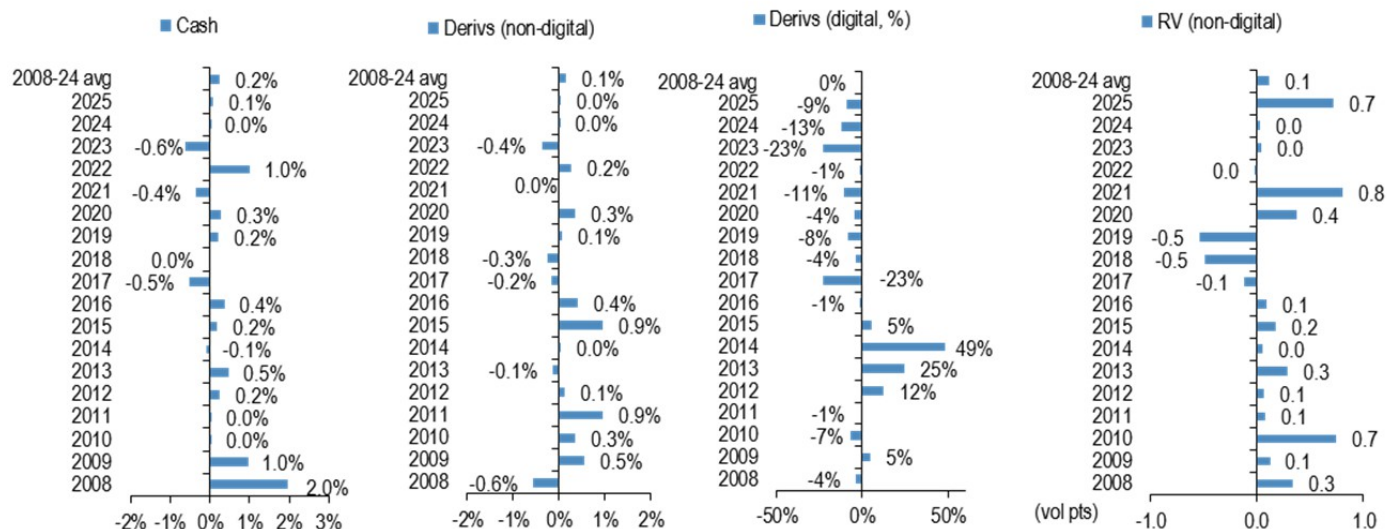
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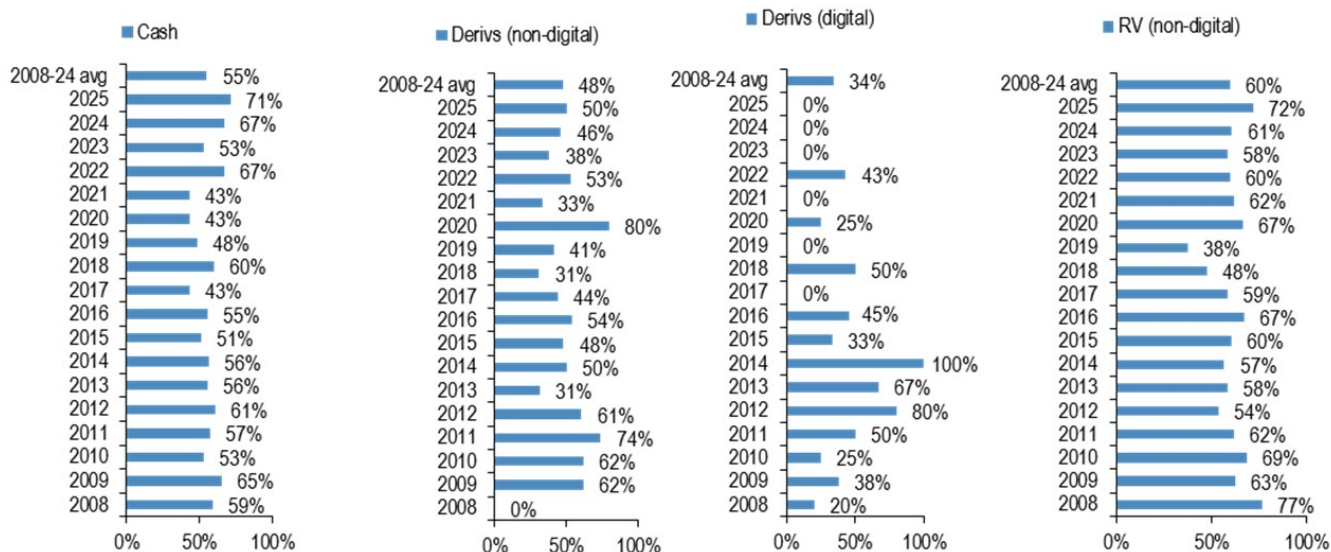
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Performance summary: Average returns per trade



Source: J.P. Morgan

Performance summary: Success rate by type of trade



Source: J.P. Morgan

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Global FX Strategy
FX Markets Weekly
22 August 2025

J.P.Morgan

II. Trades closed over the past 12 months

Macro Trade Recommendations portfolio

Cash

Long	Short	Entry date	Entry level	Exit date	Exit level	P&L
JPY	EUR	14 Nov 24	164.6200	20 Jan 25	161.3276	1.6%
JPY	CHF	26 Nov 24	173.9440	20 Jan 25	171.3348	1.5%
NOK	PLN	26 Nov 24	2.7020	23 Jan 25	2.7831	-3.2%
USD	EUR	06 Nov 24	1.0781	24 Jan 25	1.0475	3.2%
CHF	EUR	06 Nov 24	0.9418	24 Jan 25	0.9510	-1.5%
JPY	CAD	10 Jan 25	109.8450	24 Jan 25	108.7430	0.9%
SEK	EUR	26 Nov 24	11.5323	24 Jan 25	11.4595	0.6%
AUD	CAD	24 Jan 25	0.9049	02 Feb 25	0.9078	0.4%
USD, JPY	CAD	02 Feb 25	1.4744 / 105.174	04 Feb 25	1.4375 / 107.851	-2.5%
SEK	EUR	24 Jan 25	11.4614	14 Feb 25	11.2323	0.6%
SEK	GBP	10 Jan 25	13.7365	14 Feb 25	13.4858	0.8%
JPY	EUR	31 Jan 25	160.9700	14 Feb 25	159.5805	0.3%
CHF	EUR	02 Feb 25	0.9379	14 Feb 25	0.9441	-0.7%
USD	EUR, GBP	02 Feb 25	1.0249 / 1.2240	14 Feb 25	1.0478 / 1.2581	-2.4%
JPY	NZD	31 Jan 25	87.5050	21 Feb 25	85.7220	0.9%
SEK	GBP	10 Jan 25	13.7365	21 Feb 25	13.4471	0.9%
SEK	EUR	24 Jan 25	11.4614	28 Feb 25	11.1502	0.7%
JPY	CHF	31 Jan 25	170.4860	05 Mar 25	168.0000	0.2%
NOK, AUD	USD	07 Mar 25	10.8479 / 0.6299	25 Mar 25	10.5053 / 0.63	1.6%
SEK	USD	05 Mar 25	10.2550	25 Mar 25	10.0506	0.9%
EUR	USD	05 Mar 25	1.0758	28 Mar 25	1.0824	0.2%
SEK	EUR	07 Mar 25	10.9264	28 Mar 25	10.8262	0.5%
DXY components	USD	05 Mar 25	104.5600	28 Mar 25	104.0400	0.4%
NOK	EUR	07 Mar 25	11.7579	03 Apr 25	11.3964	1.3%
AUD	EUR	28 Mar 25	1.7201	03 Apr 25	1.7426	-1.3%
JPY	CHF	07 Mar 25	167.7000	10 Apr 25	173.5695	-3.5%
EUR	GBP	04 Apr 25	0.8477	25 Apr 25	0.8966	1.0%
JPY	NZD, USD	28 Feb 25	84.3590 / 150.6500	25 Apr 25	85.716 / 143.75	1.3%
NOK	SEK	02 May 25	0.9261	09 May 25	0.9383	1.4%
JPY	EUR	28 Mar 25	162.4800	09 May 25	163.5800	-0.9%
JPY	CHF	02 May 25	174.9530	20 May 25	174.1600	0.5%
AUD	NZD	02 May 25	1.0825	30 May 25	1.0776	-0.4%
NOK	CAD	30 May 25	7.4290	13 Jun 25	7.3023	1.8%
NOK, SEK	EUR	23 Apr 25	11.8130 / 10.9110	20 Jun 25	11.3964 / 10.8262	1.0%
AUD, NZD	USD	02 May 25	0.6444 / 0.6017	28 Jul 25	0.6559 / 0.601	0.4%
JPY	USD	02 May 25	144.5500	30 Jul 25	149.6093	-4.5%
NOK	CAD	27 Jun 25	7.3956	15 Aug 25	7.3739	0.5%
NZD	SEK	15 Aug 25	5.6642	21 Aug 25	5.58%	-1.4%

Long	Short	Entry date	Entry level	Exit date	Exit level	P&L
SEK	GBP	21 Nov 23	13.0730	05 Jan 24	13.0091	0.6%
JPY	GBP, EUR	26 Jan 24	188.41 / 160.87	02 Feb 24	186.53 / 159.10	1.0%
AUD	CAD	15 Dec 23	0.8971	08 Feb 24	0.8747	-2.6%
AUD	NZD	21 Nov 23	1.0870	09 Feb 24	1.0600	-2.8%
SEK	EUR	26 Jan 24	11.3319	01 Mar 24	11.1949	1.2%
CHF	EUR	26 Jan 24	0.9376	15 Mar 24	0.9610	-2.7%
JPY	EUR	02 Feb 24	159.8500	20 Mar 24	163.8463	-3.0%
SEK, CAD	NOK	15 Mar 24	0.9776 / 7.8351	22 Mar 24	0.9806 / 7.9163	0.3%
AUD, USD	CAD	22 Mar 24	0.8850 / 1.3570	12 Apr 24	0.8922 / 1.3734	1.0%
SEK	CHF	08 Mar 24	11.6515	12 Apr 24	11.9428	-2.3%
SEK	CZK	21 Nov 23	2.1419	26 Apr 24	2.1600	0.3%
USD	CHF	12 Apr 24	0.9118	26 Apr 24	0.9133	0.4%
NOK	SEK	26 Apr 24	0.9918	03 May 24	0.9969	0.5%
USD	CAD	12 Apr 24	1.3760	03 May 24	1.3684	-0.5%
USD	GBP	19 Apr 24	1.2462	21 May 24	1.2711	-2.0%
NOK	SEK	10 May 24	0.9992	24 May 24	1.0088	1.0%
NOK	CAD	02 May 24	8.0390	07 Jun 24	7.7400	3.7%
EUR, USD	CHF	24 May 24	0.991 / 0.9138	13 Jun 24	0.9521 / 0.8917	-2.3%
AUD	JPY, CHF	17 May 24	103.799 / 0.6055	21 Jun 24	105.726 / 0.5938	0.3%
AUD	JPY	21 Jun 24	105.7260	27 Jun 24	106.9400	1.2%
NOK	SEK	14 Jun 24	0.9858	10 Jul 24	0.9885	0.4%
AUD	NZD	14 Jun 24	1.0772	26 Jul 24	1.1132	3.3%
NOK	EUR	31 Jul 24	11.8321	02 Aug 24	11.9586	-1.1%
USD	NZD	12 Jul 24	0.6126	02 Aug 24	0.6027	2.7%
JPY	CAD	02 Aug 24	105.9140	06 Aug 24	105.9140	0.2%
CHF	EUR	26 Jul 24	0.9590	12 Aug 24	0.9536	0.9%
NOK	NZD	09 Aug 24	6.5120	16 Aug 24	6.4658	0.7%
USD	NZD	12 Jul 24	0.6009	20 Aug 24	0.6111	-2.5%
CHF	EUR	20 Aug 24	0.9521	23 Aug 24	0.9488	0.3%
JPY	EUR	23 Aug 24	162.2700	05 Sep 24	159.1700	1.8%
NOK	SEK	16 Aug 24	0.9777	06 Sep 24	0.9659	-1.1%
GBP	EUR	16 Aug 24	0.8526	05 Sep 24	0.8427	1.2%
NOK, SEK	EUR	23 Aug 24	11.7587 / 11.3954	19 Sep 24	11.7180 / 11.3420	0.9%
USD	CAD	27 Sep 24	1.3483	04 Oct 24	1.3576	0.7%
JPY	EUR, CHF	05 Sep 24	159.18 / 169.67	11 Oct 24	163.36 / 174.08	-2.7%
CHF	EUR	26 Sep 24	0.9466	25 Oct 24	0.9366	0.9%

Derivatives (non-digital)

Non-Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy NOK/SEK 3m put spread: K = 1.00 / 1.0250. Spot ref: 0.9898. Cost 47.5bps	26 Nov 24	0.48%	24 Jan 25	0.04%	-0.4%
Buy EUR/JPY 3m put spread: K = 160 / 156. Spot ref: 161.88. Cost 84bps	03 Jan 25	0.84%	21 Feb 25	1.68%	0.8%
Buy EUR/NOK 6m put spread: K = 11.70 / 11.40. Spot ref: 11.8403. Cost 82bps	25 Oct 24	0.82%	21 Feb 25	0.83%	0.0%
Buy GBP/NOK 3m put spread: K = 13.80 / 13.50. Spot ref: 13.9435. Cost 67.5bps	26 Nov 24	0.68%	28 Feb 25	0.00%	-0.7%
Buy EUR/USD 4m put spread: K = 1.05 / 1.02. Spot ref: 1.0530. Cost 77bps	15 Nov 24	0.77%	28 Feb 25	1.03%	0.3%
Hold CAD/JPY 6m vanilla put (K = 102.97). Spot ref: 105.20. Net cost 159bps	10 Sep 24	1.59%	10 Mar 25	1.03%	-0.6%
Buy EUR/SEK 3m put spread: K = 11.15 / 10.90. Spot ref: 11.1569. Cost 80bps	28 Feb 25	0.80%	28 Mar 25	1.77%	1.0%
Buy EUR/USD 3m call spread: K = 1.091 / 1.02. Spot ref: 1.0825. Cost 89.2 bps	28 Mar 25	0.89%	23 Apr 25	2.11%	1.2%
Buy EUR/JPY 2m put spread: K = 155 / 151.50. Spot ref: 156.70. Cost 72bps	28 Feb 25	0.72%	01 May 25	0.00%	-0.7%
Buy EUR/SEK 3m put spread: K = 10.75 / 10.55. Spot ref: 10.8250. Cost 59.5bps	28 Mar 25	0.60%	26 Jun 25	0.00%	-0.6%
Non-Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Hold EUR/USD 3m vanilla put (previously unreserved for strike of put spread): K = 1.0450. Cost 77bps	13 Oct 23	0.77%	15 Jan 24	0.00%	-0.8%
Buy EUR/JPY 3m put spread: K = 155.50 / 151.00. Spot ref: 157.13. Cost 99bps	13 Oct 23	0.99%	15 Jan 24	0.00%	-1.0%
Hold USD/CAD 4m call (previously unreserved for strike of call spread): K = 1.37. Spot ref: 1.3728. Cost 88bps	21 Nov 23	0.9%	22 Mar 24	0.00%	-0.9%
Buy EUR/SEK 12-Jul put spread: K = 11.40 / 11.10. Spot ref: 11.3270. Cost 56.5bps	05 Apr 24	0.57%	12 Apr 24	0.48%	-0.1%
Buy USD/CHF 15-Jul call spread: K = 0.91 / 0.93. Spot ref: 0.9075. Cost 58bps	02 Apr 24	0.50%	24 May 24	0.82%	0.1%
Buy EUR/SEK 3m put spread: K = 11.60 / 11.30. Spot ref: 11.6411. Cost 76bps	17 May 24	0.76%	30 May 24	1.20%	0.4%
Buy EUR/NOK 3m put spread: K = 11.70 / 11.40. Cost 67.5bps	02 May 24	0.68%	30 May 24	1.79%	1.1%
Buy USD/CHF 3m call spread: K = 7.25 / 7.37. Spot ref: 7.2663. Cost 45bps	12 Apr 24	0.45%	12 Jul 24	0.34%	-0.1%
Hold EUR/NOK 3m put (K = 11.40): unreserved K = 11.20 leg of put spread: Spot ref: 11.4358. Net cost 68bps	14 Jun 24	0.68%	16 Sep 24	0.00%	-0.7%
Buy 1m USD/JPY ATM 1250 put spread (K = 142.5 / 138.5 for spot ref: 143.460). Cost 69bps	05 Sep 24	0.69%	07 Oct 24	0.00%	-0.9%
Buy EUR/USD 6m put spread: K = 1.0850 / 1.0550. Spot ref: 1.0901. Cost 64bps	12 Jul 24	0.64%	15 Nov 24	1.87%	1.2%
Buy EUR/SEK 3m call spread: K = 10.70 / 11.00. Spot ref: 10.5837. Cost 78bps	25 Oct 24	0.78%	26 Nov 24	1.53%	0.8%
Buy EUR/JPY 6m put spread: K = 161 / 156. Spot ref: 164.34. Cost 108bps	25 Oct 24	1.09%	09 Dec 24	1.88%	0.8%

Derivatives (digital)

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3m EUR/GBP 0.8850 / EUR/CHF 0.9999 digital: Cost 9.49%	14 Mar 25	9.5%	20 Jun 25	0.0%	-9.5%

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy EUR/SEK 6m at-the-money dig put: K = 10.85. Spot ref: 11.4338. Cost 8.7%	21 Nov 23	8.7%	22 Mar 24	0.0%	-8.7%
Buy USD/JPY 6m at-the-money dig put: K = 133. Spot ref: 148.40. Cost 10%	21 Nov 23	10.0%	22 Mar 24	0.3%	-9.7%
Buy CHF/JPY 4m at-the-money dig put: K = 163. Spot ref: 171.98. Cost 17.5%	26 Jan 24	17.5%	28 May 24	0.0%	-17.5%
Buy EUR/USD 6m at-the-money dig put: K = 1.03. Spot ref: 1.0798. Cost 14.25%	08 Feb 24	14.3%	16 Aug 24	0.0%	-14.3%

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FX Derivatives portfolio (relative value)

Vol r.v.

Trade	Entry date	Entry level	Exit date	Exit level	P&L (vol)
Buy delta hedged 2M CADJPY atm straddle vs sell USD/CAD straddle, in equal vega.	06 Feb 25	3.7	21 Feb 25	4.1	6.3
Sell a 6M USD/CNH vs. EUR/CNH correlation swap	14 Aug 24	36.0	21 Feb 25	10.0	2.0
Sell 2M vs buy 4M AUDJPY straddle calendar, delta hedged	23 Jan 25	-0.2	28 Feb 25	-0.3	0.1
Buy 3M CADJPY ATM straddles vs sell 3M CHFJPY ATM straddles, in equal vega notional	28 Feb 25	2.0	21 Mar 25	3.2	1.2
Buy 6M 25D USDCHF risk-reversal, delta hedged	28 Feb 25	0.6	04 Apr 25	3.1	2.5
Buy 4M EURUSD vs sell EURPLN atm delta-hedged straddles	07 Mar 25	2.0	04 Apr 25	2.7	0.7
Buy 3M ATM EURCHF vs USD Correlation Swap	20 Feb 25	73.0	04 Apr 25	73.4	0.0
Sell 3M ATM EURUSD vs GBP Correlation Swap	29 Jan 25	43.0	04 Apr 25	13.3	2.2
Buy 1Y AUDUSD straddle and buy 1Y USD/CNH straddles vs Sell 1Y USD/SGD straddles in 50:50:175 vega ratios, delta hedging	04 Apr 25	-1.4	25 Apr 25	-2.2	-0.8
Sell USD/TRY 6M 25D risk-reversal, delta hedged	04 Apr 25	0.2	02 May 25	5.4	5.2
Sell 2M vs buy 6M USD/TRY calendar spreads, delta hedged	25 Apr 25	0.4	02 May 25	-2.1	-2.6
Sell 3M EURUSD corr vs SGD	20 Mar 25	-17.0	25 Apr 25	-32.6	0.9
Sell 6M 25D EUR call/BRL put, delta hedged	24 Apr 25	16.2	16 May 25	14.8	1.4
Sold 3M 25d EUR/HUF Strangles. Keep delta hedged.	01 May 25	7.1	30 May 25	5.8	1.3
USD/CAD 6MM FVA	22 Jan 25	6.3	25 Jul 25	5.5	-0.8
3M Delta-hedged USDJPY atm/25d 1*1.5 ratio put spread	27 Jun 25	-6.2	01 Aug 25	-5.5	0.7
Buy 2M USD/SEK ATM vol vs sell EUR/SEK ATM vol	13 Jun 25	4.2	01 Aug 25	2.7	-1.5
Initiate a -20M/-6M ATM vol calendar in USD/NRW	30 May 25	0.2	01 Aug 25	0.2	0.0

Trade	Entry date	Entry level	Exit date	Exit level	P&L (vol)
Buy GBP/USD 3M straddle, sell EUR/GBP 3M 25delta strangle, delta hedged	08 Dec 23	2.5	28 Jan 24	3.3	0.8
Buy a 1y ATM Vol Swap in USD/BRL and sell in USD/JPY	20 Nov 23	4.9	23 Feb 24	1.7	-3.2
Short 3M AUD/CHF straddle vs long 3M USD/CHF straddle, delta hedged	05 Jan 24	-0.8	23 Feb 24	0.5	1.3
Buy 3M vs sell 6M NZD/USD atm delta-hedged straddles	23 Feb 24	-0.3	05 Apr 24	-0.6	-0.3
Buy a 1M vol swap on USD/NOK, sell a 1M vol swap on EUR/NOK in equal Vegas	01 Mar 24	3.4	05 Apr 24	3.5	0.1
Buy 3M NZD/USD vol swap vs. EUR/NZD vol swap, in equal Vegas	26 Jan 24	2.2	26 Apr 24	2.4	0.2
Sell USD/CNH 6MM FVA vol pts vs. buy USD/SGD 6MM FVA	20 Nov 23	-0.9	26 Apr 24	-0.9	0.0
Buy USD/MXN 1Y1Y FVA	20 Nov 23	13.5	26 Apr 24	11.7	-1.7
Long XAU/USD 1M delta-hedged straddle vs bought 3M	18 Apr 24	0.1	17 May 24	-1.5	-1.5
Buy delta-hedged 3M USD/HUF straddle vs sell USD/BRL straddle	17 May 24	-1.7	31 May 24	-0.4	1.3
long 3M USD/CHF-USD/JPY corr swap	23 Feb 24	4.0	31 May 24	4.1	0.2
Sell a 6M USD/CNH vs. EUR/CNH correlation swap	08 Dec 23	2.1	07 Jun 24	-0.7	2.8
Buy delta-hedged 6M EUR/BRL atm/25d call spread, vega weighted	22 Mar 24	1.0	28 Jun 24	1.7	-0.7
Buy delta-hedged 3M long GBP/CHF straddle vs short EUR/GBP straddle	07 Jun 24	2.1	19 Jul 24	2.9	0.9
Long 1M straddle vs. short 1M 15D strangle (equal notional) in GBP/USD	28 Jun 24	2.5	26 Jul 24	1.9	-0.6
Open a long GBP/USD vs. short CHF/USD 3M 25D risk-reversal RV, delta hedged	19 Apr 24	1.5	26 Jul 24	1.4	-0.1
Sell 1M EUR/GBP 25D Strangle. Keep delta hedged	19 Jul 24	3.8	20 Aug 24	2.3	-1.6
Sell 2M 25D Strangle in AUD/USD and buy in 2M ATM Straddle in EUR/USD	13 Aug 24	3.8	06 Sep 24	4.8	1.0
Buy 3M USD/CNH vol swap vs sell var swap, equal vega	23 Aug 24	-0.3	01 Nov 24	-0.1	0.2
Sell CHF skew 3M USD/CHF 25d R/R vs buy USD/SEK skew USD/SEK 25d R/R, delta hedged	20 Sep 24	0.0	08 Nov 24	-0.6	-0.6
Buy 1y ATM Vol Swap in USD/HUF and sell in EUR/USD	28 Jun 24	4.4	25 Nov 24	4.5	0.1
Sell 1M EUR/BRL vol swap	20 Sep 24	12.7	25 Nov 24	11.4	1.3
Buy a 6MM FVA in USD/CAD	26 Nov 24	5.7	20 Dec 24	6.6	0.9

Vol plus directional r.v.

Vol plus directional r.v.	Entry date	Entry level	Exit date	Exit level	P&L	Units
Buy 1Y 1% OTM EUR puts / USD calls vs. Sell 4.5% OTM EUR puts / TRY calls	26 Nov 24	9	17 Jan 25	-112	115	bp
2M USD/CAD 1417150/151 Call Fly 12*1	20 Dec 24	23	21 Feb 25	0	-23	bp
4M 1% OTM strike USD calls vs. 12M, KRW, TRY vs. sell 4M 2% OTM strike USD/JPY calls	26 Nov 24	0	21 Feb 25	71	71	bp
4M ATM Spread of AUD/USD call and USD/SGD puts vs sell a basket of USD/CNH puts and USD/TRY puts	24 Jan 25	0	21 Feb 25	79	79	bp
Weighted basket of 3M USD/SEK 45d put and USD/HUF 45d put vs sell EUR/USD 45d call in 100:125 and 100:145 notional respectively	21 Feb 25	0	28 Mar 25	48	48	bps
Sell GBP-CHF corr vs EUR	25 Apr 25	13	27 Jun 25	0	13	corr pts

Vol plus directional r.v.	Entry date	Entry level	Exit date	Exit level	P&L	Units
Buy XAU/USD 1Y 150 Call, Sell 3M XAU/USD 205d Call	02 Nov 23	274	02 Feb 24	346	72	bps
Buy 3M 1% OTM USD put/PHP call vs. Sell 3M 1% OTM USD put/CNH call, both legs live, for zero cost	03 May 24	0	05 Aug 24	0	0	bps
Buy ATM/ATM Call Spread in GBP/JPY	04 Oct 24	24	08 Nov 24	39	14	bps
Sell a 6M USD/CNH vs. EUR/CNH correlation swap	14 Aug 24	36	25 Nov 24	27	9	corr pts
Buy a 6M JPY/NRW ATM put	28 Nov 24	299	20 Dec 24	352	53	bp

Digital r.v.

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy Dual Dig 3M USD/JPY call 2% (TMS and JPY/KRW call 2%)	26 Nov 24	14	17 Jan 25	44	30

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 1Y 155 USD/JPY digi call	27 Oct 23	3	05 Jan 24	7	5
Sell 6wk vs. buy 12wk 2% OTM strike at-expiry digital USD call/CHF put calendar spread	02 Feb 24	6	15 Mar 24	24	18
Sell 3M 18.15 strike EUR put/MXN call at-expiry digital vs. Buy 6M 18.15 strike EUR put/MXN call digital	20 Nov 23	3	22 Mar 24	43	40
Buy long 1Y USD/JPY 157 digi call vs short 3M, equal weighted	05 Apr 24	6	26 Apr 24	-14	-21
Short 3M vs. long 6M 88.25 strike EUR put/INR call at-expiry digital calendar spread	05 Apr 24	4	05 Jul 24	6	2
Buy a -1M/-2M EUR/USD 1.05 one-touch put calendar spreads	28 Jun 24	12	06 Sep 24	0	-12
Buy near zero cost -2M / +4M EUR put/MXN call 17.80 digital calendar	17 May 24	2	06 Sep 24	0	-2
Buy a -1M/-2M EUR/USD 1.05 one-touch put calendar spreads	28 Jun 24	12	06 Sep 24	0	-12
Buy near zero cost -2M / +4M EUR put/MXN call 17.80 digital calendar	17 May 24	2	06 Sep 24	0	-2
Buy a 1M near zero-cost (2%) digital R/R USD/CNH 6.95 digi put vs 7.35 digi call	28 Jun 24	2	27 Sep 24	-49	-51
Buy 2M 18.70 strike USD put / MXN call at-expiry digital vs. Sell 2M 6.90 USD put/CNH call at-expiry digital	24 Oct 24	0	08 Nov 24	3	3

Emerging Markets FX

- **We hold our OW EM FX stance after a month's pause, with the latest data supporting our structural thesis of fading US exceptionalism providing scope for a bullish EM FX environment.**
- **EMEA EM:** We remain OW EMEA EM FX via OW ZAR, HUF and TRY vs. UW RON. In outright trades, we hold short PLN/HUF, 3m USDILS 1x1 put spreads (3.37, 3.24), 3m EUR/ZAR 1x1 put spreads (20.50, 19.60) and tariff hedges via 6w EURPLN calls (4.3250).
- **Latam FX:** The last few weeks of summer have brought divergent trends for currencies in the region, with a strong idiosyncratic component. We remain OW Latam FX, via OW CLP.
- **Asia FX:** We remain OW Asia FX (via MYR, THB FX) but continue to flag risks from poor seasonals over summer, which have been compounded by weakness in global risk assets. We stay short SGD in outright trades, with carry turning even more negative and USD strength a headwind for safe haven flows into SGD.

EMEA EM:

We remain OW EMEA EM FX via OW ZAR, HUF and TRY vs. UW RON. We recently doubled the size of HUF and ZAR OWs and reduced the UW size in RON. ZAR offers meaningful risk premia vs. commodity prices, which provides an opportunity, in our view. We also remain long via 15-Oct-25 1x1 EURZAR put spreads (20.50, 19.60) (see [here](#)) and we maintain this trade for diversification. For HUF, we continue to see a fairly asymmetric profile from an undervalued starting point heading into elections in 2026.

In outright trades, we also hold ILS longs via 3m USDILS 1x1 put spreads (3.37, 3.24), spot ref: 3.4387 offered at 0.84% (max leverage: 4.8). Entry levels have improved substantially and news has recently accumulated of a potentially substantial turnaround in the FDI/tech cycle. This is an important offset to some of the increased local political/geopolitical noise. We therefore re-enter USDILS put spreads. We see heightened risk for US equity markets, which can impact on ILS – that very much argues for only option exposure here. Finally, prior to July, we also held high conviction OW on CZK, but we took profits as we feel the monetary policy inflection point is now well appreciated in FX, and perhaps worth waiting for some additional catalysts/better levels.

Our base case is now that neither a partial nor full Russia/Ukraine ceasefire is the most likely scenario. One implication of the Alaska summit is that President Trump dropped his demand for a ceasefire to precede a peace deal, apparently

moving closer to Russia's position that "root causes" should be addressed in negotiations before any ceasefire. Ukraine and its EU allies have failed to reverse this change in stance. While the failure to reach an aerial ceasefire changes very little in economic effects, as we outlined in our recent [note](#), we see market reactions as currently more about sentiment than direct economic impact. Therefore, it is important to assess how much markets would react to a failure to reach any ceasefire and the reduced probability of a durable peace deal in the future.

With no clear announcement yet, and CEE FX moves relatively muted this week, we continue to see the following scenarios. Overall, since not much hopes have been built in, we also do not expect any disappointment to be particularly impactful as our scenarios show.

Figure 46: EMEA EM FX scenarios for the outcome of upcoming US/Russia negotiations

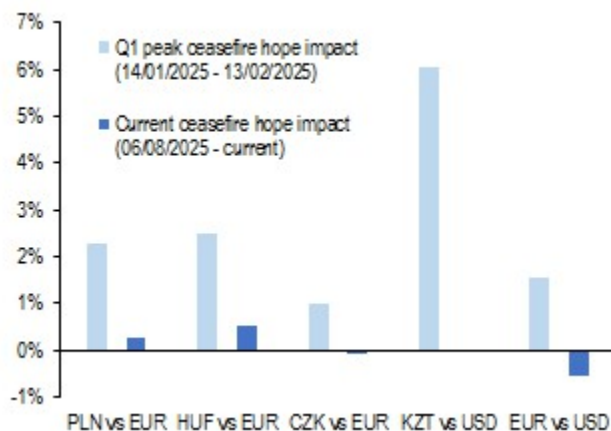
Scenario	EMEA EM FX Impact
No agreement	Up to 1% sell off of CES vs. EUR; PLN outperformance
Aerial ceasefire without gas market impact	Up to 1% rally in CES vs. EUR; PLN outperformance
Aerial ceasefire with gas market impact	1.5%-2.5% rally in CES vs. EUR; HUF outperformance but PLN can also do well
Full ceasefire	2%-4% rally in CES vs. EUR

Source: J.P. Morgan

Overall, a no ceasefire scenario does not change our underlying views much. So far, positive risk premia for any ceasefire are low compared to Q1 (Figure 47), and are starting to be priced out of CEE currencies, in our view. Energy prices are one key tangible channel of impact if gas flows are part of any deal, with HUF the main beneficiary (Figure 48). We are already long HUF and the ToT aspect should help, but a ceasefire is not a major precondition for our bullish view. Meanwhile, Zloty is lagging on equity prices (Figure 49), and it has been the underperformer in CEE recently. This suggests it could react more strongly to a ceasefire announcement and not sell off much in the absence of a deal. This is though a modest risk for our structural short PLNHUF trade, in our view. Finally, with USDRUB already very low and USDKZT experiencing idiosyncratic issues (see [here](#)), KZT should not benefit much from any positive announcement.

Figure 47: Current 'hope' impact is a lot more contained compared to Q1

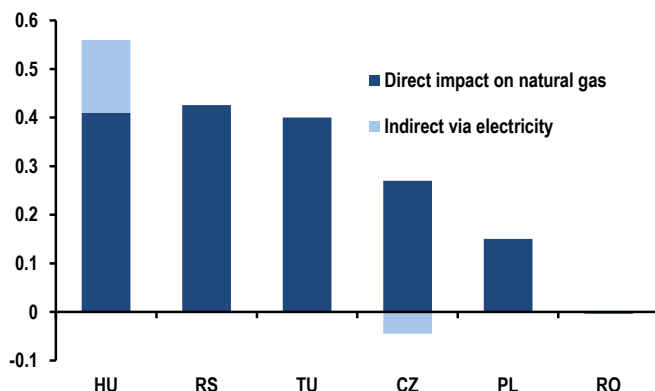
FX spot % change



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 48: Hungary remains a key beneficiary on any tangible energy market effect

Current account sensitivity to EUR 10/MWh move in TTF



Source: J.P. Morgan, Eurostat

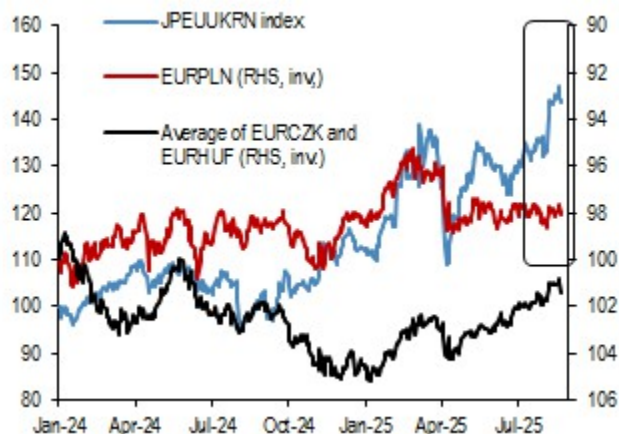
Figure 49: Latest headlines have supported equity prices of potential winners of a reconstruction effort in Ukraine

JPEUUKRN index is a basket of European equity names that could potentially outperform in the event of a ceasefire and rebuilding efforts in Ukraine; all series indexed to 100 at the start of 2024



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 50: However, this time EURPLN has not reacted



Source: J.P. Morgan, Bloomberg Finance L.P.

LatAm FX: Some summer volatility

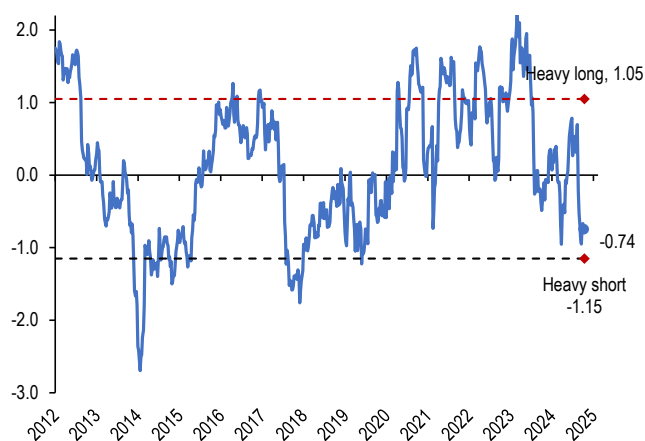
The last few weeks of summer have brought divergent trends for currencies in the region, with a strong idiosyncratic component.

In Brazil, political headlines triggered a small selloff in BRL, but we do not think they imply any tangible change in the story. BRL lost ~1.4% this week, underperforming peer currencies in EM. In our view, the move was magnified by technical factors. USD/BRL failed to break the 5.40 level decisively after many attempts in the past couple of weeks, which might have triggered profit taking on long BRL positions in an environment of low summer liquidity and negative seasonality for Latam FX. That being said, positioning seems light and any squaring should not be long-lived (see our posi-

tioning index here: JPRABRLP Index). The recent developments (Brazilian Supreme court ruling that Brazilian corporations should abide by Brazilian law) imply an escalation of the political confrontation between the US and Brazil that will likely keep the trade negotiations stalled but also open the door for some disruptions in the banking sector if the Magnitsky act implementation is extended well beyond the specific case of Moraes (still a low probability event, in our view).

Figure 51: J.P. Morgan BRL Positioning Index

Positive values indicates bullish BRL positioning

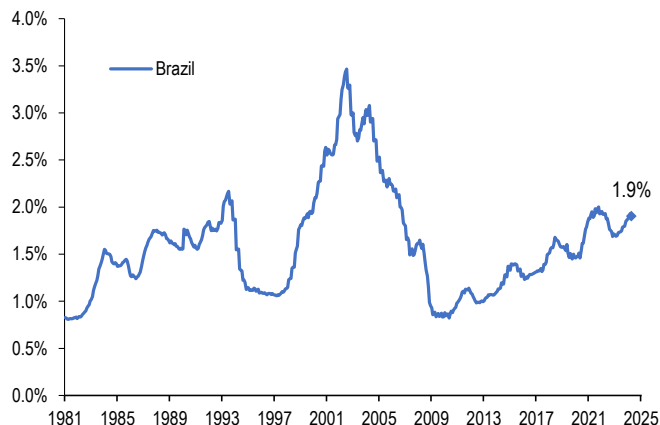


Source: J.P. Morgan

We are neutral BRL at the moment but the bias is to build long BRL positions at better entry levels. Carry is high and should remain so despite the central bank initiating a gradual cutting cycle (rates are at 15%), particularly if volatility remains contained. On tariffs, the direct effect via BoP looks limited and does not justify, in our view, a major adjustment in long term BRL trends (BZ exports to the US represent only 2% of its GDP). Instead, the political spillovers from the confrontation with the US will be more relevant and could lead to some volatility if there is evidence of a more persistent boost to Lula's odds of winning the presidential election (October 2026) or if it opens the door to much more fiscal spending. Those risks have kept us on the sidelines for now, given BRL has already gone through a 14% appreciation vs USD this year and that the 5.40 level has proved to be a strong support for USD/BRL.

Figure 52: Brazil exports to the US represent only 2% of its GDP

Exports to US (12m rolling sum) as a share of GDP (4Q rolling sum); %

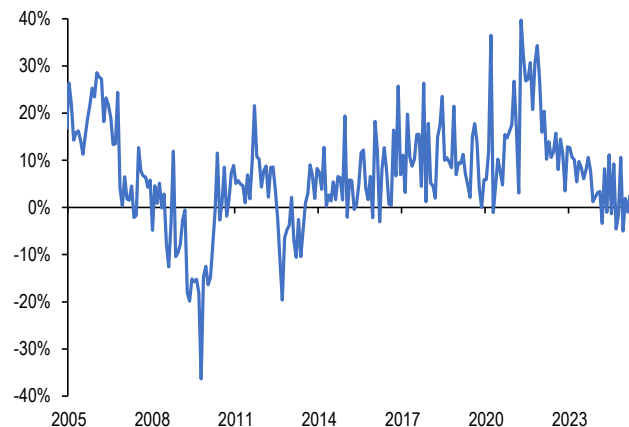


Source: J.P. Morgan, Haver Analytics, IMF

The outlook for MXN is cautious in the near term, given the uncertainty around the path for the US economy; remain neutral MXN. In the near term, the big risk to MXN is that the US deceleration becomes sharper than what the market is currently expecting, particularly in a context where remittances are slowing down, the rate cushion is lower, and USD/MXN is 11% lower YTD. Higher confidence on a moderation rather than a recession in the US is needed before jumping into a long MXN trade again. Longer term, if the US economy holds up, the view is that MXN should do very well. Mexico has a good structural story (e.g. robust BoP, favourable fiscal trends) and the currency will likely be a beneficiary of the trade re-allocation away from Asia, as the country will likely end up with better access to the US market, as the USMCA framework is expected to be maintained.

Figure 53: Remittances to Mexico have been contracting

Mexico workers' remittances; % change oya

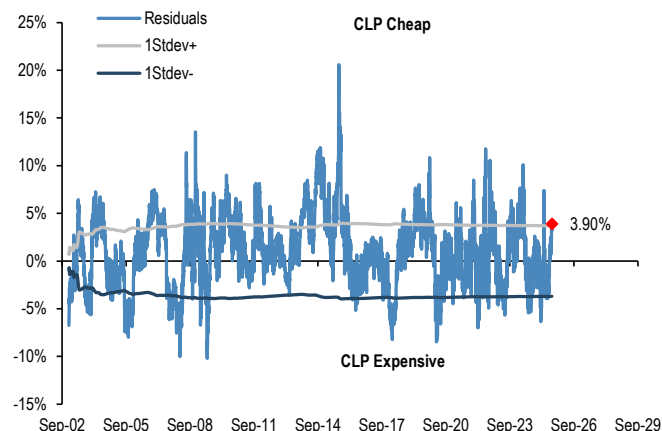


Source: J.P. Morgan, Haver Analytics

CLP remains sticky around the 970/USD mark, as the unexpected departure of MoF Marcel sparks some nervousness among investors. We remain OW CLP. Headlines on Chile's FinMin Marcel resigning due to "personal motives" drove a small sell-off in CLP, which moved back to 970/USD. Marcel has been a key anchor of the Boric administration, taking office in March 2022 and bringing stability to a government that initially faced market skepticism. If the news of Marcel's departure being driven by personal considerations are true, we can conclude that there are no material disagreements on fiscal policy driving the resignation, and that the restraint shown over the last few years on spending should continue ahead. As the dust settles on the news, we think CLP should stabilize and see space for some strengthening, given solid macroeconomic fundamentals (CAD at 1.6% of GDP and supportive terms of trade). Valuations are pointing to some cheapness in CLP and offshore investors are on the short CLP side.

Figure 54: Valuations are pointing to some cheapness in CLP

3Y rolling regression of USDCLP on EMBI, ToT, US 10Y and SPX



Source: J.P. Morgan, Bloomberg Finance, L.P.

The BCCH reserve accumulation program is unlikely to lead to a long-lasting weakness in the currency. The BCCH announced a reserve accumulation program looking to buy up to USD 18.5bn in three years, but we don't think the program will have much impact on the FX market. The USD 25mm daily purchases of the program represent no more than 2% of the daily traded volume in the local market and the pace of purchases is more gradual than in previous episodes. Maybe more relevant for price action in the coming months will be the political story. We have elections in Chile (November 2025) and here, our view is that there will be a transition to the right, leading to a compression of the risk premia as well.

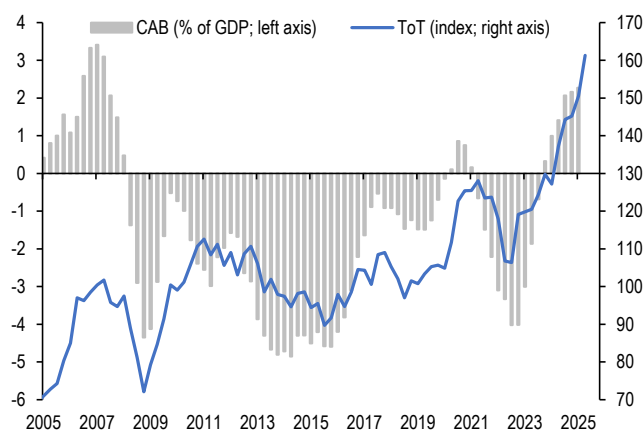
In Colombia, the technicals continue to beat the fundamentals; we remain neutral COP. COP has been surprising-

ly resilient to the deterioration of the fiscal picture in Colombia (COP: +10% YTD). We think the recent strength in the currency reflects some anticipation of upcoming repo flows (MoF going to the market to purchase local currency), but do not think there is enough information to accurately assess the actual impact of these operations on the FX market yet. Moreover, while BanRep has not given any indication of willingness to intervene on the back of this flow so far (e.g. via taking advantage of the foreign currency inflow to accumulate reserves), we do not rule this out, especially in light of the recent IMF FCL suspension. Finally, as the election calendar heats up (elections are on 31 May 2026), presidential election polls will become increasingly relevant and we think the market might be somewhat complacent on the odds for a transition to a more market friendly government.

On PEN, the fundamental drivers remain supportive on the FX side, but we remain on the sidelines given the already-strong rally YTD. PEN has benefitted from improving fundamentals on the balance-of-payments side, with robust terms of trade (Peru is an exporter of metals and an importer of oil) helping drive the strongest current account since before the GFC. However, PEN has already appreciated materially this year, with the currency ranking amongst the top performers of EM since mid-April. Considering the size of this recent rally, with USDPEN around five-year lows, we remain MW PEN in the GBI-EM model portfolio.

Figure 55: Robust ToT have driven the strongest current account performance since before the GFC

Peru current account balance (CAB 4Q rolling sum as a % of GDP 4Q rolling sum; left axis) and Peru terms of trade (index, 2007 = 100; right axis)



Source: J.P. Morgan, Haver Analytics

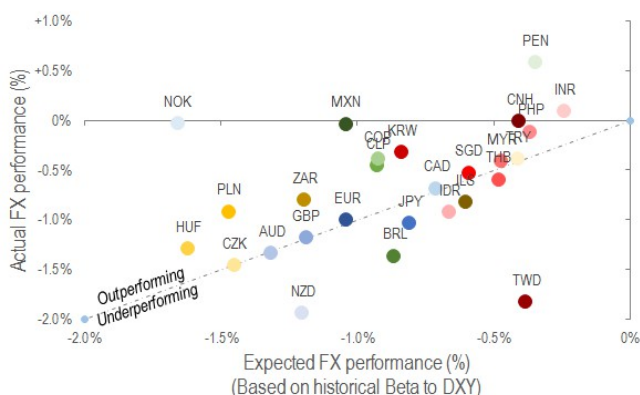
Asia FX: Summertime selloff continues

Asia's summer selloff continues. Asia FX continued to weaken in line with a stronger USD, but a selloff in risk assets added to pressure in foreign investors favoured markets (Figure 56). TWD was a notable underperformer this week,

compounding its run of poor performance in recent months - one which we had expected with CBC working to keep its policy framework intact. Summer seasonals continue to be a drag with thin liquidity amplifying technical vulnerabilities like positioning, warranting caution with the macro unclear and momentum having stalled. While tension looms between Asia FX strength and the expected decline in trade as tariffs bite, upside surprises continue in recent data prints, suggesting that the hit may be manageable as tariffs are absorbed or passed through more slowly than expected. Together with more dovish shifts at the Fed, with the US labour market an ongoing concern, we hang on to our OW Asia FX positions, mindful of policy resistance in the likes of the TWD, HKD and SGD (being short the latter two), and focus our OWs on stories which either amplify top down USD weakness (ie MYR), or policy makers are more agnostic (ie THB).

Figure 56: 1w FX performance - Actual vs Expected

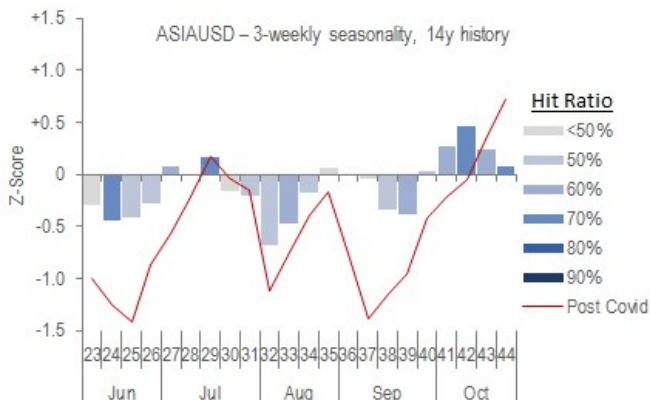
Based on 35w rolling EMA regression betas



Source: J.P. Morgan estimates.

Figure 57: Triweekly Asia FX seasonality

Average of Z-Scored triweekly returns, capped and floored at +/-2.5z

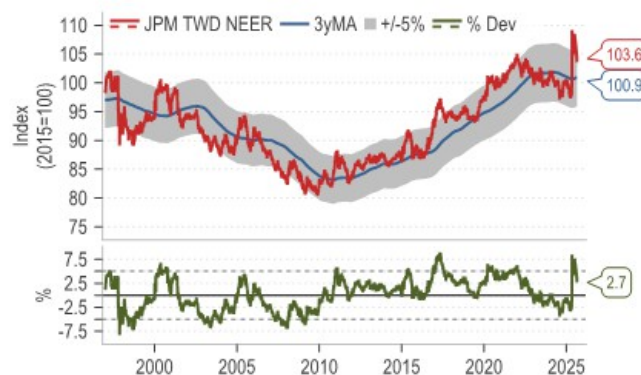


Source: Bloomberg Finance L.P., J.P. Morgan estimates.

TWD bending backwards, still. The TWD continues to be one of the worst performing currencies in the region, with

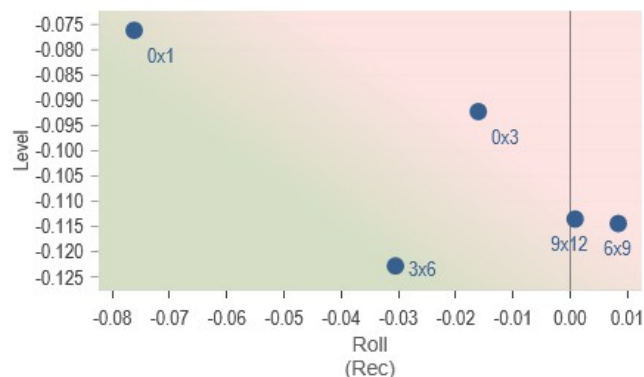
USD supply constrained by window guidance onshore and dividend payments still coming through. As we have argued [previously](#), CBC's efforts to cap the TWD NEER are key to keeping proxy hedging a viable strategy for local lifers' hedging. The selloff in tech has further added to headwinds for the TWD, with foreign investors' outflows taking the NEER down to +2.7% vs the 3yMA, from the +7.5% peak in early Jul. Pressure has rapidly cooled, driving front-end NDF implieds back into positive territory once again, though the year-end turn and associated hedging flows still weighing on 3x6. With the dividend season having largely peaked and mechanical outflows turning more benign from here, the next leg of the TWD selloff will likely have to come from continued weakness in tech equities, though CBC is likely to lean into this to offload USDs accumulated in recent months as well.

Figure 58: TWD NEER vs CBC Policy bands



Source: J.P. Morgan.

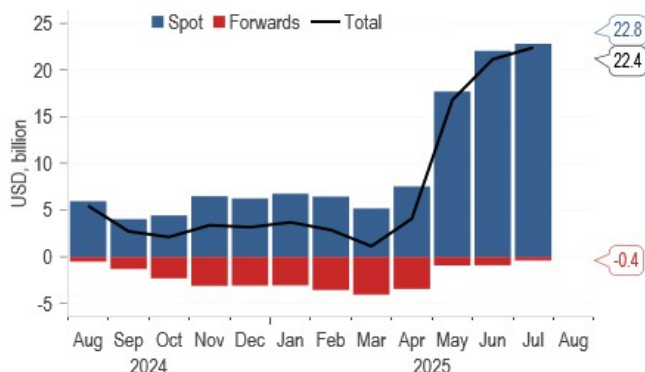
Figure 59: TWD NDF Points - 3m strips



Source: J.P. Morgan.

Figure 60: CBC FX reserve accumulation

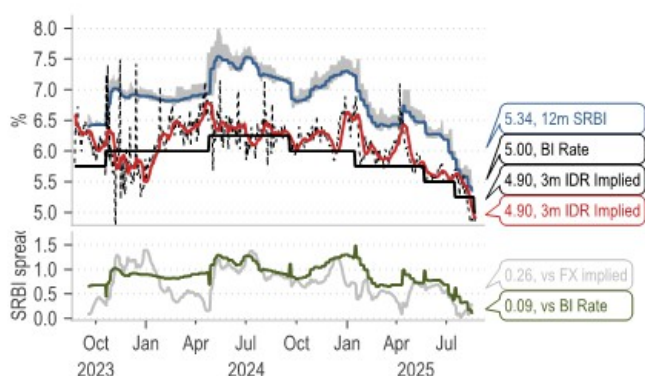
Cumulative since last 12months



Source: J.P. Morgan estimates.

Risk premia compressing further in Indonesia. Bank Indonesia surprised markets with a 25bp rate cut this week, with $\frac{3}{4}$ of the street expecting rates to stay on hold. Despite more upbeat commentary on the domestic growth situation and base effects likely to lift inflation in 2026, policy makers opted to go for growth with a second consecutive rate cut. We now see a lower terminal rate at 4.25% (from 4.75% before), with a front-loaded trajectory given the ambitious growth goals. Dovish pricing of Fed policy may have given the BI confidence to strike again, but the domestic economy has long warranted more support and external conditions are continuing to leave the window open for more easing. Lower risk premia is not without consequences, however, with foreign interest in the SRBIs falling rapidly with its yields (and spread to policy rates), and the FDI dividend season starting to ramp up with corporate hedging flows lifting \$IDR. This puts the rupiah in a more precarious position, with negative seasonals having played out strongly in Sep over the years.

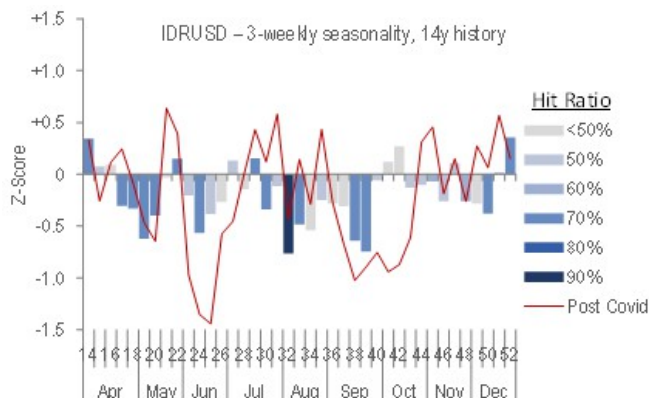
Figure 61: SRBI Auction rates



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 62: Triweekly IDR seasonality

Average of Z-Scored triweekly returns, capped and floored at $\pm 2.5\sigma$



Source: J.P. Morgan estimates.

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Global FX Strategy
FX Markets Weekly
22 August 2025

J.P.Morgan

Emerging Markets FX

Figure 63: GBI-EM Model Portfolio

	Bond View	FX View
GBI-EM	MW	MW
EM Asia	OW	OW
EMEA EM	OW	MW
Latin America	OW	OW
China	MW	MW
India	MW	MW
Indonesia	MW	MW
Malaysia	OW	OW
Thailand	MW	OW
Czech Republic	MW	MW
Hungary	OW	OW
Poland	MW	MW
Romania	OW	UW
Turkey	MW	OW
Serbia	MW	MW
South Africa	OW	OW
Brazil	MW	MW
Chile	MW	OW
Colombia	MW	MW
Dominican Republic	MW	MW
Mexico	OW	MW
Peru	MW	MW
Uruguay	MW	MW

Source: J.P. Morgan

Table 4: Outright trades

	Entry	Target	Stop	Entry
EM Asia				
Short SGD vs proxy basket of 51% USD, 29% JPY, 11% EUR and 9% KRW	100.00	99.00	100.50	30-Jul-25
20-Oct-25 USD/CNH put (7.16), 7.05 EKO	0.29%	-	-	18-Jul-25
Long USD/HKD 12m fwd	7.72	7.78	-	19-May-25
Long USD/VND via 6m NDF	26050.0	27500.0	25500.0	14-Feb-25
EMEA EM				
25-Aug-25 EUR/PLN call (4.3250), spot ref: 4.2630	0.29%	-	-	16-Jul-25
15-Oct-25 EUR/ZAR 1x1 put spread (20.50, 19.60), spot ref: 20.7910	0.89%	-	-	16-Jul-25
Short PLN/HUF	94.36	91.50	96.00	02-May-25
LATAM				
Short USD/CLP	959.00	927.00	980.00	18-Jul-25

Source: J.P. Morgan

FX Derivatives

Not the Time to Let Go of Caution

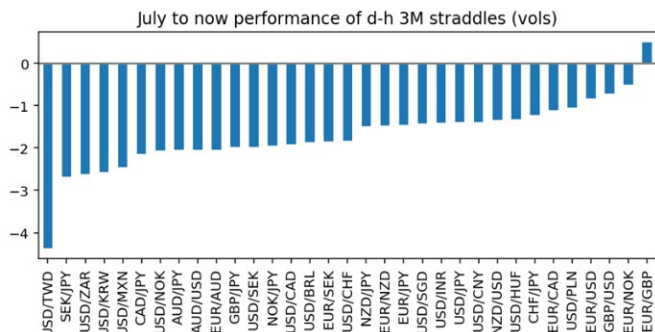
- **Vol premium is razor-thin after the dismal summer FX vol performance. Stay vigilant.**
- **Buy 3M USD/HUF - EUR/HUF vol spread as a decay-efficient way of positioning for USD-led gamma noise.**
- **Selling EUR/BRL topside is one of the best setups for collecting premium.**
- **The front-end vol curves selloff created an unusual backdrop that pays to own vega. Buy USD/MXN 2*1 1y6m vs 6m6m weighted calendar.**
- **With the focus on the US, USD corrs should remain firm. Buy 2M NZD/USD - CHF/USD corr swap.**

Stark summer vol underperformance; noisier road ahead

As market sentiment drifted more positive, FX vol continued to underperform (Figure 64). The degree of this downshift caught us somewhat by surprise, as August's low liquidity presents a scenario where FX vols could move in either direction. Historically, low liquidity tends to extend moves and increase vol, but this summer has not followed the pattern. The shift to a lower gear occurred despite a challenging backdrop, with an unpleasant mix from US employment and inflation. Just a week ago, the US rates markets were anticipating more than a rate cut for Sept, but expectations have since been reduced to 17bp. The upcoming data on growth, jobs, and inflation is bound to keep the pricing fluid, in our view.

Figure 64: Dismal performance of FX front end vols this summer.

Delta-hedged daily at smile delta with expiry matched forwards. Trades held for 1-month. No TC.



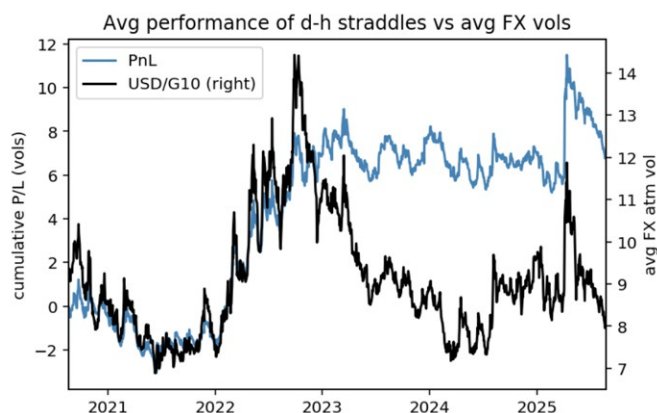
Source: J.P. Morgan.

Powell was dovish in his Jackson Hole speech, although, with the market pricing 70% of the cut ahead of the event, the reaction was capped. Still, the 70bps move on the broad USD beat the fairly muted event risk breakevens (45bps), the pricing

that was also symptomatic of a broader complacent stance, that rode on and led to the generally benign vol backdrop observed throughout August. FX vols have dropped below 8, returning to pre-blow-up summer levels of 2024. It feels uneasy to see such muted FX vol given the uncertainties surrounding the Fed and the U.S. economy. Countering that, realized vol remains underwhelming, with nearly 70% of the FX universe still underperforming.

Figure 65: Vols and returns from delta-hedged straddles have been under severe strain since May tariffs resolution.

Delta-hedged daily at smile delta with expiry matched forwards. Trades held for 1-month. No TC.



Source: J.P. Morgan.

Considering the recent depricing in vols, along with Fed pricing, yields, and extended equity levels, there is a risk of a reversal in pricing trends. This could lead to risky assets coming under pressure, potentially causing a backup in vols in September as policy decisions approach. Even if this scenario does not materialize, the downside from the currently depressed levels should be limited. With the focus on the US, expectations are for USD corrs to remain firm, which should facilitate setting up decay-efficient long USD vol positions.

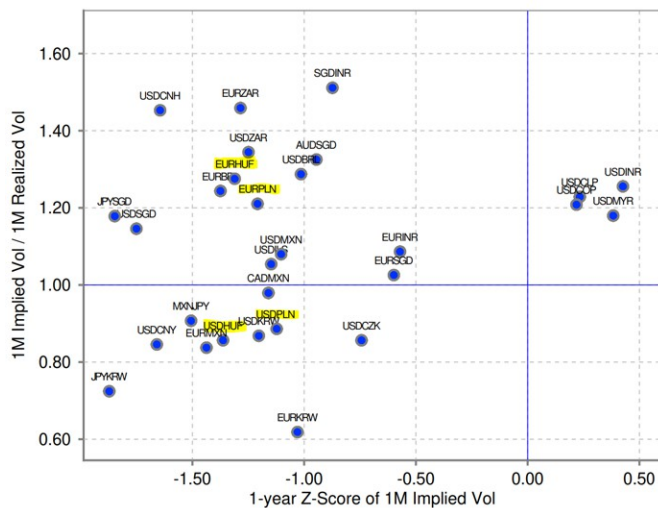
USD/CEE-EUR/CEE vol RVs | EUR x-vol premium

Defensive, decay efficient expressions in CEE: With the above discussion in mind, we are positioning ourselves for potential uncertainty in Sept and Q4. Both USD/G10 and EM pricing are more than 1 sigma low on average, presenting attractive opportunities for cheap hedging. However, we remain cautious of potential potholes in realized vol and the uncertainty of whether the macro environment will necessitate these hedges.

We see particular value in USD vols in PLN and HUF, structured as long USD vols versus short x-vols vol RVs (Figure 66). The rolldown nearly cancels out between the two legs of this structure, making the RVs appealing. While vol pricing

on both the USD vol and EUR x-vol leg has come off, the EUR x-vol leg has been notably underperforming. We anticipate this trend will persist if our expectations for firm USD corrs hold true. Notably, even during the March-May dip in corr pricing, realized corr tended to perform well.

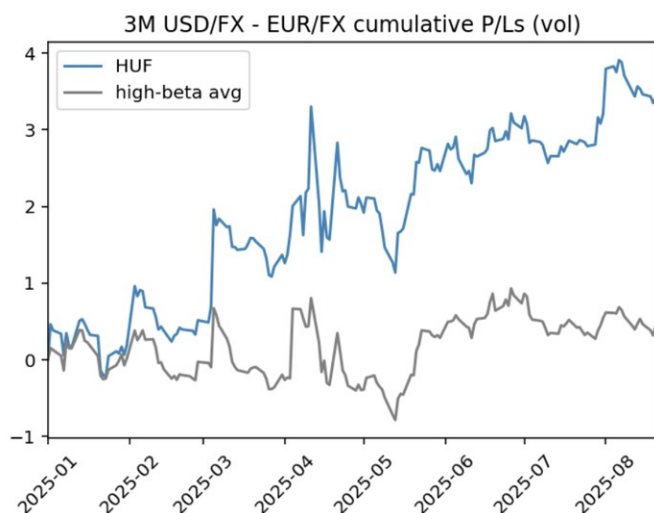
Figure 66: The setup remains favorable for owning USD vols in PLN and HUF in the form of long USD vols vs short x-vols vol RVs.



Source: J.P. Morgan.

Figure 67: Robust YTD performance.

3M straddles, delta-hedged daily at smile delta with expiry matched forwards. No TC.



Source: J.P. Morgan.

The USD/HUF-EUR/HUF vol spread has been realizing by 2.20 vol above the implied spread, even as the pricing of the spread has repeatedly tested 4.20. Ukraine-Russia ceasefire would probably be a wash, although in the event USD leg may outperform EUR x-leg. With a robust YTD performance, yielding almost 0.5vol/month before costs, we recommend:

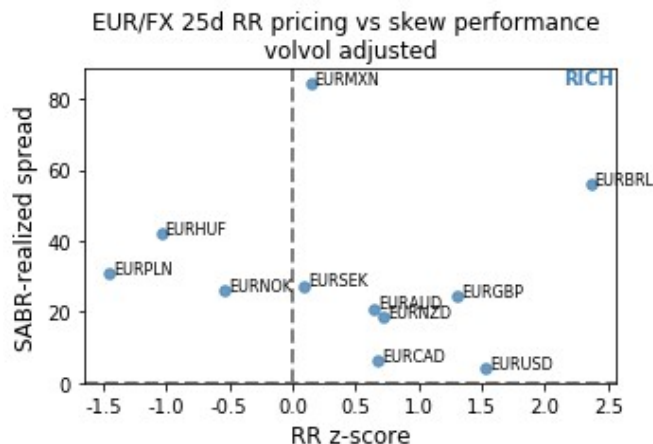
— **3M USD/HUF - EUR/HUF vol spread @ 4.45/4.95 vol pts.**

EUR v-vol premium harvesting: On the note of collecting EUR premium, EUR crosses have been a reliable source. Currently we are collecting premium on EUR/ZAR (range) and from selling a EUR corr. EUR/BRL topside is another particularly appealing candidate for harvesting premium (see also [here](#)), with a steep vol curve and a topside skew more than 1.5 sigma high, while the skew is under-realizing (vol-of-vol adjusted as required in order to correctly account for skew performance) by almost 60 points (**Figure 68**), making the delta-hedged position good value. Selling topside one-touches mitigates the risk from unlimited losses that the delta-hedged calls selling carries. 6.80 strike hasn't been reached in more than 4 years. We suggest:

— **Sell delta-hedged 5M EUR/BRL 25d call @13.5/14indic**

— **Sell 4M EUR/BRL 6.80 call one-touches @43.50 (47.50 mid)**

Figure 68: EUR/BRL skew is a standout, priced at almost 2.5sigma, and under-realizing by almost 60 points.



Source: J.P. Morgan.

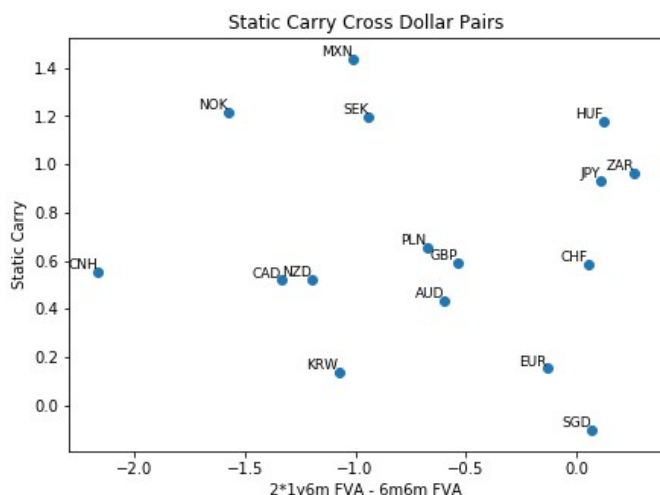
Carry Positive, Net Long Vega Calendars

The earlier mentioned sharp decline in the pricing of front-end vols led to a steepening of the mid-curve, while the back of the vol curve has remained relatively flat or even inverted in some cases. This dynamic presents an unusually interesting opportunity in the vol calendar space, particularly for those less keen on jumping into defensive gamma constructs.

Typically, owning vega would not be our first consideration under the current conditions. However, the current setup is highly favorable for owning vega through weighted calendars (**Figure 69** and **Figure 70**). By overweighting the back of the

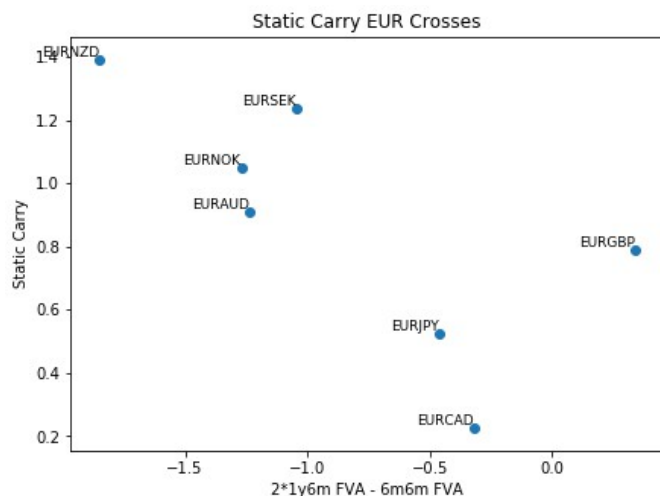
vol curve and financing it with a sale of the middle of the curve (2*1 weighting), we can capitalize on the depressed pricing of these calendars. This results in owning vega but at positive vol carry (**Figure 71**). Among the candidates of interest, USD/MXN weighted calendar is pricing near the cycle lows, and offering a positive 1.4vol rolldown as the back end remains largely anchored while the front end decays more rapidly than usual.

Figure 69: Net long vega calendars currently exhibit depressed pricings and strong positive static carry in a number of USD pairs ...



Source: J.P. Morgan.

Figure 70: ... and EUR crosses.



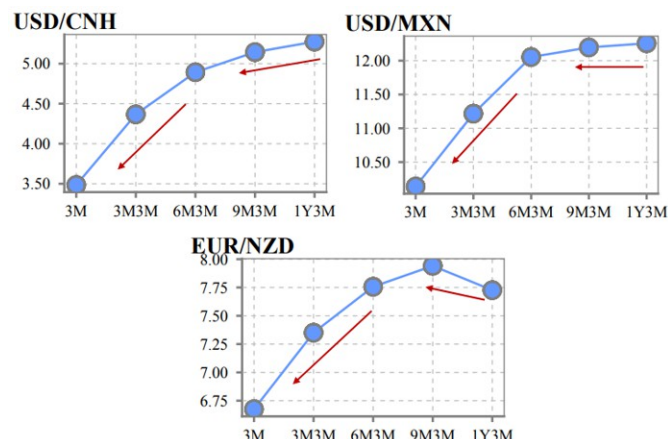
Source: J.P. Morgan.

The structures are also highly correlated with the average FX vol (**Figure 72**), making them suitable for hedging against risky markets' selloffs. Within the framework, USD/CNH in the EM space, and USD/MXN and EUR/NZD within the G10, all exhibit very favorable setups.

— Buy 1y6m USD/MXN FVA @11.65/12.3 1y6m vs sell 6m6m FVA @12.15ch 6m6m, in 2*1 vega notionals

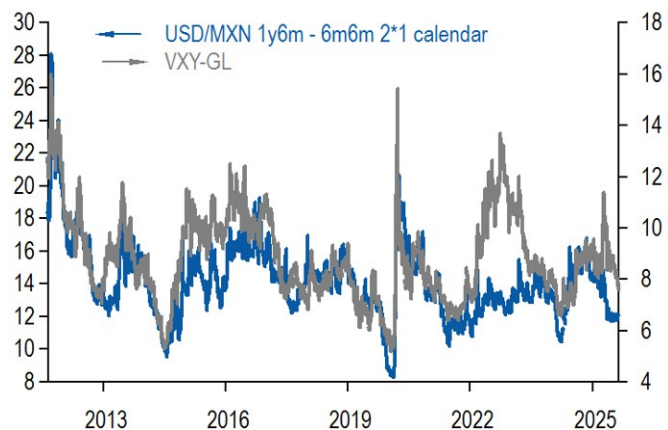
— Buy 1y6m EUR/NZD FVA @7.75 1y6m vs sell 6m6m FVA @7.50/7.85 6m6m, in 2*1 vega notionals

Figure 71: By overweighting the back of the vol curve and financing it with sales in the middle of the curve results in owning vega but at net positive vol carry.



Source: J.P. Morgan.

Figure 72: Historically tightly correlating with VXY-Global, USD/MXN weighted calendar is pricing near the cycle lows.



Source: J.P. Morgan.

USD correlations keep realizing: buy NZD,CHF corr swap via USD

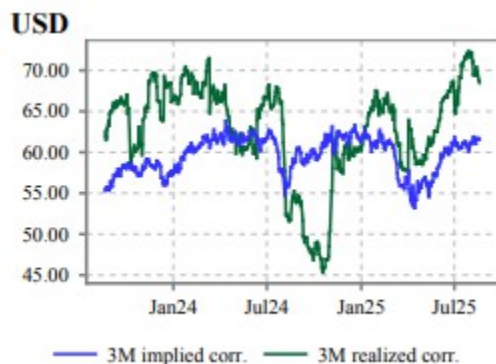
USD correlations continue to realize, and at a greater rate than we have seen over the last few years (**Figure 73**). This is remarkable given that USD correlations are seemingly elevated, and that the USD seasonality this summer has not been particularly strong for the USD.

Moving forward, we expect that trend to continue, with the next payrolls, the next CPI and the Sept FOMC all keeping

this environment a USD-centric one. In terms of which triangles make sense, we see very few options in the left bottom “buy” corner, i.e. Correlations that are both not elevated on a historical basis yet are heavily realizing, the main candidates in this space are CHF, AUD via USD and CHF, NZD via USD (Figure 74).

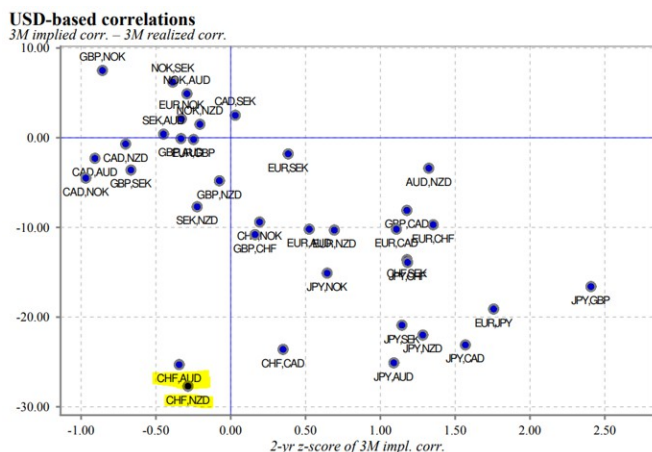
Figure 73: USD correlations performance has been strong in recent months

3M implied - realized correlations



Source: J.P. Morgan

Figure 74: Most USD corr triangles are elevated and realizing



Source: J.P. Morgan

In terms of macro, for both CHF and Antipodeans we maintain a positive view versus the USD, which should help the trade. For CHF, we are currently bullish but with two-way risks, with US tariffs weighing on the currency. However, we believe this will be more than offset by corporate preparation for those tariffs, tariff exemptions, and BoP dynamics among other factors.

We also maintain a positive bias for Antipodeans, in the case of the NZD, predicated on the fact that activity is stabilizing, and the economy is once again expanding, while for AUD it

is predicated on growth, a shallow easing profile and fiscal position. Nonetheless, there are risks to the trade including NZD correlations realizing on Kiwi depreciation (see RBNZ reaction today), or CHF overperforming if risk markets crack.

Figure 75: Going long Antipodeans, CHF correlation via USD has systematically made money over the last 10 years



Source: J.P. Morgan

From a systematic standpoint, the trade also makes sense (Figure 75), as we can see above, the trade has done well for both triangles, although better in NZD. This performance is partly owing to the fact that buying USD correlations has been, overall, a profitable trade over the last few years. At the moment, the premium is around 20 pts before costs (implied - realized corr) for the NZD combination/triangle, which is sizeable. *Hence consider:*

- Buy a 2M ATMF Corr Swap in NZD,CHF via USD for 54 corr pts (costs included), triangle realizing at 66 pts.

Model Portfolio Update

- Sell EUR/BRL 4M 6.80 one-touch call, to earn premium from a steep vol curve.
- Open long USD/MXN 1Y6M vs. short 6M6M 2*1 vega notional to benefit from a positive carry with a long vega trade.
- No positions closed.

Current trade recommendations and P/L

	Description	Entry date	Entry	Current mid	P/L	P/L units	Remarks
New	Sell 4M EUR/BRL 6.80 one-touch call	22-Aug-25	43.5	47.5	-4.0	%	Collecting premium on steep vol curve
New	Buy USD/MXN 1y6m vs 6m6m 2*1 vega notional	22-Aug-25	12.5	12.2	-0.3	vol pts	Positive carry, long vega trade
	Buy 1Y USD/SEK vs. short 1Y EUR/USD straddle, equal vega, delta-hedged	23-Apr-25	3.4	3.0	-0.4	vol pts	mean-reversion trade
	Open short 3M EUR/GBP vs. EUR/AUD correlation swap	01-Aug-25	40.0	37.9	2.1	corr pts	Eur corr premia screens wide
	Open EUR/ZAR 3M 20 - 21.5 DNT	01-Aug-25	17.0	22.7	5.7	%	EUR/ZAR vol risk premia is wide
	Open long AUD/USD 2M2M FVAs	01-Aug-15	9.5	9.1	-0.4	vol pts	defensive FVA
	2M CNH/INR ERKO put ATM strike with a down and out barrier	27-Jun-25	51.0	0.3	-50.7	bps	Carry trades via options
	Buy 3m OTMS USD put/HUF call vs. sell 3M OTMS USD put/PLN call	27-Jun-25	0.0	29.3	29.3	bps	Positive carry bullish Euro via intra-CEE RV

For delta-hedged straddles and vol products, P/L is in vol points; for directional trades, bp of notional; negative entry price indicates a net credit at inception

Source: J.P. Morgan.

Technical Strategy

Majors continue to coil in summer holding patterns; AUD/USD slides towards key support

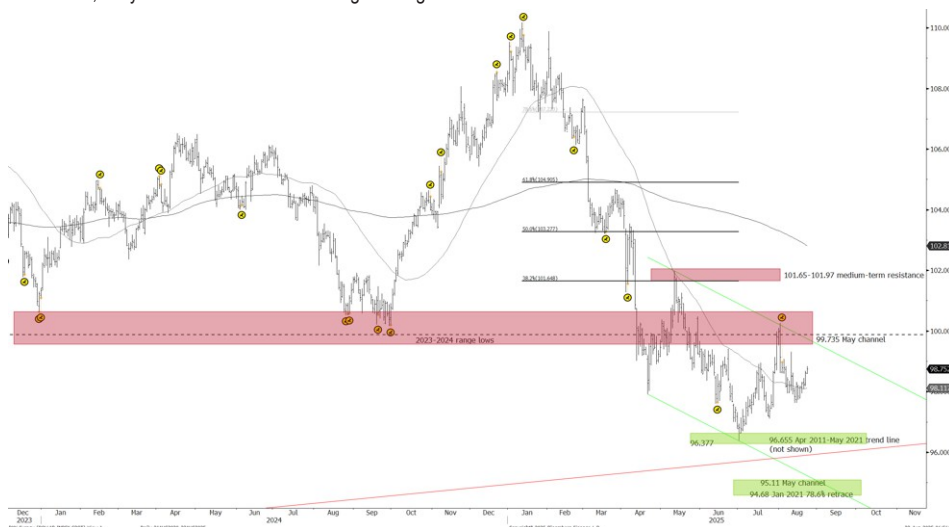
- The DXY Index remains range-bound after the July rebound faltered at the 2023-2024 range lows. Look for continued consolidation above the 96.377-96.655 support area and below the 99.578-100.179 cluster of resistance levels over the near term. Continued price action below the springtime breakdown resistance zone leaves the dollar vulnerable to further downside over the medium term.
- The EUR/USD rebound from the 1.1357 May 61.8% retracement stalled at the 1.1743-1.1881 medium-term resistance zone. We suspect that area will contain the pair over the near term. Key support rests at the 1.1214-1.1276 2024 range highs.
- The GBP/USD rebound from 1.3119-1.3148 key support faded at a cluster of trend line resistance that spans from 1.358 to 1.37. Also note the 1.3816 Jan-Apr equal swings objective. Look for continued range trading over the near term.
- USD/JPY is coiled above 144.97-146.84 key support that includes the 50-day moving average and below the 149.13 200-day moving average. We have a neutral near-term view and expect more range trading, but suggest chasing a break below the noted support zone as it could quickly lead to a test of longer-term range support near 140.
- AUD/USD slides towards key support at 0.634-0.6486. The post-Liberation Day rebound has lost considerable momentum, but a breakdown is needed to confirm a downside trend reversal. Overhead resistance remains at 0.6683-0.6722.

DXY Index remains range-bound below the 2023-2024 range lows

The **DXY Index** continues to consolidate following the springtime breakdown from the 2023-2024 trading range and the July rebound's rejection of resistance surrounding that breakdown area (Figure 76). Mixed technicals favor more consolidation over the near-term. Risky market seasonals turn negative after Labor Day, and we would not rule out a potential flight-to-quality tailwind for the dollar into the fall despite the currency's mixed performance in that regard this year. Key near-term resistance remains at the 99.735 May channel and 98.578-100.179 2023-2024 range lows. A break above that resistance would open the door for an advance to the 101.65-101.97 Jan 38.2% retrace and May peak. On the downside, tactical support rests at the 97.632 Aug low and 97.109 Jul 24 low. A break below the 96.665 Apr 2011-May 2021 trend line and 96.377 Jul trough would seek next support at the 95.11 May channel and 96.68 Jan 2021 78.6% retrace. While we think the market sees more range trading over the near term, continued price action below the 2023-2024 range lows into the fall would leave the dollar vulnerable to a resumption of the 2025 bear trend in the months ahead.

Figure 76: The DXY Index remains range-bound after the July rebound faltered at the 2023-2024 range lows. Look for continued consolidation above the 96.377-96.655 support area and below the 99.578-100.179 cluster of resistance levels over the near term. Continued price action below the springtime breakdown resistance zone leaves the dollar vulnerable to further downside over the medium term.

DXY Index, daily bars with momentum divergence signals



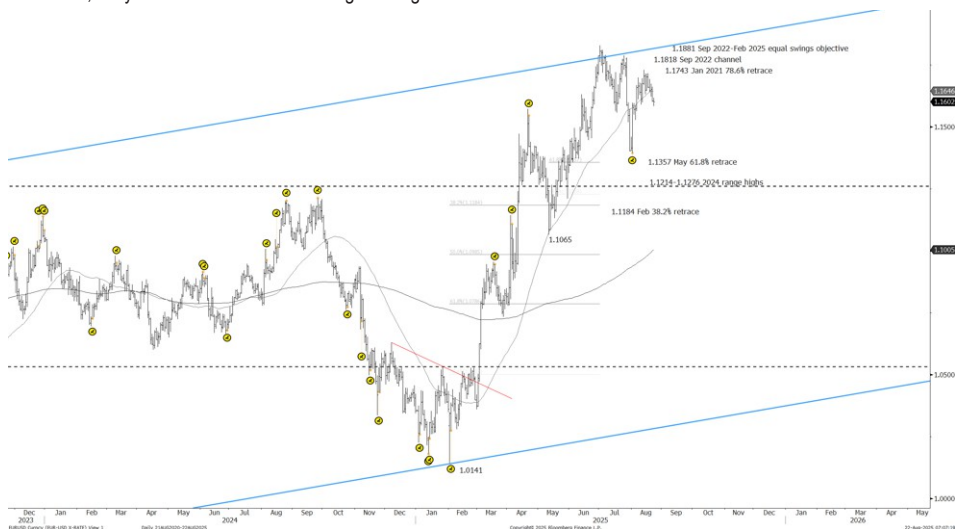
Source: J.P. Morgan. Bloomberg Finance L.P.

EUR/USD rebound stalled at 1.1743-1.1881 medium-term resistance

Little changes with the **EUR/USD** technical setup after the rebound from the 1.1357 May 61.8% retrace faded at key resistance that includes the 1.1743-1.1881 Jan 2021 78.6% retrace, Sep 2022 channel, and Sep 2022-Feb 2025 equal swings objective. We are looking for more range trading over the near term below that area and above the May retracement level noted above. We continue to view the 1.1214-1.1276 2024 range highs as a critical support level for the pair. Continued consolidation above that support and the 1.1184 Feb 38.2% retracement level into the fall would keep the door open for a resumption of the 2025 bull trend in the months ahead. An upside breakout would turn our attention to the next layer of medium-term resistance levels near 1.20, including the Jan 2018 trend line. Conversely, a sustained break back into the 2024 range would confirm a shift in the medium-term trend.

Figure 77: The EUR/USD rebound from the 1.1357 May 61.8% retrace stalled at the 1.1743-1.1881 medium-term resistance zone. We suspect that area will contain the pair over the near-term. Key support rests at the 1.1214-1.1276 2024 range highs.

EUR/USD, daily bars with momentum divergence signals



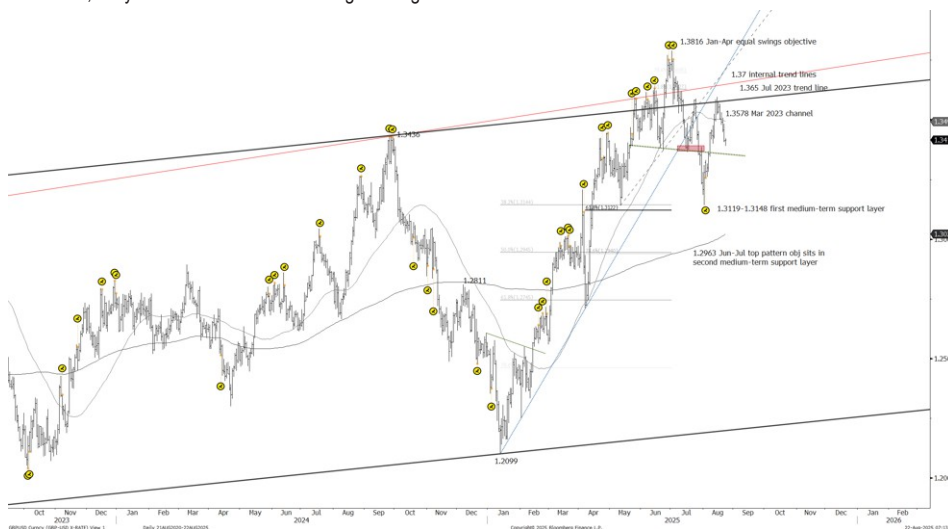
Source: J.P. Morgan. Bloomberg Finance L.P.

Cable rebound fades below a cluster of trend-line resistance

The **GBP/USD** rebound from the 1.3119-1.3148 confluence of Fibonacci retracement levels faded after the market met the lower end of a confluence of trend lines at 1.358-1.37 (Figure 78). Other medium-term resistance rests at the 1.3816 Jan-Apr equal swings objective, the level at which the 2025 rally topped out in early July. Look for continued range trading over the near term. Tactical support rests at the 1.3315-1.3369 Aug 1 Fibonacci retracement levels. The 1.3119-1.3148 support zone marked our first downside target zone following the June-July pattern breakdown and is still a major support zone. A break below that area would confirm a medium-term change in trend and open the door to a much deeper retracement of the 2025 rally, in our view. Next support rests at the 1.3022 200-day moving average and 1.2940-1.2945 cluster of Fibonacci retracement levels. Alternatively, an upside breakout would seek the next medium-term levels at the 1.4006 Sep 2022-Jan 2025 .618 swing objective and 140.78 Apr 2018-May 2021 trend line.

Figure 78: The GBP/USD rebound from 1.3119-1.3148 key support faded at a cluster of trend line resistance that spans from 1.358 to 1.37. Also note the 1.3816 Jan-Apr equal swings objective. Look for continued range trading over the near-term.

GBP/USD, daily bars with momentum divergence signals



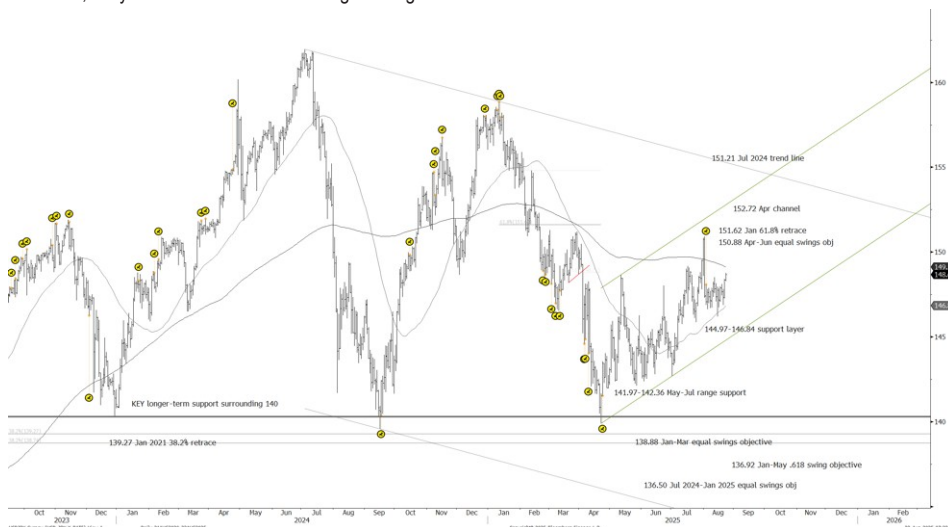
Source: J.P. Morgan, Bloomberg Finance L.P.

USD/JPY is coiled between the 50-day and 200-day moving averages

USD/JPY coils in the upper end of what has been a bullishly spring-summer trading range, with the pair now in between the 146.84 50-day moving average and 149.13 200-day moving average. The former marks the upper end of key support at 144.97-146.84 (Figure 79). Mixed technicals keeps us neutral for now, but we suggest reacting aggressively if the pair breaks below that support as it could quickly lead to a test of longer-term range support surrounding 140. On the upside, the July-Aug rally leg stalled at resistance that includes the 150.88 Apr-Jun equal swings objective and 151.62 Jan 61.8% retrace. An upside break would seek the 152.72 Apr channel and 151.21 Jul 2024 trend line.

Figure 79: USD/JPY is coiled above 144.97-146.84 key support that includes the 50-day moving average and below the 149.13 200-day moving average. We have a neutral near-term view and expect more range trading, but suggest chasing a break below the noted support zone as it could quickly lead to a test of longer-term range support near 140.

USD/JPY, daily bars with momentum divergence signals



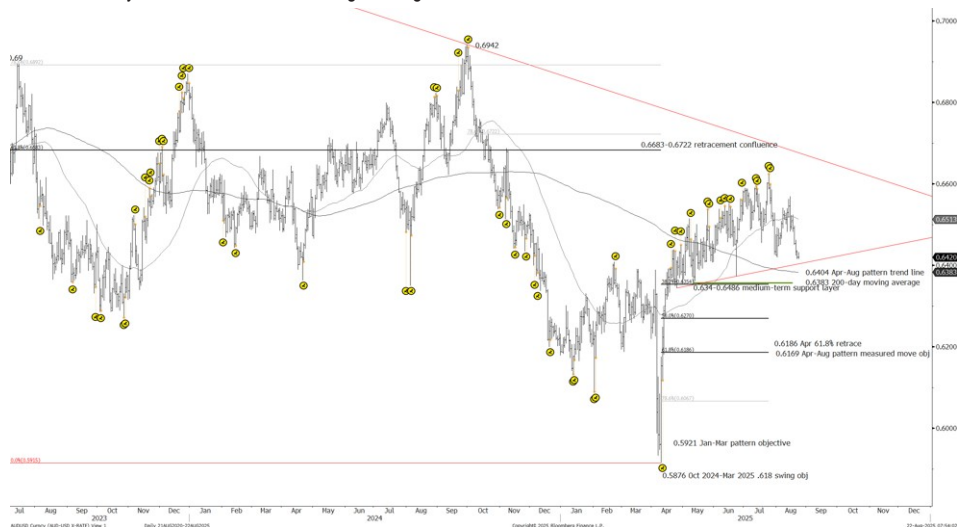
Source: J.P. Morgan, Bloomberg Finance L.P.

AUD/USD slides toward critical pattern support

AUD/USD has extended the setback from the 0.6625 Jul 24 peak and is approaching critical support at 0.634-0.6486 (Figure 80). In our view, a break below that area is needed to confirm a more lasting bearish trend reversal and is something worth reacting aggressively to as seasonality turns bearish for risky markets after Labor Day. Next support rests at the 0.6270 Apr 50% retrace and then the 0.6186-0.6169 Apr 61.8% retrace and spring-summer pattern objective. Tactical resistance rests at the 0.6482 hourly chart breakdown and 0.6513 50-day moving average. Medium-term resistance rests at 0.6683-0.6722 that includes a confluence of Fibonacci retracement levels and the Oct 2021 trend line.

Figure 80: AUD/USD slides towards key support at 0.634-0.6486. The post-Liberation Day rebound has lost considerable momentum, but a breakdown is needed to confirm a downside trend reversal. Overhead resistance remains at 0.6683-0.6722.

AUD/USD, daily bars with momentum divergence signals



Source: J.P. Morgan. Bloomberg Finance L.P.

Market movers

(all times GMT; +9hrs for Sydney, +8hrs for Tokyo, -5hrs for New York)

Date	Country	Time	Data/Event		Forecast		Previous	
					JPM	Consensus		
Aug 24 (Sun)	New Zealand	23:45	Retail sales ex. inflation (%q/q sa)	2Q	na	-0.3	(1Q)	0.8
Aug 25 (Mon)	Japan	06:00	Coincident index (CI)	Jun F	na	na	(Jun P)	116.8
		06:00	Leading index (CI)	Jun F	na	na	(Jun P)	106.1
	Euro area	09:00	Germany IFO business survey (index, sa)	Aug	na	na	(Jul)	88.6
	US		Building permits (000s, saar)	Jul F	na	na	(Jul P)	1354
		13:30	Chicago Fed nat. activity index	Jul	na	na	(Jun)	-0.1
		15:00	New home sales (000s, saar)	Jul	na	625	(Jun)	627
		15:30	Dallas Fed survey (index)	Aug	na	na	(Jul)	0.9
		20:15	Fed's Logan Speaks at Bank of Mexico Centennial Conference					
	Mexico	16:00	Current account (\$ mn)	2Q	na	na	(1Q)	-7612.893
Aug 26 (Tue)	Japan	00:50	Corporate service prices (%oya)	Jul	na	na	(Jun)	3.2
	US	00:15	Fed's Williams Gives Keynote Remarks					
		05:01	Fed's Barkin Repeats Remarks on the Economy					
		13:30	Durable goods orders (%m/m, sa)	Jul P	na	-4	(Jun F)	-9.4
		14:00	FHFA house price index (%m/m)	Jun	na	na	(May)	-0.2
		14:00	S&P/CS HPI (%oya)	Jun	na	na	(May)	2.79
		15:00	Consumer confidence (index, sa)	Aug	na	97	(Jul)	97.2
		15:00	Richmond Fed mfg index	Aug	na	na	(Jul)	-20
	Australia	02:30	RBA Minutes of Aug. Policy Meeting					
	Sweden	07:00	PPI (%oya)	Jul	na	na	(Jun)	-3.1
		08:30	Riksbank Minutes From Monetary Policy Meeting					
	Brazil	12:30	Current account (\$ mn)	Jul	na	na	(Jun)	-5131
		13:00	IBGE CPI IPCA-15 (%m/m)	Aug	na	na	(Jul)	0.33
	Hungary	13:00	NBH rate announcement	na	na	na	na	6.50
Aug 27 (Wed)	Australia	01:30	Westpac leading index (%m/m, sa)	Jul	na	na	(Jun)	-0.03
	US	05:01	Fed's Barkin Repeats Repeats Remarks on the Economy					
	Euro area		Germany retail sales (%m/m, sa)	Jul	na	na	(Jun)	1
		07:00	Germany GfK consumer confidence (index, sa)	Sep	na	na	(Aug)	-21.5
	Mexico	13:00	Trade balance (\$ mn)	Jul	na	na	(Jun)	514.43
	Russia	17:00	IP (%oya)	Jul	na	na	(Jun)	2
Aug 28 (Thu)	New Zealand	02:00	NBNZ business confidence (index)	Aug	na	na	(Jul)	47.8
	Japan	02:30	BOJ Board Nakagawa Speech in Yamaguchi					
	South Korea		BoK rate announcement	na	na	na	na	2.50
	Sweden	07:00	Trade balance (SEK bn)	Jul	na	na	(Jun)	13.3
		08:00	Consumer confidence (index)	Aug	na	na	(Jul)	90.7
	Switzerland	08:00	GDP (%q/q, sa)	2Q	na	na	(1Q)	0.5
	Turkey	08:00	Trade balance (\$bn)	Jul	na	na	(Jun)	-8.17
	Philippines	08:00	BSP rate announcement	na	na	na	na	5.25
	Euro area	09:00	M3 (%oya)	Jul	na	na	(Jun)	3.3
	India	11:30	IP (%oya)	Jul	na	na	(Jun)	1.5
	US	13:30	GDP (%q/q, saar)	2Q S	na	3.1	(1Q)	3
		13:30	GDP price index (%q/q, saar)	2Q S	na	na	(1Q)	2
		13:30	PCE core (%q/q, saar)	2Q S	na	na	(1Q)	2.5

Date	Country	Time	Data/Event		Forecast		Previous		
					JPM	Consensus			
Aug 29 (Fri)	South Korea	13:30	Personal consumption (%q/q, saar)	2Q S	na	na	(1Q)	1.4	
		15:00	Pending home sales (%m/m, sa)	Jul	na	0.3	(Jun)	-0.83	
		23:00	Fed's Waller Speaks on Monetary Policy						
		00:00	IP (%oya)	Jul	na	na	(Jun)	1.6	
	Japan	00:30	Jobs to applicants ratio (sa)	Jul	na	na	(Jun)	1.22	
		00:30	Tokyo CPI (%oya)	Aug	na	na	(Jul)	2.9	
		00:30	Unemployment rate (% sa)	Jul	na	na	(Jun)	2.5	
		00:50	IP (%m/m, sa)	Jul P	na	na	(Jun F)	2.1	
		00:50	Retail sales (%m/m, sa)	Jul	na	na	(Jun)	0.9	
		06:00	Consumer confidence, household (index)	Aug	na	na	(Jul)	33.7	
	Australia	06:00	Housing starts (%oya)	Jul	na	na	(Jun)	-15.585	
		02:30	Private sector credit (%m/m, sa)	Jul	na	na	(Jun)	0.57	
	Sweden	07:00	GDP (%q/q, sa)	2Q	na	na	(1Q)	-0.2	
		07:00	Retail sales (%m/m, sa)	Jul	na	na	(Jun)	2.52	
	Hungary	07:30	Trade balance (EUR mn)	Jul	na	na	(Jun)	1039	
		Euro area	07:45	France GDP (%q/q, sa)	2Q F	na	na	(2Q P)	0.3
	08:55		Germany unemployment change (000s)	Aug	na	na	(Jul)	2	
	08:55		Germany unemployment rate (% sa)	Aug	na	na	(Jul)	6.3	
	09:00		Italy GDP (%q/q, sa)	2Q F	na	na	(2Q P)	-0.1	
	13:00		Germany HICP (%oya)	Aug P	na	na	(Jul F)	0.4	
	Switzerland	08:00	KOF leading indicator (index, sa)	Aug	na	na	(Jul)	101.1	
		Poland	09:00	CPI (%oya)	Aug P	na	na	(Jul F)	3.1
	South Africa	13:00	Trade balance (ZAR bn)	Jul	na	na	(Jun)	22.04	
	US	13:30	PCE core (%m/m, sa)	Jul	na	0.3	(Jun)	0.26	
		13:30	PCE deflator (%oya)	Jul	na	2.6	(Jun)	2.6	
		13:30	Personal income (%m/m, sa)	Jul	na	0.5	(Jun)	0.3	
		13:30	Personal spending (%m/m, sa)	Jul	na	0.5	(Jun)	0.3	
		13:30	Wholesale inventories (%m/m)	Jul P	na	na	(Jun F)	0.1	
15:00		U. Michigan consumer confidence (index)	Aug F	na	na	(Aug P)	58.6		
Canada		13:30	GDP (%m/m, sa)	Jun	na	0.1	(May)	-0.1	
		13:30	GDP (%q/q, saar)	2Q	na	-0.325	(1Q)	2.219	
		UK		Nationwide HPI (%m/m, sa)	Aug	na	na	(Jul)	0.6
Aug 31 (Sun)			China	02:30	PMI mfg. (index, sa)	Aug	na	na	(Jul)
New Zealand		23:45	Building permits (%m/m, sa)	Jul	na	na	(Jun)	-6.4	
		Sep 1 (Mon)	South Korea	01:00	Trade balance (USD mn)	Aug	na	na	(Jul)
			01:30	PMI mfg (HSBC index)	Aug	na	na	(Jul)	48
Australia		02:30	Building approvals (%m/m, sa)	Jul	na	na	(Jun)	11.9	
		China	02:45	Caixin PMI mfg. (index, sa)	Aug	na	na	(Jul)	49.5
Indonesia		05:00	CPI (%y/y)	Aug	na	na	(Jul)	2.37	
	05:00	Trade balance (USD mn)	Jul	na	na	(Jun)	4110		
Switzerland	06:30	Retail sales (%oya)	Jul	na	na	(Jun)	3.8		
	08:30	PMI mfg. (index, sa)	Aug	na	na	(Jul)	48.8		
Sweden	07:30	PMI mfg. (index, sa)	Aug	na	na	(Jul)	54.2		
	Hungary	08:00	PMI mfg. (index)	Aug	na	na	(Jul)	50.7	
Euro area	08:45	Italy PMI mfg (index, sa)	Aug	na	na	(Jul)	49.8		
	10:00	Unemployment rate (% sa)	Jul	na	na	(Jun)	6.2		
Norway	09:00	PMI mfg. (index, sa)	Aug	na	na	(Jul)	50.94		
Poland	09:00	GDP (%y/y)	2Q F	na	na	(2Q P)	3.4		
UK	09:30	M4 (%oya)	Jul	na	na	(Jun)	3.3		

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Global FX Strategy
 FX Markets Weekly
 23 August 2025

J.P.Morgan

Date	Country	Time	Data/Event	Forecast			Previous	
					JPM	Consensus		
Sep 2 (Tue)	South Africa	09:30	Net consumer credit (GBP bn, sa)	Jul	na	na	(Jun)	1.417
		10:00	PMI mfg (Kagiso)	Aug	na	na	(Jul)	50.8
	Brazil	14:00	PMI mfg. (index, sa)	Aug	na	na	(Jul)	48.2
	Mexico	19:00	PMI mfg. (IMEF)	Aug	na	na	(Jul)	47.566
		19:00	PMI services (IMEF)	Aug	na	na	(Jul)	49.14
		00:50	Monetary base (%oya)	Aug	na	na	(Jul)	-3.9
	Japan	02:30	BOJ Deputy Governor Himino Speech in Hokkaido					
	Australia	02:30	Current account (A\$ bn, sa)	2Q	na	na	(1Q)	-14663
	Euro area	10:00	HICP (%oya)	Aug P	na	na	(Jul F)	2
	US	15:00	Construction spending (%m/m, sa)	Jul	na	na	(Jun)	-0.4
Sep 3 (Wed)		15:00	ISM mfg. index (sa)	Aug	na	48	(Jul)	48
	Denmark	16:00	Official Currency Net Reserves	Aug	na	na	(Jul)	680.546
	Australia	02:30	GDP (%q/q, sa)	2Q	na	na	(1Q)	0.2
	Poland		NBP rate announcement	na	na	na	na	5.00
	Turkey	08:00	CPI (%oya)	Aug	na	na	(Jul)	33.52
	Euro area	08:45	Italy PMI services (index, sa)	Aug	na	na	(Jul)	52.3
		10:00	PPI (%oya)	Jul	na	na	(Jun)	0.6
	Brazil	13:00	IP(%oya)	Jul	na	na	(Jun)	-1.3
		14:00	PMI services (index, sa)	Aug	na	na	(Jul)	46.3
	Canada	13:30	Labor productivity (%q/q, sa)	2Q	na	na	(1Q)	0.16
Sep 4 (Thu)	US	14:00	Fed's Musalem Speaks on Economy and Policy at Peterson					
		15:00	Factory orders (%m/m, sa)	Jul	na	na	(Jun)	-4.8
		19:00	Fed Releases Beige Book					
	South Korea	00:00	Current account (\$ mn)	Jul	na	na	(Jun)	14265
	Malaysia		BNM rate announcement	na	na	na	na	2.75
	Australia	02:30	Trade balance (AUD mn)	Jul	na	na	(Jun)	5365
	Sweden	07:00	CPI (%oya)	Aug P	na	na	(Jul F)	0.8
		07:00	CPI core (%oya)	Aug P	na	na	(Jul F)	3
	Switzerland	07:30	CPI (%oya)	Aug	na	na	(Jul)	0.2
		08:00	Unemployment rate (% sa)	Aug	na	na	(Jul)	2.9
UK	09:30	PMI construction (index, sa)	Aug	na	na	(Jul)	44.3	
South Africa	10:00	Current account (ZAR bn)	2Q	na	na	(1Q)	-35575	
Euro area	10:00	Retail sales (%m/m, sa)	Jul	na	na	(Jun)	0.3	
US	12:30	Challenger layoffs (%oya)	Aug	na	na	(Jul)	139.8	
	13:15	ADP employment (ch m/m, 000s)	Aug	na	na	(Jul)	104	
	13:30	Nonfarm productivity (%q/q, sa)	2Q F	na	na	(2Q P)	2.4	
	13:30	Trade balance (\$bn, sa)	Jul	na	na	(Jun)	-60.177	
	13:30	Unit labor costs (%q/q, sa)	2Q F	na	na	(2Q P)	1.6	
	15:00	ISM non-mfg. index (sa)	Aug	na	50	(Jul)	50.1	
	Canada	13:30	Trade balance (CAD bn, sa)	Jul	na	na	(Jun)	-5.862
	Brazil	19:00	Trade balance (\$ mn)	Aug	na	na	(Jul)	7074.73
Sep 5 (Fri)	US	00:00	Fed's Goolsbee Appears in a Moderated Q&A					
		13:30	Average hourly earnings (%m/m, sa)	Aug	na	0.3	(Jul)	0.3
		13:30	Nonfarm payrolls (ch m/m 000s, sa)	Aug	na	88	(Jul)	73
		13:30	Private payrolls (ch m/m 000s, sa)	Aug	na	na	(Jul)	83
		13:30	Unemployment rate (% sa)	Aug	na	4.2	(Jul)	4.2
	Japan	00:30	All household spending (%oya)	Jul	na	na	(Jun)	1.3
		00:30	Average monthly cash earnings (%y/y)	Jul	na	na	(Jun)	2.5
	Euro area	07:00	Germany factory orders (%m/m, sa)	Jul	na	na	(Jun)	-1

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Date	Country	Time	Data/Event		Forecast		Previous
					JPM	Consensus	
		09:00	Italy retail sales (%m/m, sa)	Jul	na	na	(Jun) 0.64
		10:00	GDP (%q/q, sa)	2Q T	na	na	(2Q S) 0.1
	UK	07:00	Retail sales (%m/m, sa)	Jul	na	0.5	(Jun) 0.9
		07:00	Retail sales ex Autos (%m/m, sa)	Jul	na	0.3	(Jun) 0.6
	Norway	07:00	IP (%m/m, sa)	Jul	na	na	(Jun) -0.1
	Hungary	07:30	IP (%oya)	Jul	na	na	(Jun) -4.9
	Canada	13:30	Employment (ch m/m 000s, sa)	Aug	na	na	(Jul) -40.8
		13:30	Unemployment rate (% , sa)	Aug	na	na	(Jul) 6.9
		15:00	Ivey PMI (index, sa)	Aug	na	na	(Jul) 55.8

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Event Risk Calendar

	Date	Country	Event
Aug '25	26	Hungary	NBH rate announcement
	28	Philippines	BSP rate announcement
	28	Korea	BoK rate announcement
	28		
Sep '25	3	Poland	NBP rate announcement
	4	Malaysia	BNM rate announcement
	8	Norway	Parliamentary election
	9	Chile	BCCh rate announcement
	11	Euro area	ECB rate announcement
	17	BoC	BoC rate announcement
	17	Brazil	COPOM rate announcement
	17	United States	FOMC rate announcement
	18	UK	BoE rate announcement
	18	Norway	Norges Bank rate announcement
	19	Japan	BoJ rate announcement
	23	Sweden	Riksbank rate announcement
	25	Mexico	Banxico rate announcement
	26	Colombia	Banrep rate announcement
	29	Israel	Bol rate announcement
	30	Hungary	NBH rate announcement
	30	Australia	RBA rate announcement
Oct '25		Mexico, Canada	Formal talks around the USMCA review are expected to start
		Canada	Deadline for federal election
		Czech Republic	Parliamentary election
		China	Politburo meeting
		UK	October budget
	1	Thailand	Central bank governor change
	8	New Zealand	RBNZ rate announcement
	8	Thailand	BoT rate announcement
	17-19	World	Annual meeting of World Bank/ IMF
	23	Korea	BoK rate announcement
	26	Argentina	Parliamentary elections
	28	Chile	BCCh rate announcement
	29	BoC	BoC rate announcement
	29	United States	FOMC rate announcement
	30	Japan	BoJ rate announcement
	30	Euro area	ECB rate announcement
	31	Colombia	Banrep rate announcement
	31	Hungary	NBH rate announcement

Nov '25	4	Australia	RBA rate announcement
	5	Brazil	COPOM rate announcement
	5	Sweden	Riksbank rate announcement
	6	UK	BoE rate announcement
	6	Malaysia	BNM rate announcement
	6	Mexico	Banxico rate announcement
	6	Norway	Norges Bank rate announcement
	16	Chile	First round Presidential elections
	24	Israel	Bol rate announcement
	26	New Zealand	RBNZ rate announcement
	27	Korea	BoK rate announcement
Dec '25		China	Politburo meeting
	9	Australia	RBA rate announcement
	10	BoC	BoC rate announcement
	10	Brazil	COPOM rate announcement
	10	United States	FOMC rate announcement
	14	Chile	Second Round Presidential elections
	16	Chile	BCCh rate announcement
	17	Thailand	BoT rate announcement
	18	UK	BoE rate announcement
	18	Euro area	ECB rate announcement
	18	Mexico	Banxico rate announcement
	18	Norway	Norges Bank rate announcement
	18	Sweden	Riksbank rate announcement
	19	Japan	BoJ rate announcement
	26	Colombia	Banrep rate announcement

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Central bank announcement dates in 2025

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Australia		18		1	20		8	12	30		4	9
Brazil	29		19		7	18	30		17		5	10
Canada	29		12	16		4	30		17	29		10
Chile	28		21	29		17	29		9	28		16
Colombia	31		31	30		27	31		30	31		19
Czech Republic			26		7	25		7	24		6	18
Euro area	30		6	17		5	24		11	30		18
Hungary	28	25	25	29	27	24	22	26	23	21	18	16
India		7										
Indonesia		19	19	23	21	18	16	20	17	22	19	17
Israel	6	24		7	26		7	20	29		24	
Japan	24		19		1	17	31		19	30		19
Korea	16	25		17	29		10	28		23	27	
Malaysia	22		6		8		9		4		6	
Mexico		6	27		15	26		7	25		6	18
New Zealand		19		9	28		9	20		8	26	
Norway	23		27		8	19		14	18		6	18
Philippines		13		3		19		28		9		11
Poland	16	5	12	2	7	4	2		3	8	5	3
South Africa	30		20		29		31		18		20	
Sweden	29		20		8	18		20	23		5	18
Switzerland			20			19			25			11
Thailand		26		30		25		13		8		17
Turkey	23		6	17		19	24		11	23		11
United Kingdom		6	20		8	19		7	18		6	18
United States	29		19		7	18	30		17	29		10

J.P. Morgan FX forecasts vs. forwards & consensus

Exchange rates vs. U.S dollar

Majors	Current					JPM forecast gain/loss vs June 26*			Actual change in local FX vs USD			
	22-Aug	Sep 25	Dec 25	Mar 26	Jun 26	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
EUR	1.17	1.19	1.20	1.22	1.22	4.1%	2.4%	2.5%	-0.5%	3.1%	13.2%	5.5%
JPY	147	146	142	139	139	5.6%	2.6%	1.4%	-0.2%	-2.9%	7.1%	-0.4%
GBP	1.35	1.37	1.36	1.39	1.37	1.4%	1.4%	0.1%	-0.4%	-0.1%	8.1%	3.3%
AUD	0.65	0.67	0.68	0.68	0.68	4.7%	4.3%	1.5%	-1.6%	0.1%	5.0%	-3.1%
CAD	1.38	1.36	1.33	1.32	1.32	4.8%	3.6%	2.3%	-1.7%	-0.8%	4.0%	-1.6%
NZD	0.59	0.61	0.61	0.61	0.63	7.3%	6.3%	1.6%	-2.9%	-2.0%	4.9%	-4.4%
JPM USD index	109.0	108.5	107.5	106.5	106.4	-2.4%	-1.8%	-1.7%	1.1%	-0.5%	-4.9%	-1.2%
DXY	97.8	96.3	95.2	93.5	93.7	-4.2%	2.7%	-2.4%	0.6%	-1.3%	-9.9%	-3.7%

Europe, Middle East & Africa

CHF	0.80	0.77	0.76	0.75	0.75	6.3%	2.7%	5.9%	-1.1%	2.5%	13.1%	6.3%
ILS	3.37	3.30	3.25	3.20	3.15	7.0%	6.4%	6.3%	-1.1%	6.9%	8.1%	10.2%
SEK	9.50	9.16	9.00	8.61	8.52	11.5%	9.6%	7.0%	0.0%	0.3%	16.4%	7.8%
NOK	10.06	9.66	9.50	9.18	9.10	10.5%	10.5%	5.3%	0.5%	0.6%	13.2%	5.4%
CZK	20.93	20.59	20.33	19.88	19.67	6.4%	5.8%	5.5%	-0.3%	4.5%	16.2%	7.8%
PLN	3.63	3.53	3.50	3.44	3.44	5.5%	6.0%	4.2%	-0.6%	3.2%	13.7%	6.1%
HUF	337	332	321	311	307	9.5%	11.6%	11.8%	0.6%	5.6%	18.0%	5.2%
TRY	41.01	42.50	45.50	48.00	50.00	-18.0%	5.3%	-11.2%	-1.4%	-5.0%	-13.8%	-17.3%
ZAR	17.46	17.50	17.25	17.00	17.00	2.7%	5.2%	2.9%	0.4%	2.2%	7.7%	3.2%

ARS	1323	1350	1400	1450	1450	-8.7%	16.7%	-1.7%	-4.9%	-14.4%	-22.1%	-28.6%
BRL	5.42	5.70	5.70	5.75	5.75	-5.7%	1.3%	-1.0%	1.8%	4.2%	14.0%	3.0%
CLP	962	940	920	910	910	5.8%	5.9%	3.5%	-1.4%	3.9%	3.4%	-4.4%
COP	3994	4100	4200	4300	4150	-3.8%	0.4%	0.8%	1.3%	3.9%	10.3%	1.8%
MXN	18.60	19.50	19.50	19.40	19.40	-4.1%	-0.9%	-0.8%	-0.3%	3.5%	12.0%	5.0%
PEN	3.52	3.55	3.60	3.65	3.70	-4.8%	-4.0%	-1.9%	0.9%	3.9%	6.2%	6.5%

CNY	7.17	7.15	7.10	7.05	7.05	1.7%	0.3%	1.3%	-0.2%	0.2%	1.8%	-0.3%
HKD	7.81	7.75	7.75	7.75	7.75	0.8%	-0.2%	0.6%	0.5%	0.2%	-0.6%	-0.2%
IDR	16345	16200	16200	16100	16100	1.5%	1.7%	0.5%	-0.3%	-0.8%	-1.5%	-4.6%
INR	87.53	85.90	85.70	85.50	85.30	2.6%	4.2%	1.2%	-1.3%	-2.6%	-2.1%	-4.1%
KRW	1382	1325	1310	1290	1270	8.8%	7.0%	6.9%	-0.4%	-1.1%	6.5%	-2.8%
MYR	4.23	4.15	4.10	4.00	3.95	7.0%	5.8%	6.1%	0.0%	0.1%	5.8%	3.6%
PHP	56.95	55.70	55.30	55.20	55.20	3.2%	3.3%	1.4%	-0.1%	-3.0%	1.6%	-1.1%
SGD	1.28	1.28	1.26	1.25	1.25	2.5%	0.3%	1.6%	-0.3%	0.3%	6.7%	2.3%
TWD	30.59	28.70	28.20	27.90	27.90	9.6%	4.3%	5.0%	-4.1%	-1.9%	7.2%	4.5%
THB	32.65	31.90	31.30	30.80	30.50	7.0%	3.9%	5.9%	-1.5%	-0.2%	4.4%	5.2%
EMCI	45.7	44.1	44.3	44.4	44.3	-3.1%	1.1%	-1.3%	-0.5%	0.4%	6.6%	-1.0%

Exchange rates vs Euro

JPY	172	174	170	170	170	1.4%	0.2%	-1.1%	0.3%	-5.9%	-5.3%	-5.5%
GBP	0.87	0.87	0.88	0.88	0.89	-2.6%	-1.0%	-2.4%	0.0%	-3.1%	-4.5%	-2.0%
CHF	0.94	0.92	0.91	0.91	0.92	2.1%	0.3%	3.3%	-0.6%	-0.6%	0.1%	0.8%
SEK	11.14	10.90	10.80	10.50	10.40	7.1%	7.0%	4.3%	0.5%	-2.7%	2.9%	2.2%
NOK	11.78	11.50	11.40	11.20	11.10	6.2%	8.0%	2.7%	0.9%	-2.5%	0.0%	-0.1%
CZK	24.53	24.50	24.40	24.25	24.00	2.2%	3.3%	2.9%	0.2%	1.3%	2.7%	2.3%
PLN	4.25	4.20	4.20	4.20	4.20	1.3%	3.5%	1.7%	-0.1%	0.1%	0.7%	0.6%
HUF	395	395	385	380	375	5.2%	9.0%	9.1%	1.0%	2.4%	4.3%	-0.2%
RON	5.05	5.10	5.20	5.25	5.30	-4.6%	-0.9%	-3.4%	0.3%	0.0%	-1.6%	-1.5%
TRY	48.10	50.58	54.60	58.56	61.00	-21.1%	2.9%	-13.4%	-0.9%	-8.1%	-23.8%	-21.5%
BRL	6.35	6.78	6.84	7.02	7.02	-9.5%	-1.0%	-3.5%	2.3%	1.0%	0.7%	-2.3%
MXN	21.79	23.21	23.40	23.67	23.67	-7.9%	-3.2%	-3.2%	0.2%	0.4%	-1.2%	-0.4%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 2Q26

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